ORACLE E-BUSINESS SUITE R12

Dropship & Back-to-Back Sale Order

Complete manual process guide with screenshots, from item setup to invoice and receipt

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Core modules	INV, PO, OM, AP, AR, GL, AME, Oracle Sourcing/EMD, India Localization (JAI/GST/TDS/EBTax)
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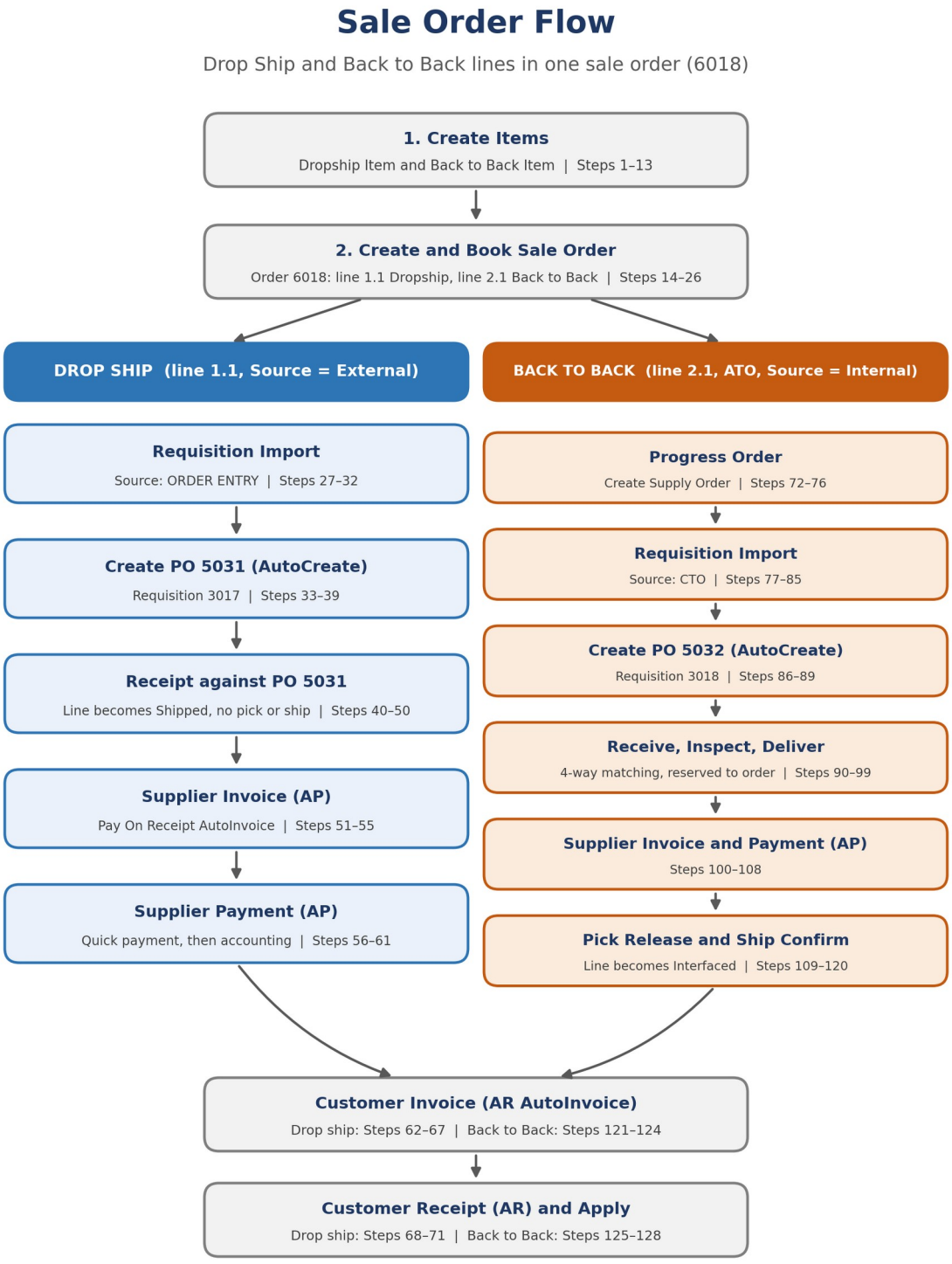
Date	21-Oct-2026

Process covered: Item setup → Sales order booking → Drop-ship flow (Requisition Import, AutoCreate PO, Receipt, Pay On Receipt invoice, AR invoice) → Back-to-Back flow (Progress Order, Requisition Import, PO, 4-way matching, AP invoice) → Pick Release and Ship Confirm → AR invoice and receipt → Supplier payment, Create Accounting and accounting entries for the AP invoices.

Sale Order Process Flow



Creating Items

- **Login and open Master Items:** Steps 1–3
- **Create Dropship Item:** Steps 4–8
- **Create Back to Back Item:** Steps 9–13

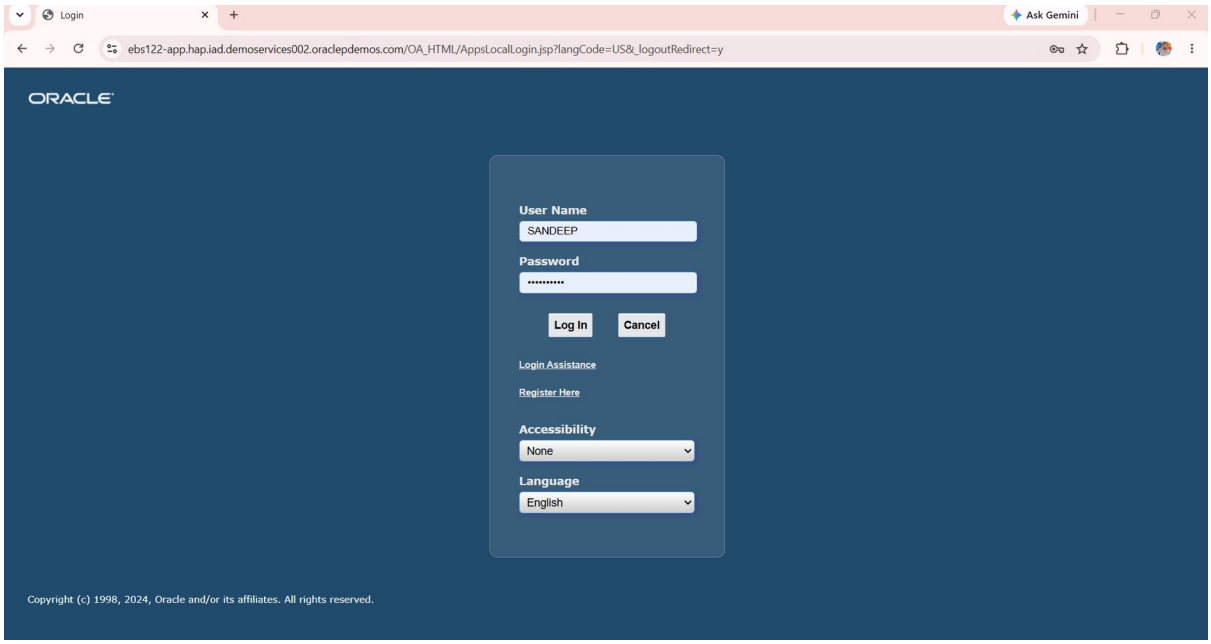
Login and Open Master Items

- Log in, select 38 RST INV RESP and open Items → Master Items.

Step 1: Login to Oracle E-Business Suite

Navigation: Open the EBS application URL → Login page

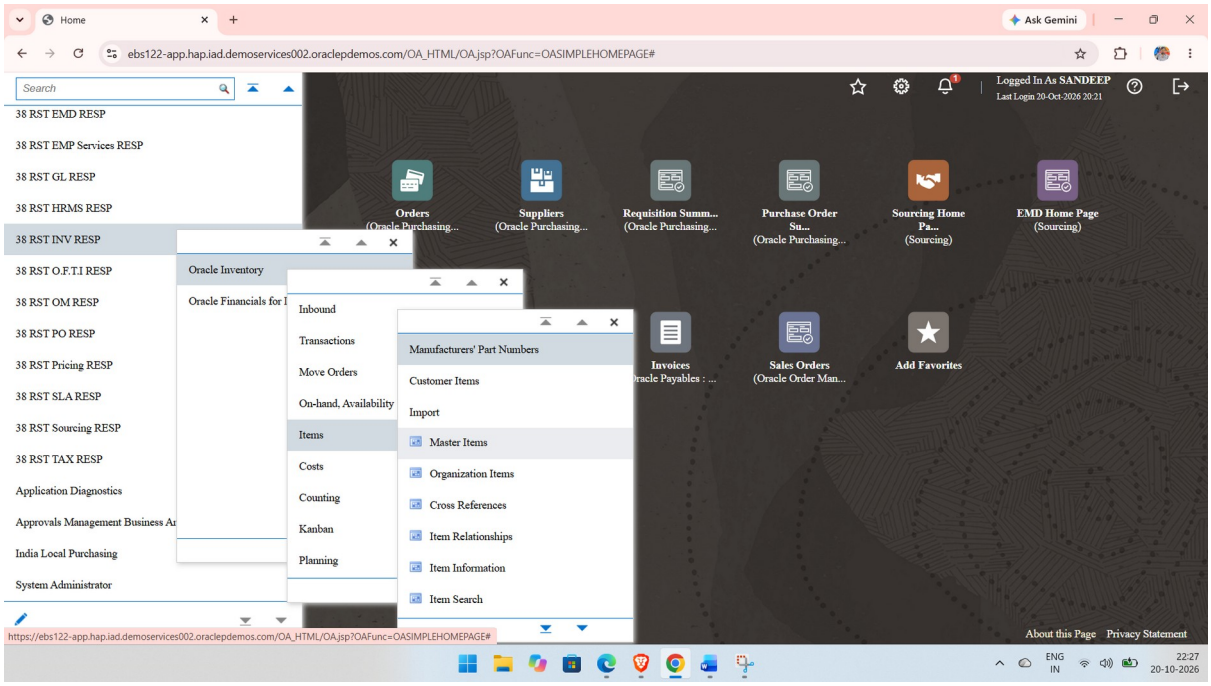
Details: Enter the User Name (SANDEEP) and Password, then click Login.



Step 2: Select the Inventory responsibility and open Master Items

Navigation: Home page → 38 RST INV RESP → Oracle Inventory → Items → Master Items

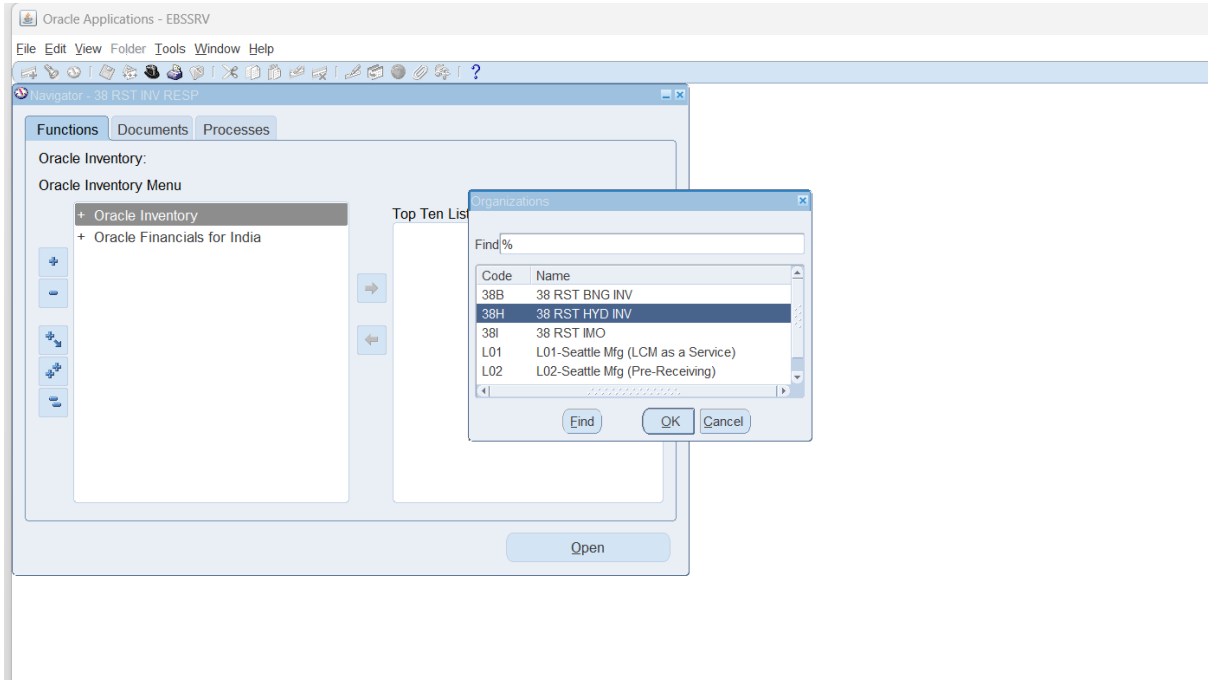
Details: The Master Items form is used to define the Dropship Item and the Back to Back Item.



Step 3: Select the inventory organization

Navigation: Navigator (38 RST INV RESP) → Oracle Inventory → Organizations list

Details: Pick the organization from the list and click OK. The items are created in organization 38I – 38 RST IMO and then assigned to the other organizations.



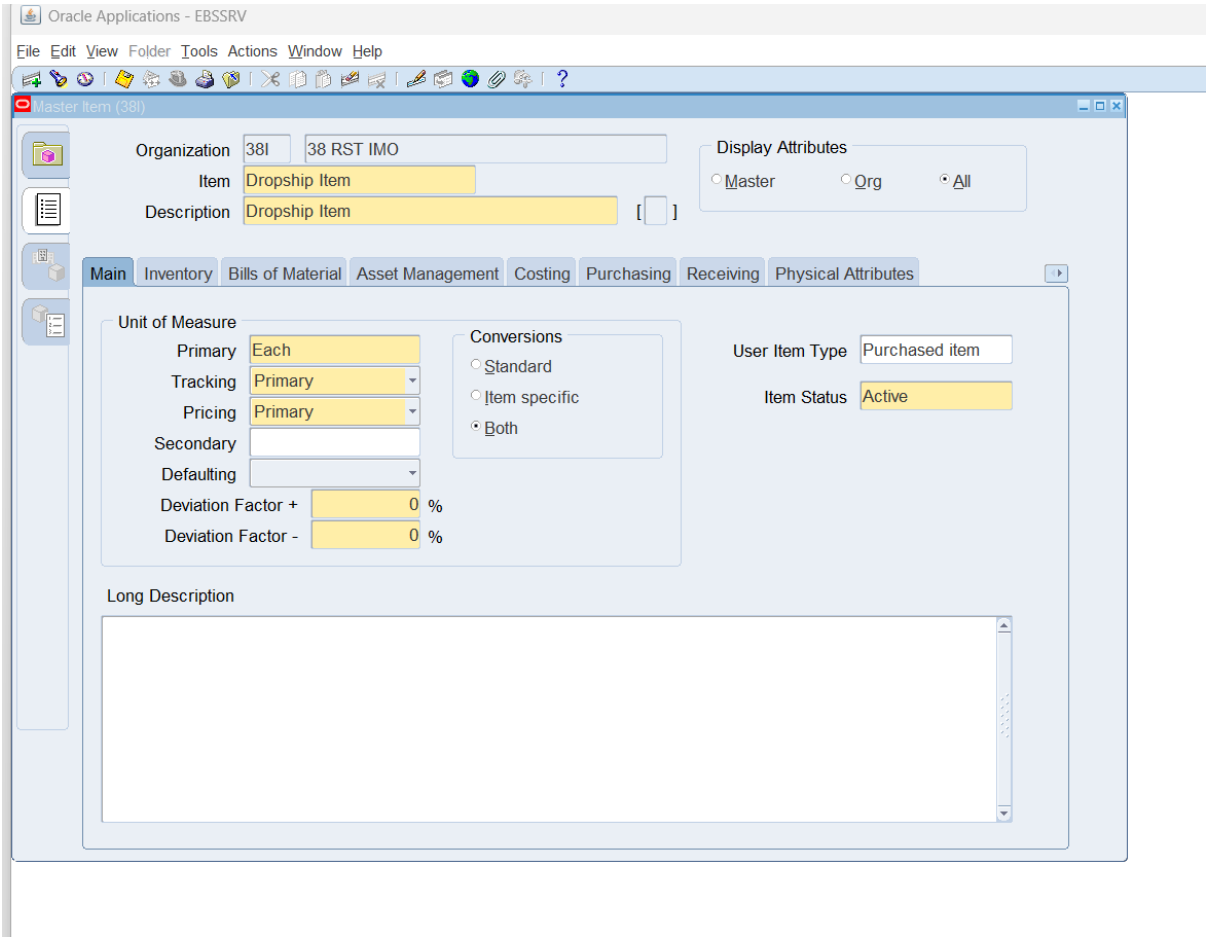
Create Dropship Item

- Define the item in Master Items and assign it to the organizations.
- Key attribute: Default SO Source Type = External.

Step 4: Dropship Item – Main tab

Navigation: Master Item window → Main tab

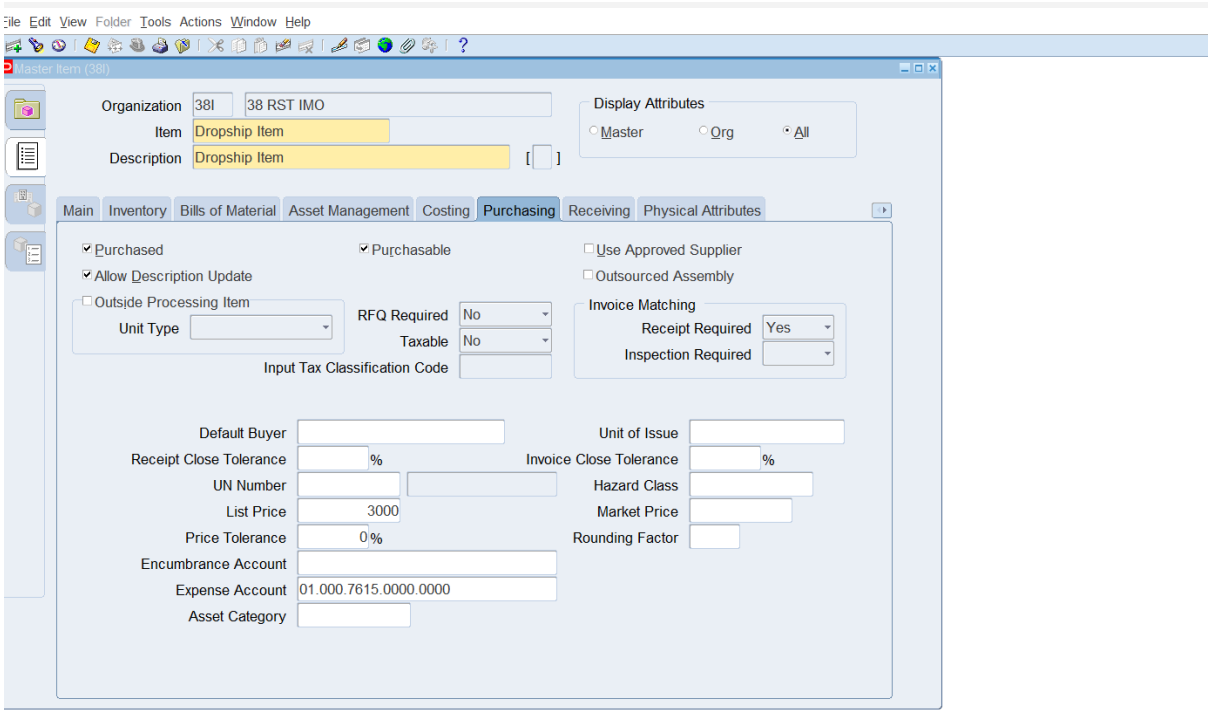
Details: Item: Dropship Item. Primary UOM: Each. User Item Type: Purchased item. Item Status: Active.



Step 5: Dropship Item – Purchasing tab

Navigation: Master Item window → Purchasing tab

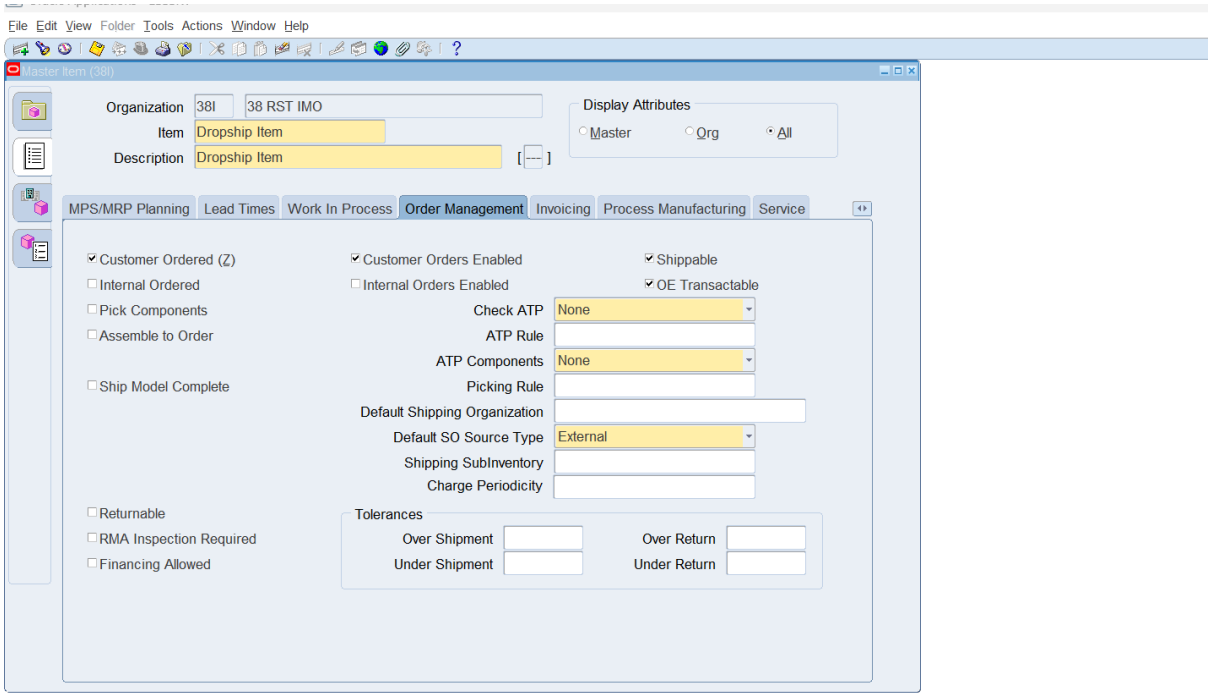
Details: Purchased and Purchasable are checked. Invoice Matching – Receipt Required: Yes. List Price: 3000. Expense Account: 01.000.7615.0000.0000.



Step 6: Dropship Item – Order Management tab

Navigation: Master Item window → Order Management tab

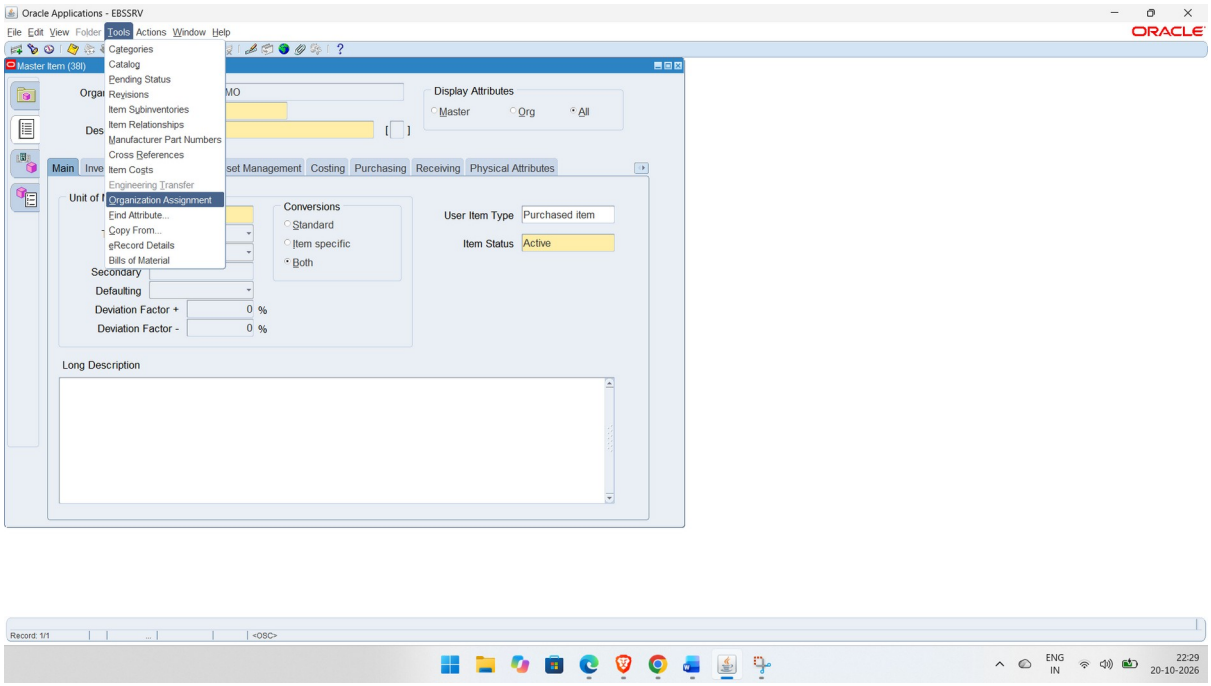
Details: Customer Ordered, Customer Orders Enabled, Shippable and OE Transactable are checked. Default SO Source Type is set to External for the drop-ship item.



Step 7: Open Organization Assignment

Navigation: Master Item window → Tools menu → Organization Assignment

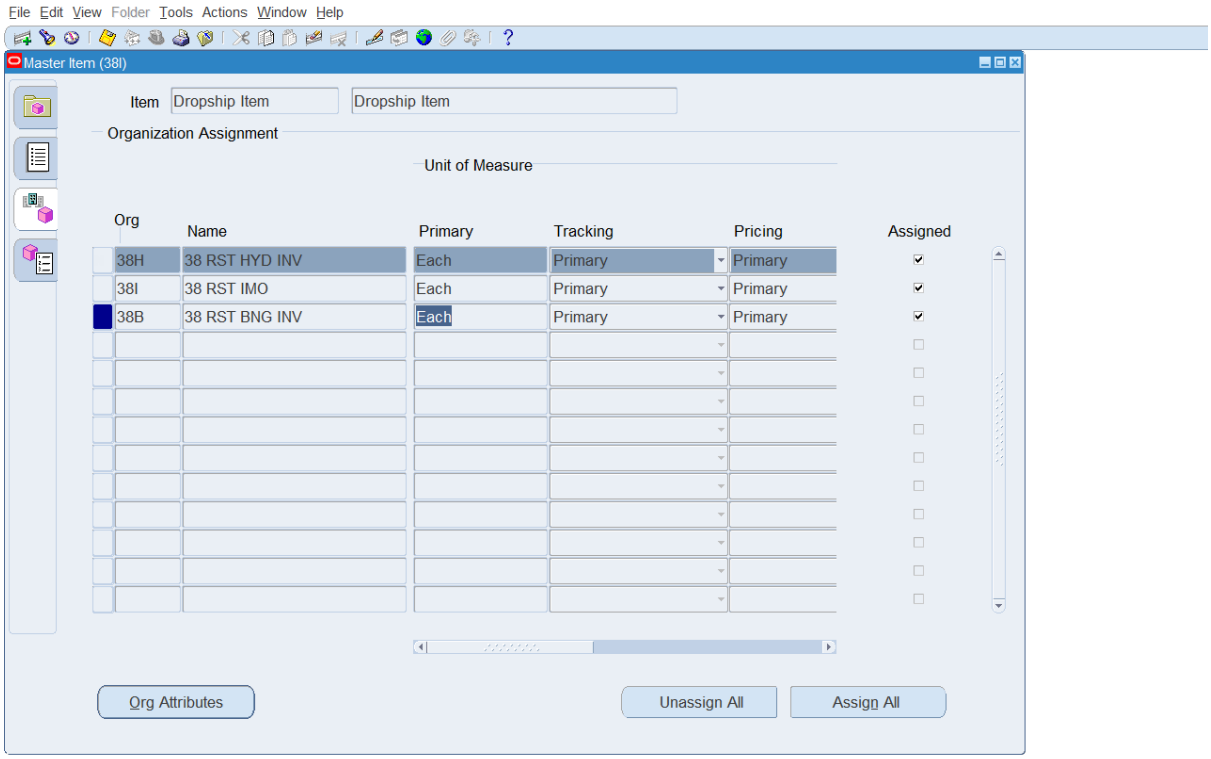
Details: Used to assign the item to the other inventory organizations.



Step 8: Assign the Dropship Item to organizations

Navigation: Master Item window → Tools → Organization Assignment → Organization Assignment window

Details: The item is assigned to 38H (38 RST HYD INV), 38I (38 RST IMO) and 38B (38 RST BNG INV). Save the record.



THEN SAVE

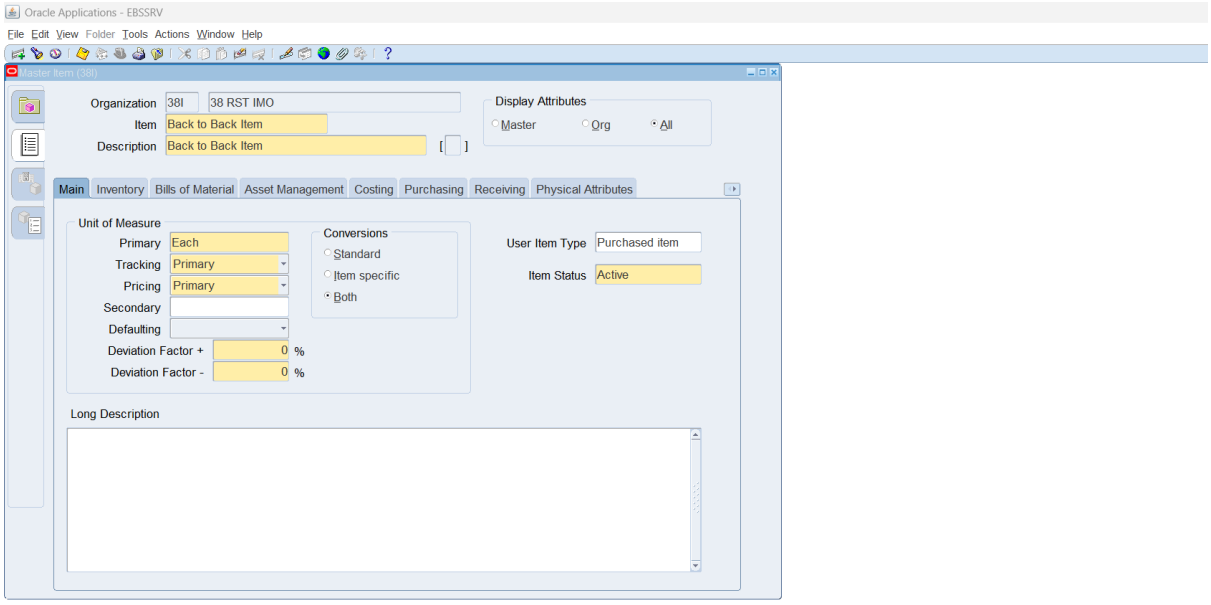
Create Back to Back Item

- Define the item in Master Items and assign it to the organizations.
- Key attributes: Assemble to Order checked and Default SO Source Type = Internal.

Step 9: Back to Back Item – Main tab

Navigation: Master Item window → Main tab

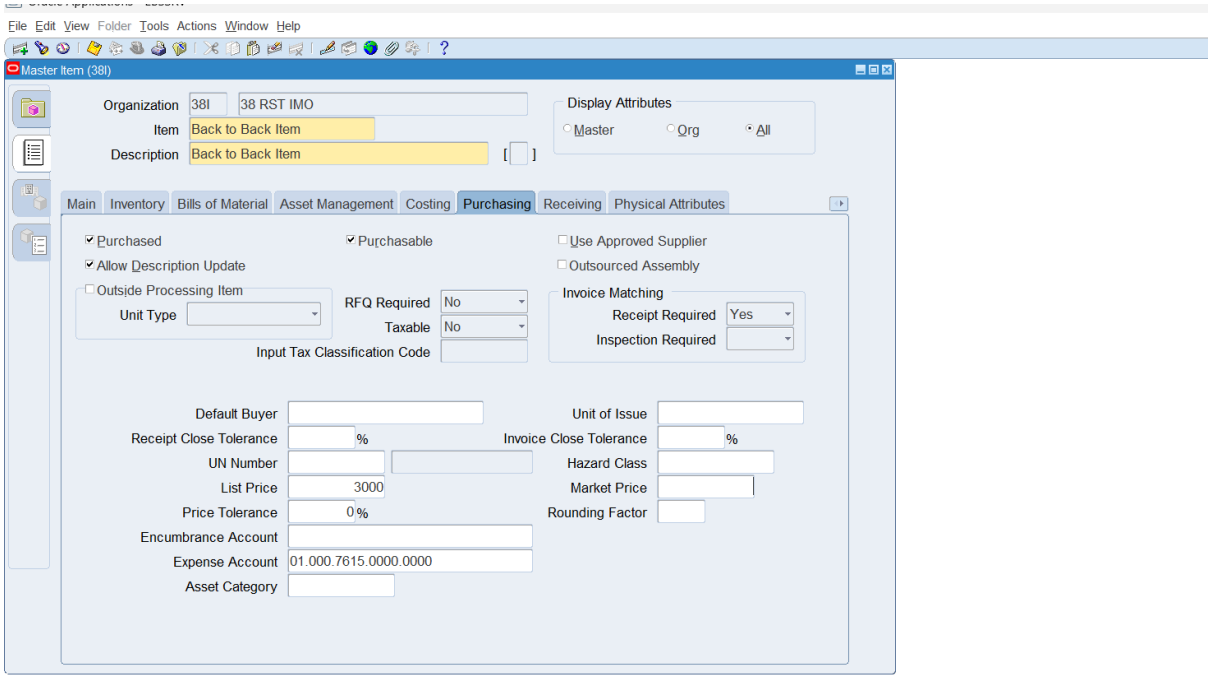
Details: Item: Back to Back Item. Primary UOM: Each. User Item Type: Purchased item. Item Status: Active.



Step 10: Back to Back Item – Purchasing tab

Navigation: Master Item window → Purchasing tab

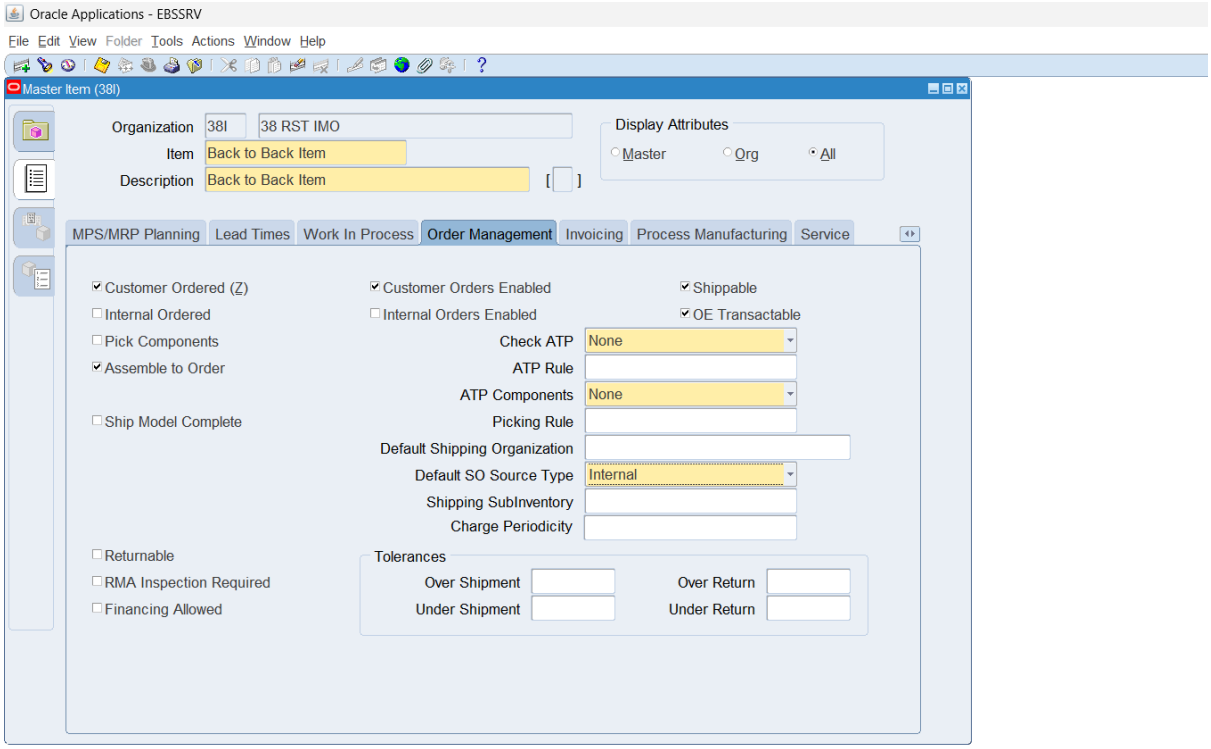
Details: Purchased and Purchasable are checked. Receipt Required: Yes. List Price: 3000. Expense Account: 01.000.7615.0000.0000.



Step 11: Back to Back Item – Order Management tab

Navigation: Master Item window → Order Management tab

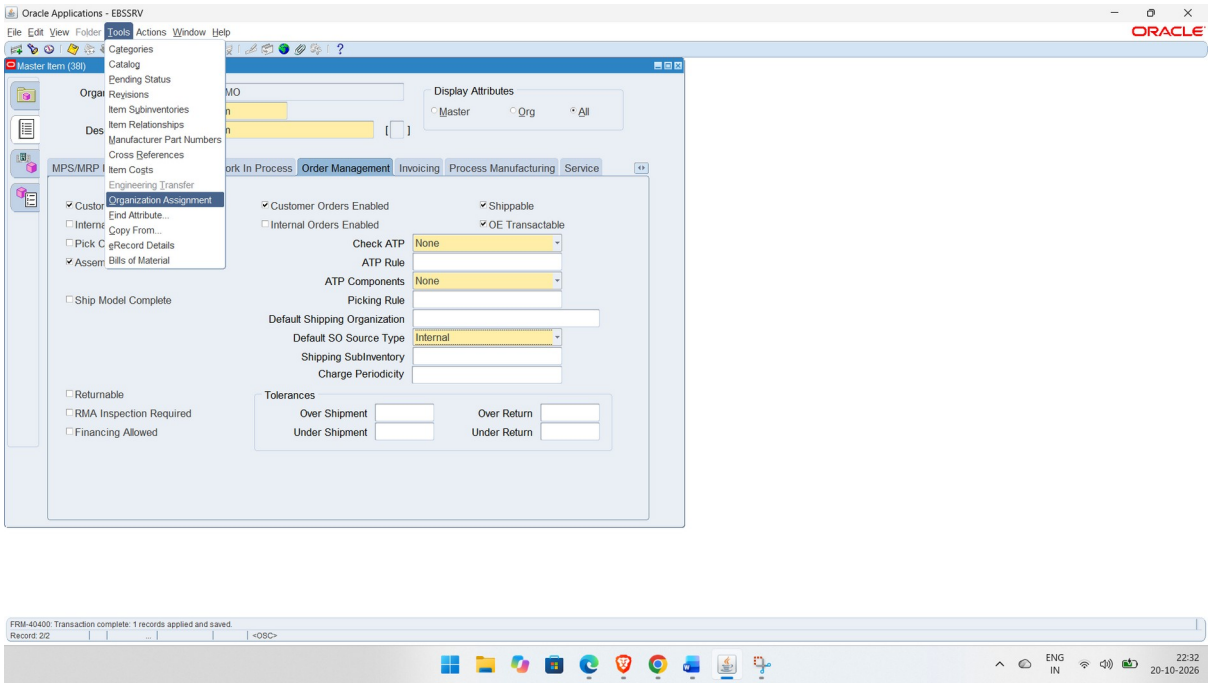
Details: Customer Ordered, Customer Orders Enabled, Shippable, OE Transactable and Assemble to Order are checked. Default SO Source Type is set to Internal.



Step 12: Open Organization Assignment for the Back to Back Item

Navigation: Master Item window → Tools menu → Organization Assignment

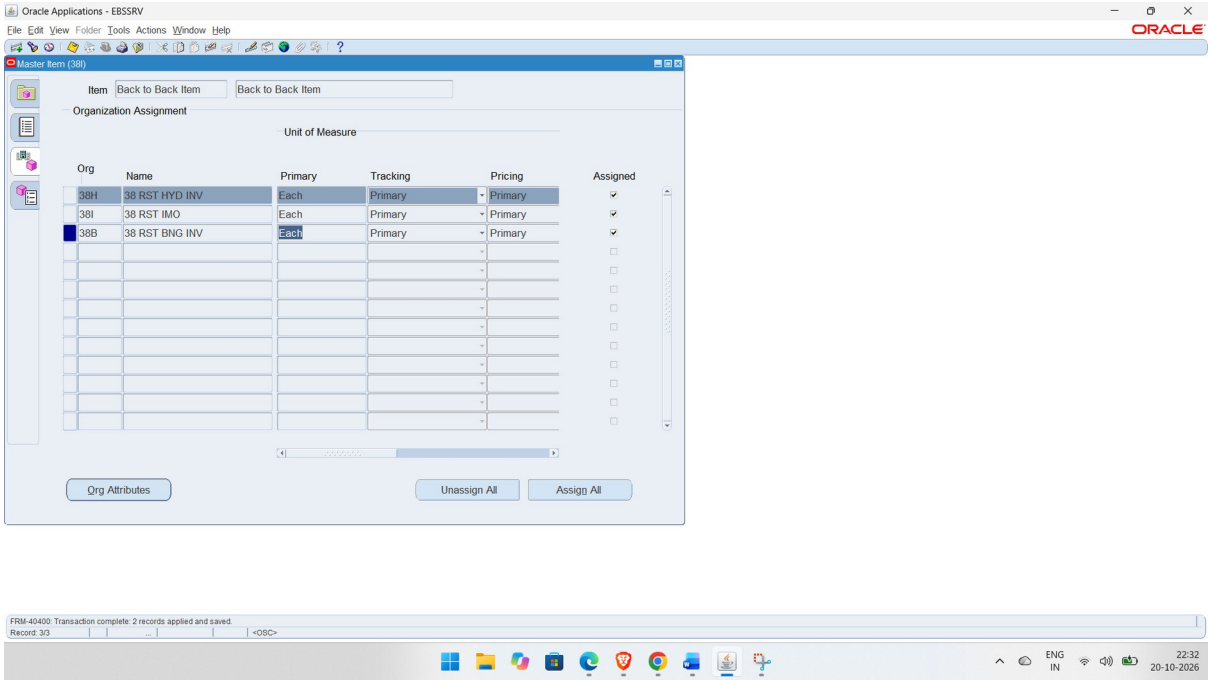
Details: The status bar shows FRM-40400: Transaction complete, 1 record applied and saved, after the item is saved.



Step 13: Assign the Back to Back Item to organizations

Navigation: Master Item window → Tools → Organization Assignment → Organization Assignment window

Details: The item is assigned to 38H, 38I and 38B. The status bar shows FRM-40400: Transaction complete, 2 records applied and saved.



What is Drop Ship?

- In a drop ship, the supplier ships the goods directly to your customer. You do not stock the item or ship it from your own warehouse.
- The sales order line is sourced External. After booking, the order creates a requisition, which becomes a purchase order to the supplier.
- When the receipt is entered against the PO, Oracle moves the sales order line to Shipped. You do not run Pick Release or Ship Confirm.
- Two invoices are raised: the supplier invoices you (Payables) and you invoice the customer (Receivables).
- **In this manual:** sales order line 1.1 (Dropship Item), PO 5031, quantity 5.

What is Back to Back?

- In a back to back order, the sales order line creates a purchase order for the exact item and quantity ordered. The supplier delivers to your warehouse and you ship to the customer from your own inventory.
- The item is Assemble to Order with Default SO Source Type = Internal. The line is progressed with Progress Order → Create Supply Order.
- The received stock is reserved against the sales order. You run Pick Release and Ship Confirm to deliver it.
- Two invoices are raised: the supplier invoices you (Payables) and you invoice the customer (Receivables).
- **In this manual:** sales order line 2.1 (Back to Back Item), PO 5032, quantity 5.

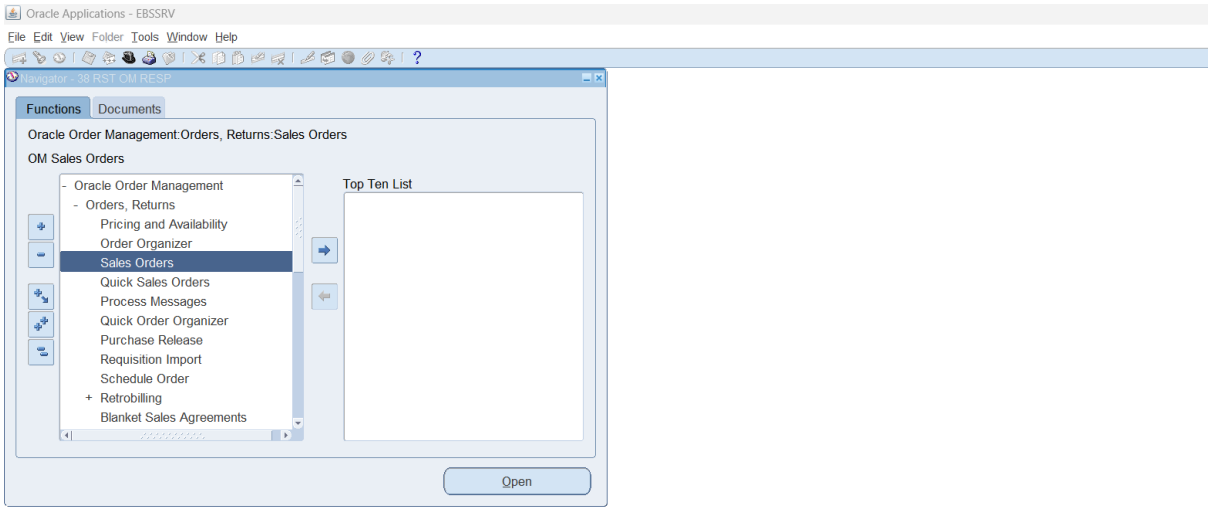
Creating Sale Order

- **Header and lines (one order, two lines):** Steps 14–18
- **Book the order:** Steps 19–20
- **Run Workflow Background Process and check the line status:** Steps 21–26

Create Sale Order – Header and Lines

- One sales order (6018) for customer 38 DELL with line 1.1 Dropship Item and line 2.1 Back to Back Item, quantity 5 each.

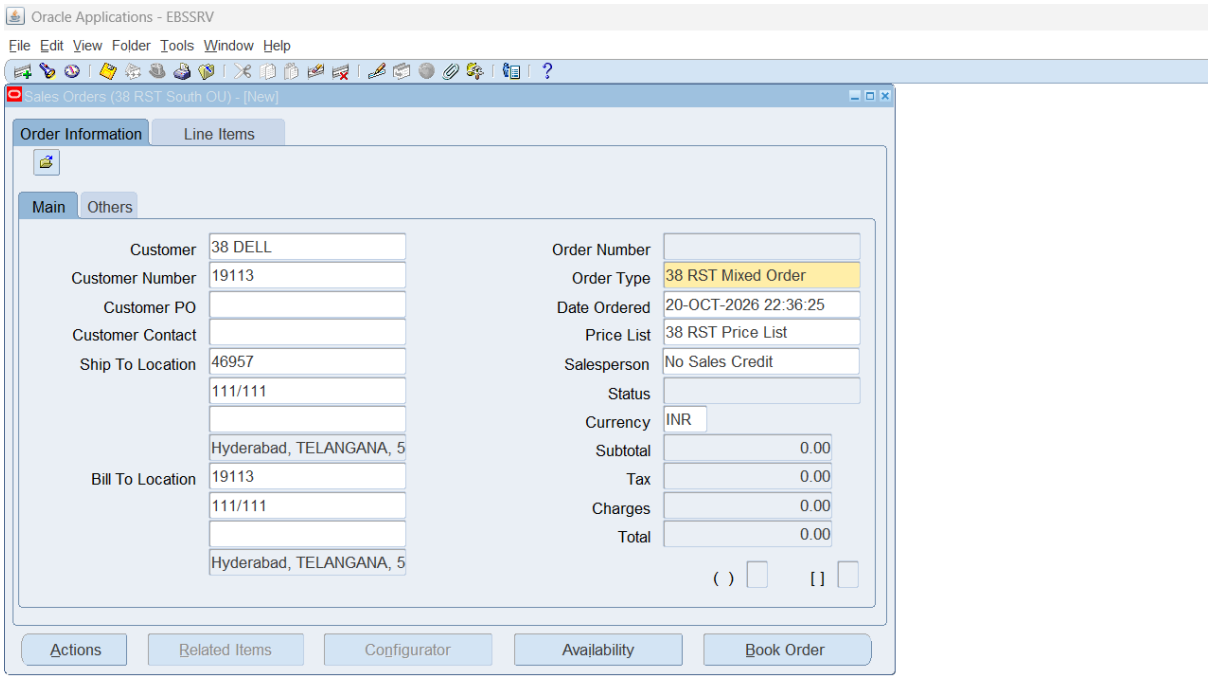
> **Step 14: Open the Sales Orders form**
> **Navigation:** Navigator (38 RST OM RESP) → Order Management → Orders, Returns → Sales Orders
> **Details:** Select Sales Orders and click Open.



Step 15: Sales order header – Main tab

Navigation: Sales Orders window → Order Information tab → Main tab

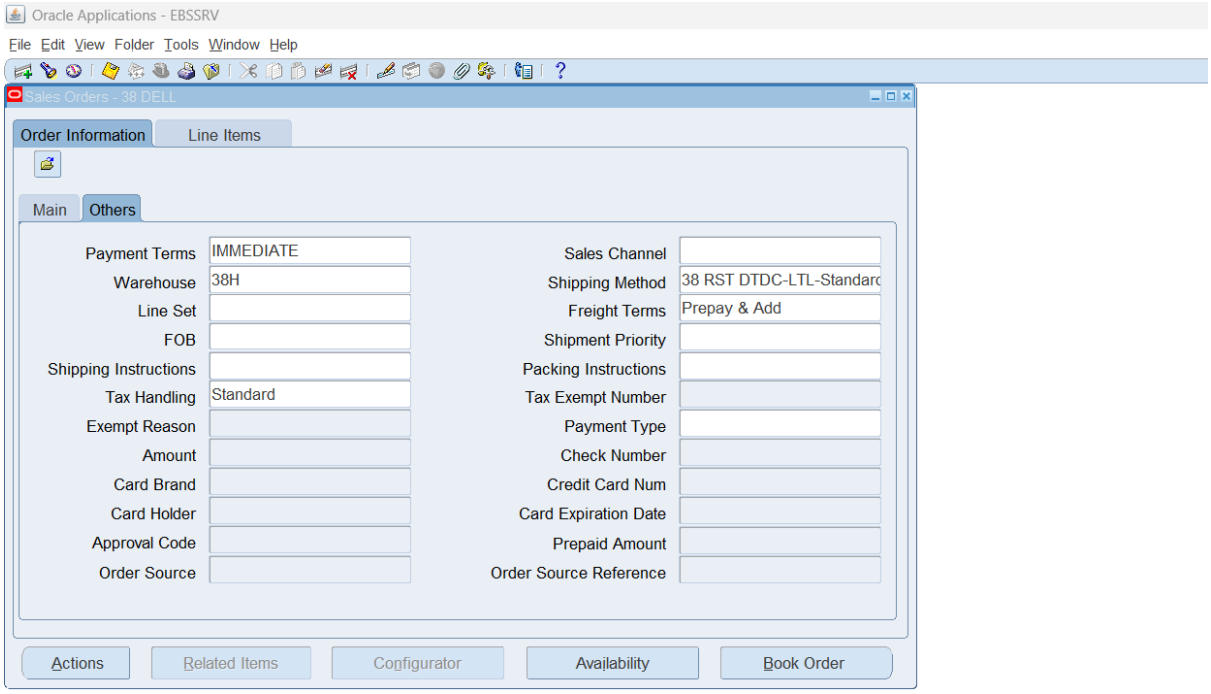
Details: Customer: 38 DELL (19113). Order Type: 38 RST Mixed Order. Price List: 38 RST Price List. Currency: INR. Ship To and Bill To locations default from the customer.



Step 16: Sales order header – Others tab

Navigation: Sales Orders window → Order Information tab → Others tab

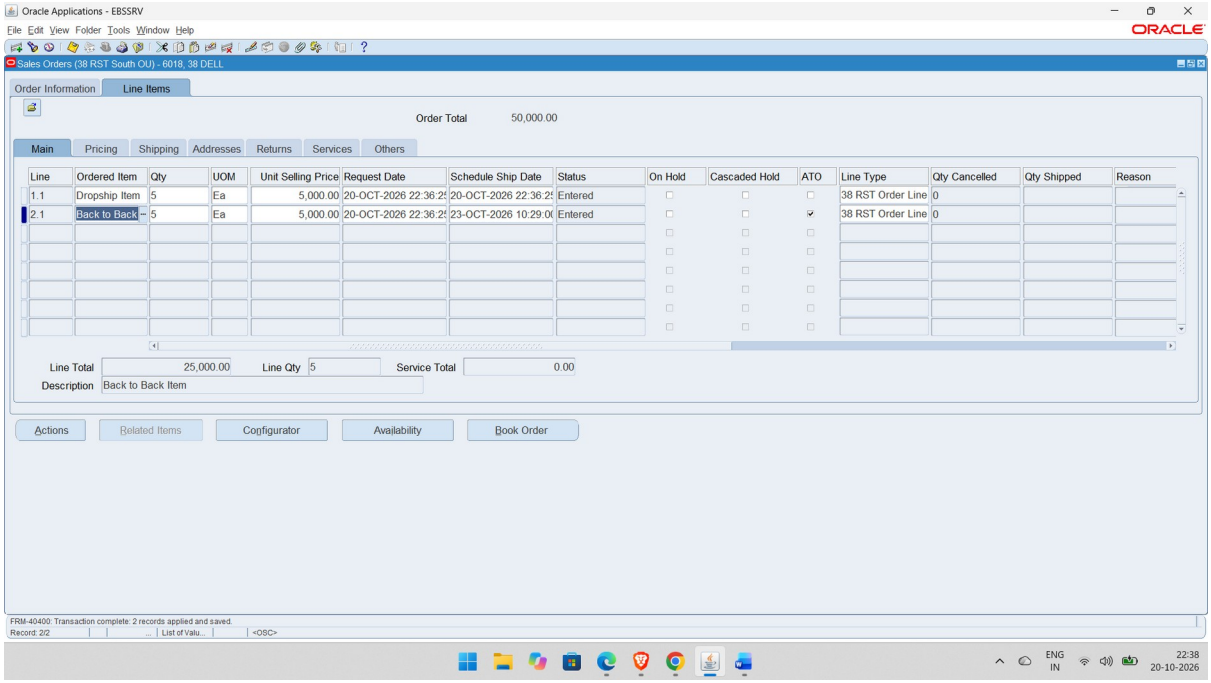
Details: Payment Terms: IMMEDIATE. Warehouse: 38H. Shipping Method: 38 RST DTDC-LTL-Standard. Freight Terms: Prepay & Add.



Step 17: Sales order lines – Main tab

Navigation: Sales Orders window → Line Items tab → Main tab

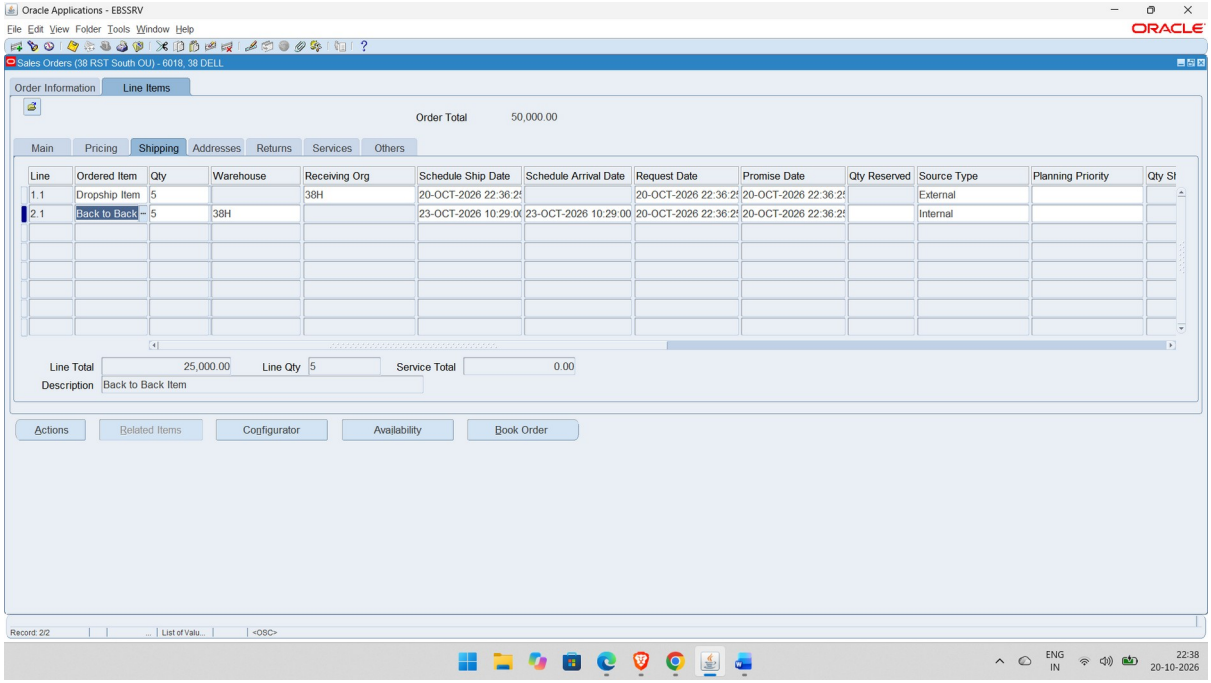
Details: Line 1.1 Dropship Item and line 2.1 Back to Back Item, quantity 5 each at 5,000, line type 38 RST Order Line, status Entered. The ATO check box is selected for line 2.1. Order total: 50,000.



Step 18: Sales order lines – Shipping tab

Navigation: Sales Orders window → Line Items tab → Shipping tab

Details: Line 1.1 has Source Type External (drop ship). Line 2.1 has Warehouse 38H and Source Type Internal.



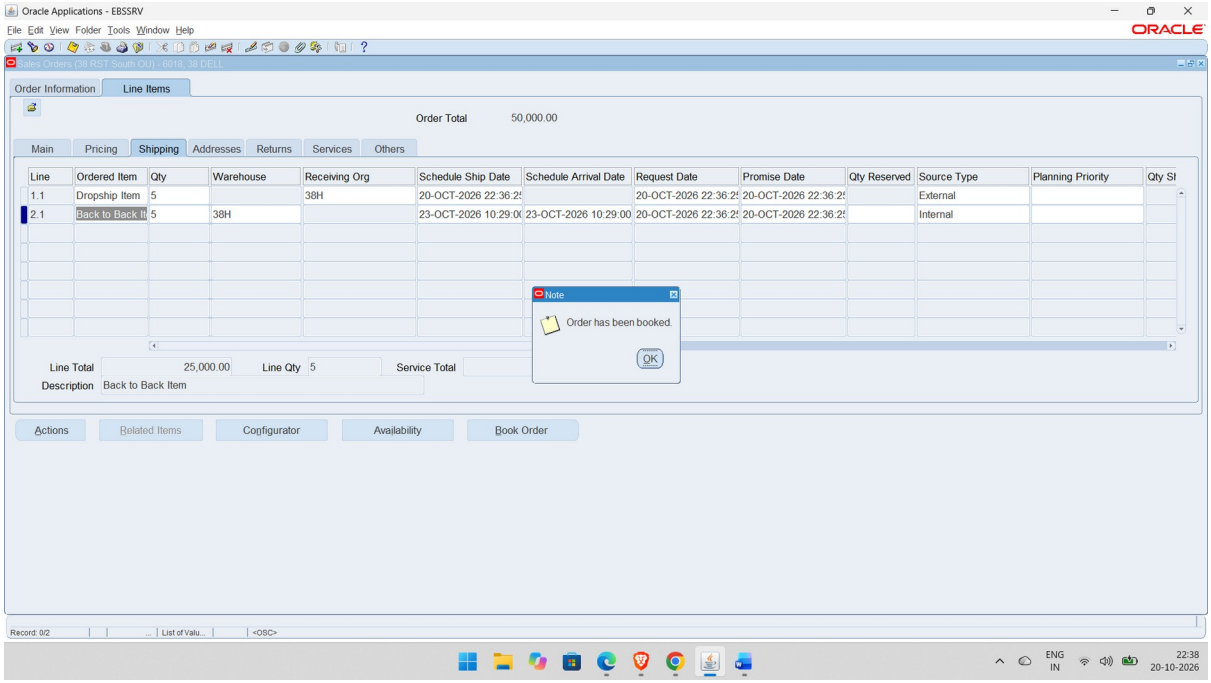
Book the Sale Order

- Book the order so the lines move into the fulfilment workflow.

Step 19: Book the order

Navigation: Sales Orders window → Book Order button

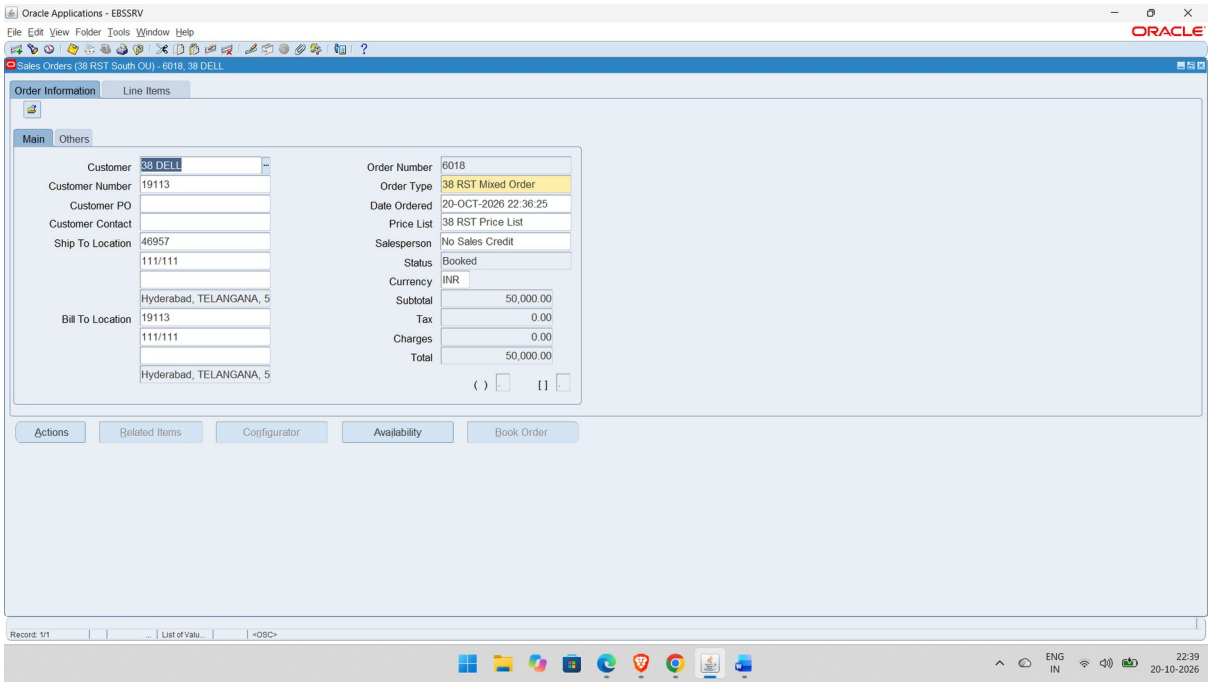
Details: The message 'Order has been booked.' is displayed. Click OK.



Step 20: Booked order header

Navigation: Sales Orders window → Order Information tab → Main tab

Details: Order Number: 6018. Status: Booked. Subtotal: 50,000.00.



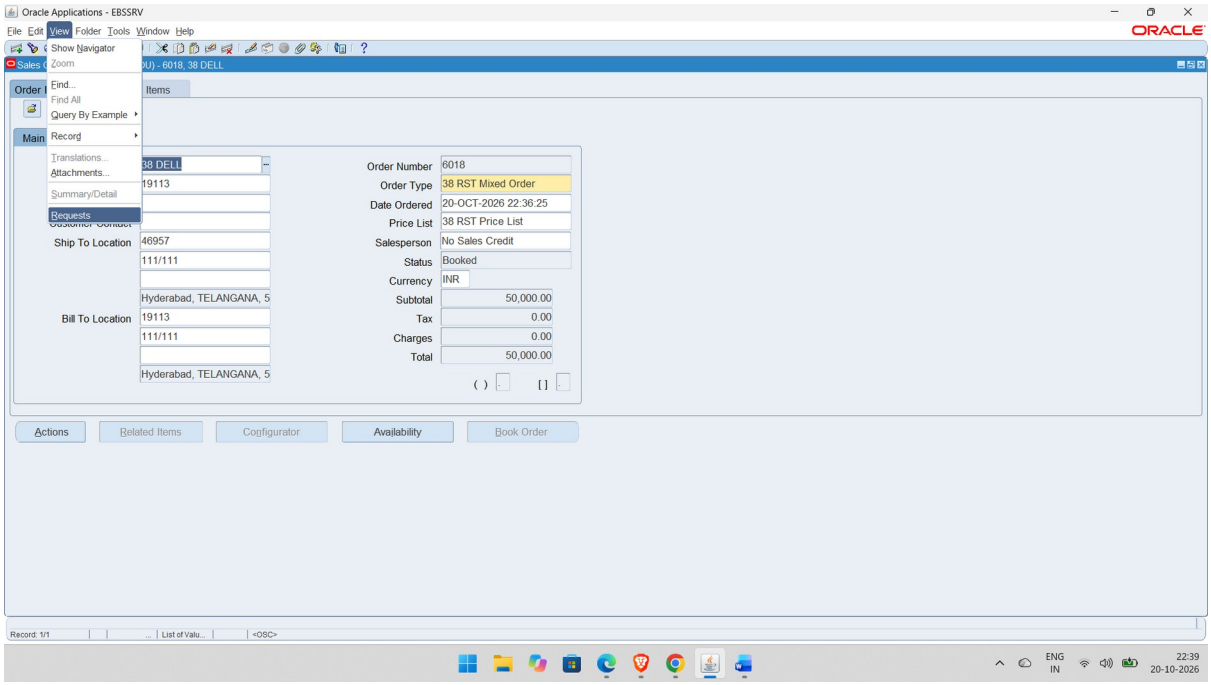
Run Workflow Background Process

- Submit the program from the Requests window so the booked lines progress.

Step 21: Open the Requests window

Navigation: Sales Orders window → View menu → Requests

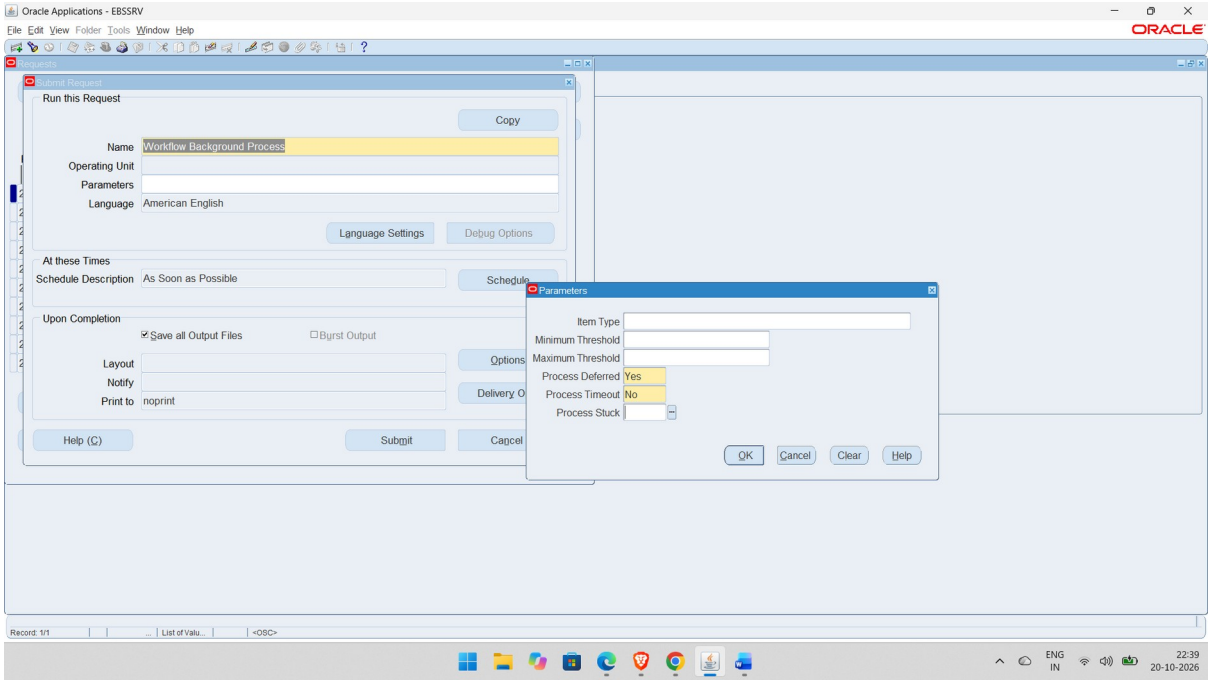
Details: Used to submit the Workflow Background Process so the booked lines progress.



Step 22: Submit Workflow Background Process

Navigation: Requests window → Submit a New Request → Single Request → Workflow Background Process

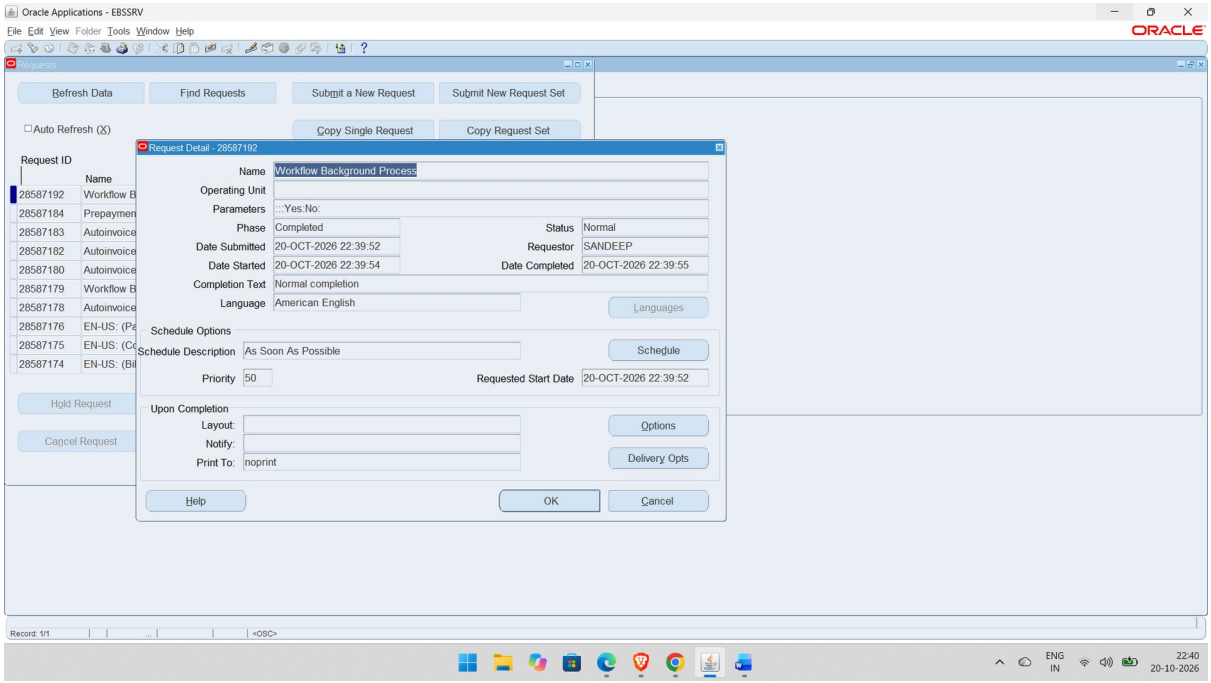
Details: In the Parameters window set Process Deferred = Yes and Process Timeout = No, click OK and then Submit.



Step 23: Check the request status

Navigation: Sales Orders window → View menu → Requests → Find

Details: The Workflow Background Process request shows Phase: Completed and Status: Normal.



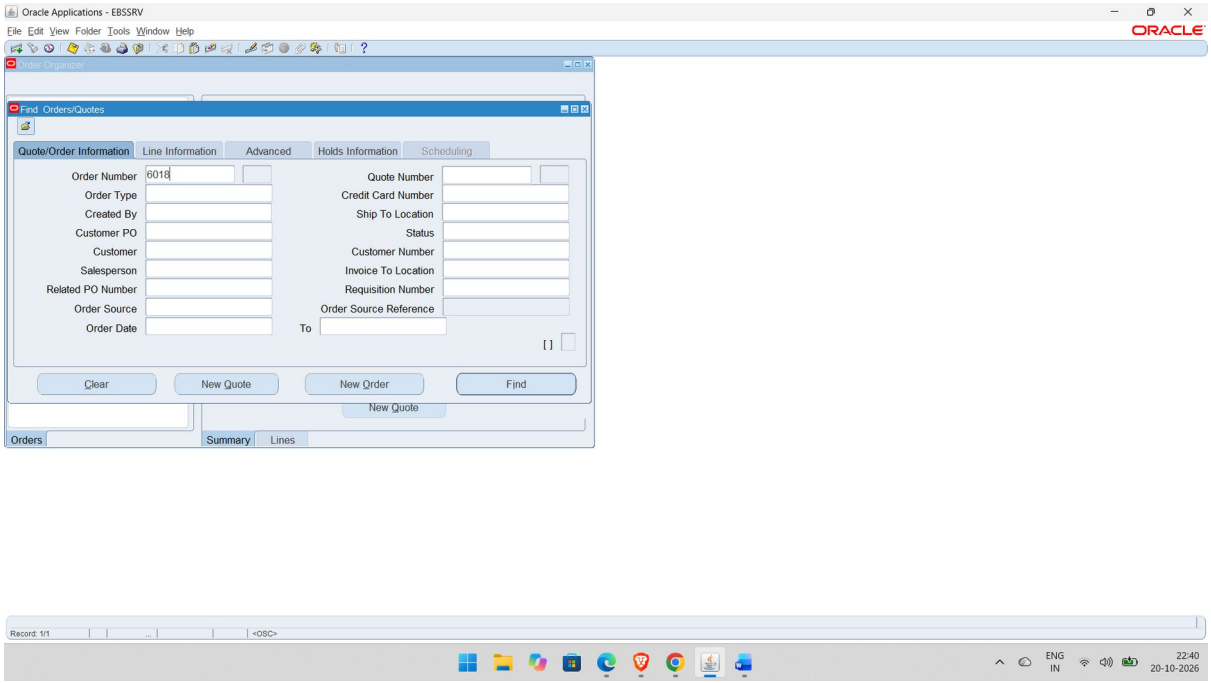
Check the Order and Line Status

- Query the order in Order Organizer and check the line statuses.

Step 24: Find the order in Order Organizer

Navigation: Navigator → Order Management → Orders, Returns → Order Organizer → Find Orders/Quotes window

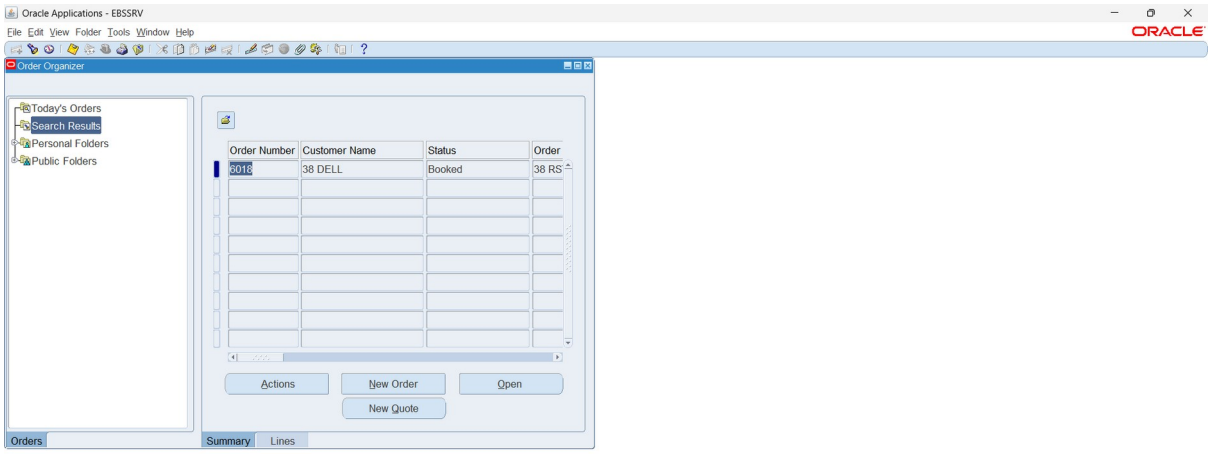
Details: Enter Order Number 6018 and click Find.



Step 25: Order Organizer search result

Navigation: Order Organizer → Search Results

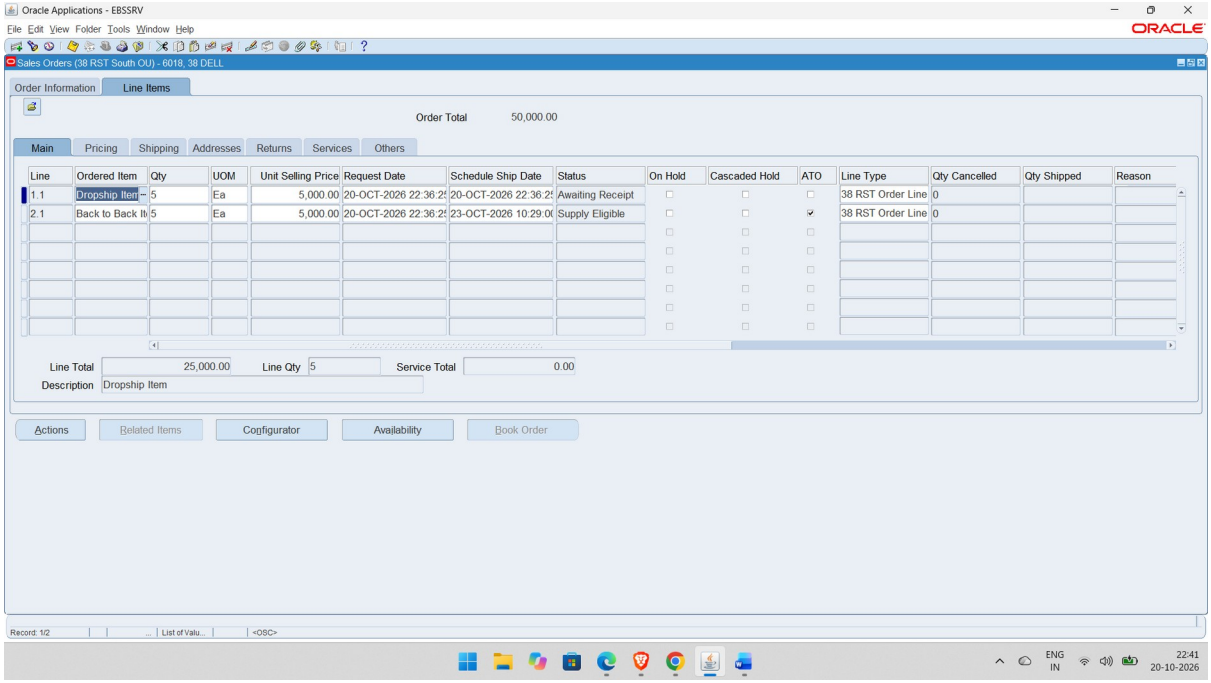
Details: Order 6018, customer 38 DELL, status Booked. Select the order and click Open.



Step 26: Line status after the workflow

Navigation: Sales Orders window → Line Items tab → Main tab

Details: Line 1.1 (Dropship Item) shows Awaiting Receipt and line 2.1 (Back to Back Item) shows Supply Eligible.



Drop Ship Process

- **Requisition Import:** Steps 27–32
- **Create Purchase Order:** Steps 33–39
- **Receive the material:** Steps 40–50
- **Supplier invoice, payment and accounting:** Steps 51–61
- **Customer invoice and receipt:** Steps 62–70
- **Line closed:** Step 71

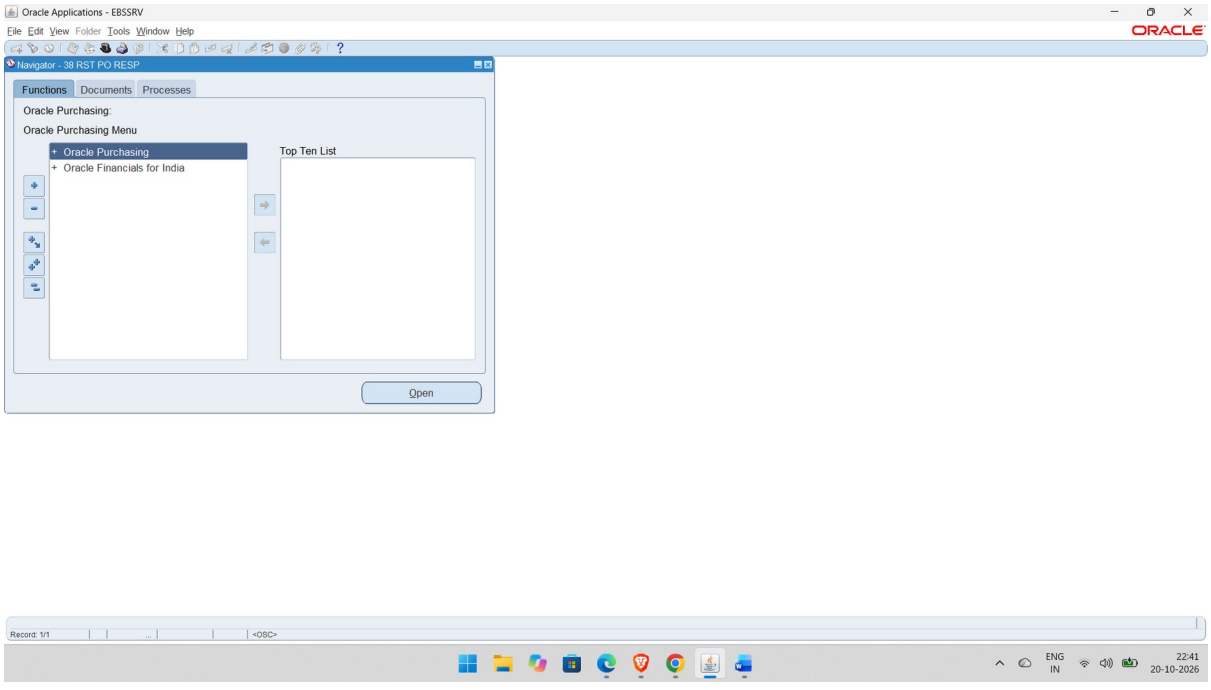
Create Requisition – Requisition Import

- Run Requisition Import with Import Source ORDER ENTRY to create the requisition for the drop-ship line.

Step 27: Open Oracle Purchasing

Navigation: Navigator → 38 RST PO RESP → Oracle Purchasing

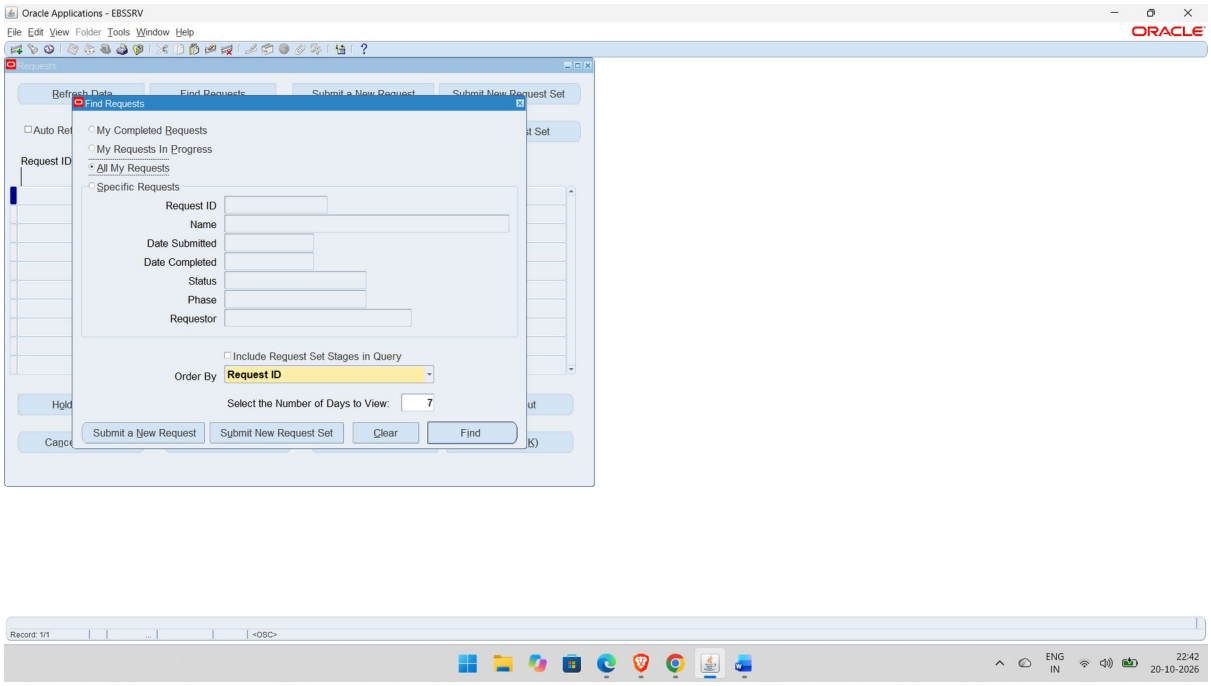
Details: The Purchasing responsibility is used for Requisition Import, AutoCreate and Receiving.



Step 28: Open the Requests window

Navigation: Oracle Purchasing → View menu → Requests → Submit a New Request

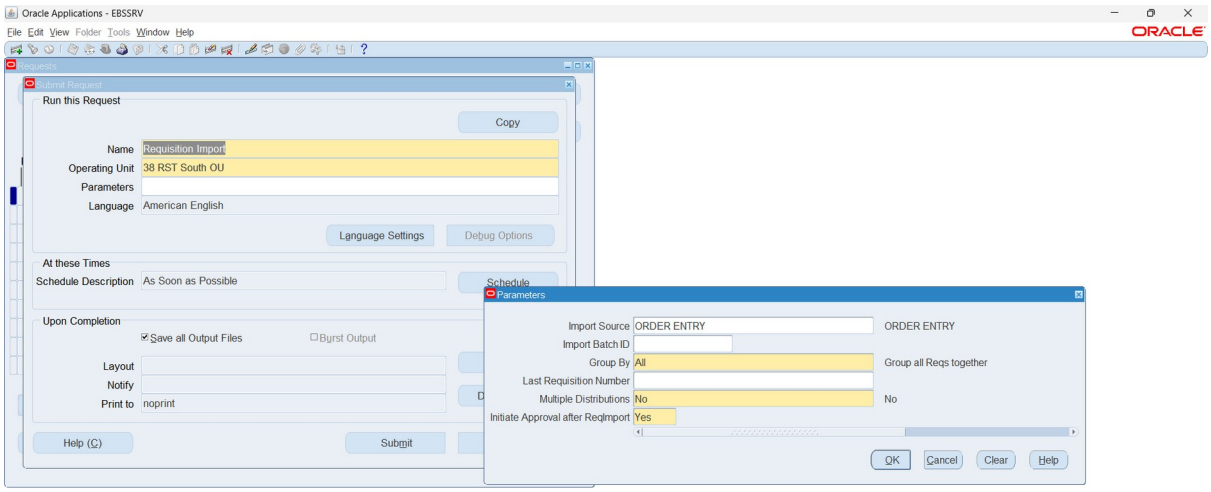
Details: Used to submit the Requisition Import program for the drop-ship order line.

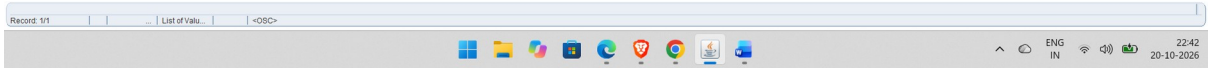


Step 29: Submit Requisition Import (Order Entry)

Navigation: Requests window → Submit a New Request → Single Request → Requisition Import

Details: Operating Unit: 38 RST South OU. Import Source: ORDER ENTRY. Group By: All. Multiple Distributions: No. Initiate Approval after ReqImport: Yes.

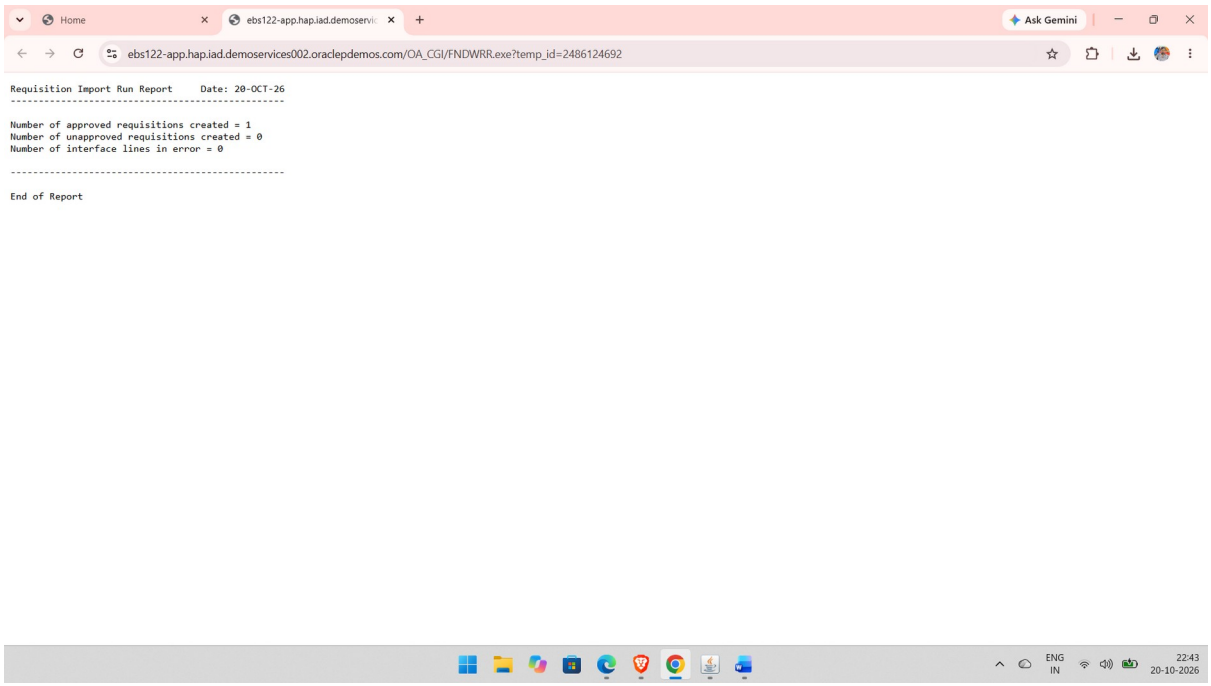




Step 30: Requisition Import report

Navigation: View menu → Requests → View Output

Details: Number of approved requisitions created = 1. Unapproved requisitions = 0. Interface lines in error = 0.



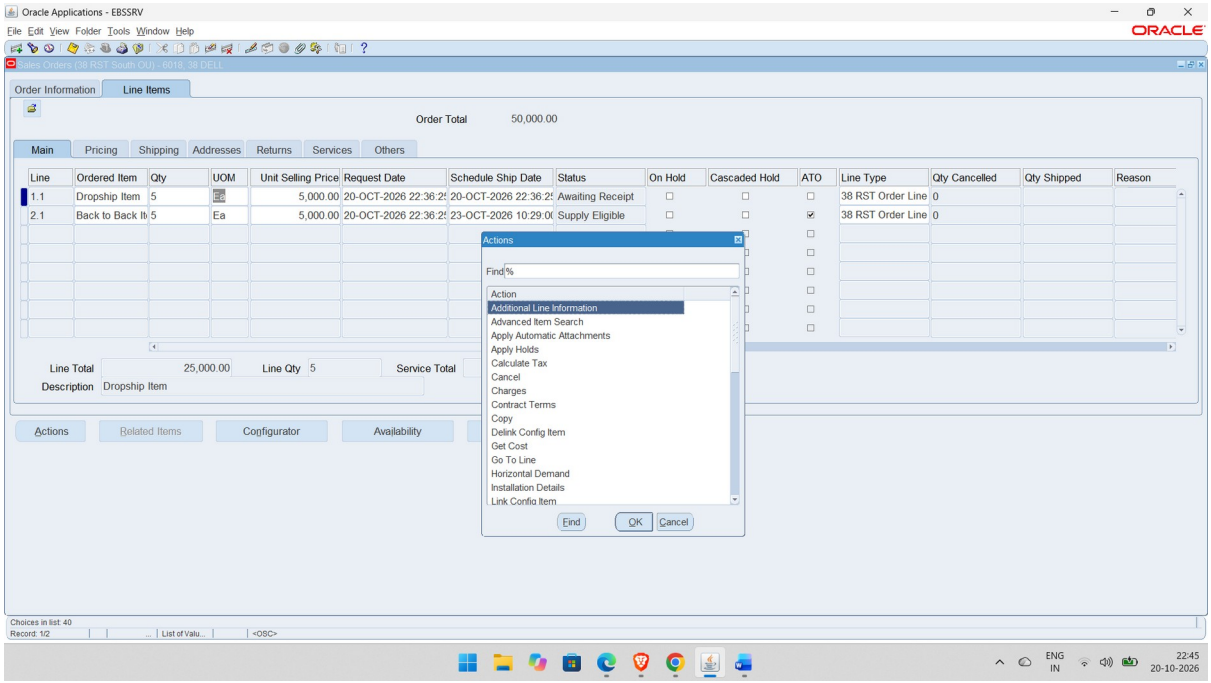
Check the Requisition on the Order Line

- Open Additional Line Information on line 1.1 and view the Drop Ship tab.

Step 31: Open Additional Line Information

Navigation: Sales Orders window → Line Items tab → select line 1.1 → Actions → Additional Line Information

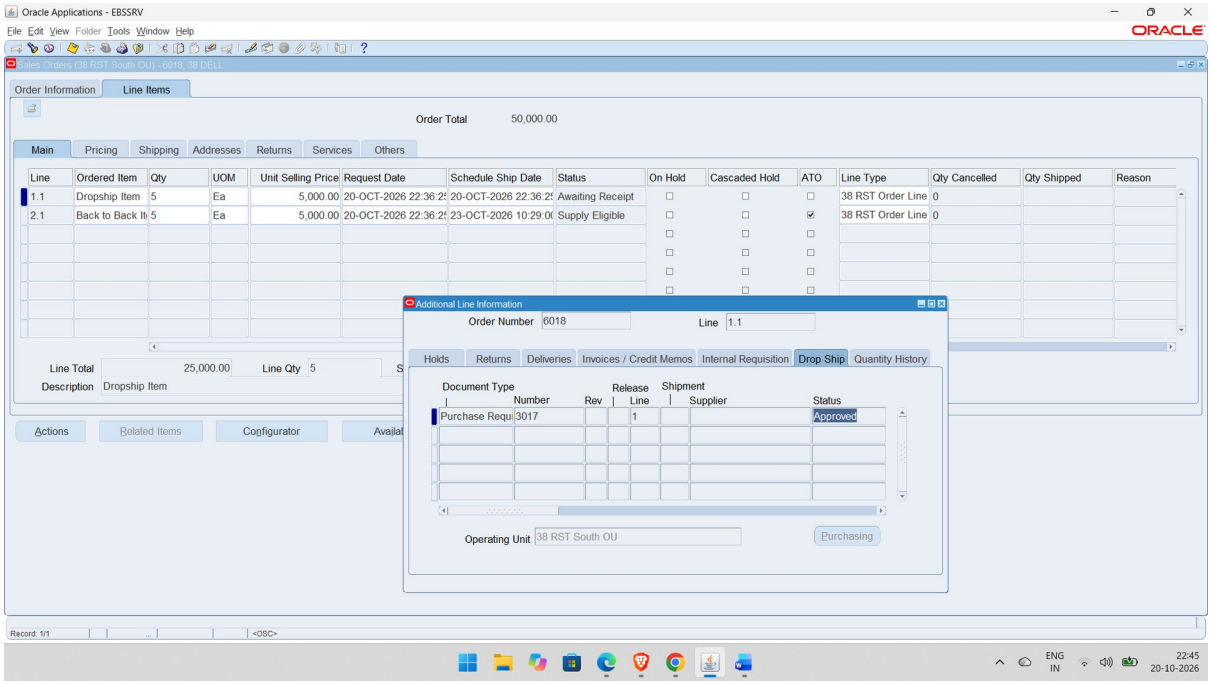
Details: Select Additional Line Information from the Actions list and click OK.



Step 32: Find the requisition on the Drop Ship tab

Navigation: Additional Line Information window → Drop Ship tab

Details: Document Type: Purchase Requisition. Number: 3017. Status: Approved. Operating Unit: 38 RST South OU.



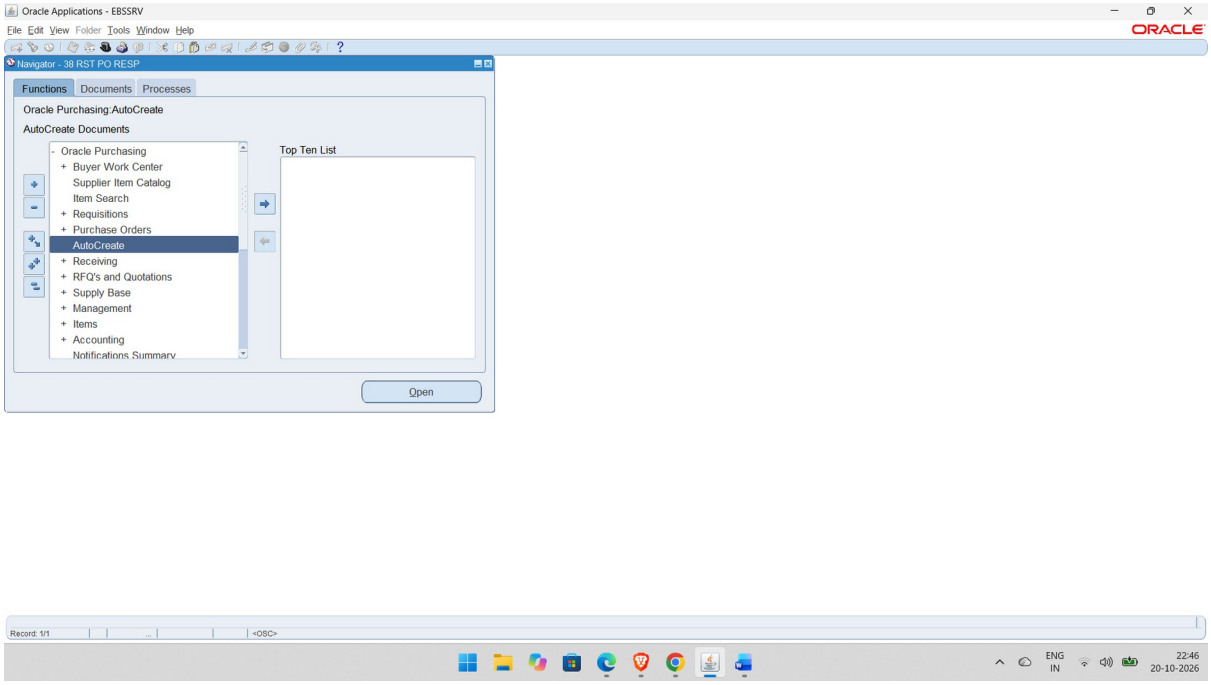
Create Purchase Order – AutoCreate

- Use AutoCreate to turn requisition 3017 into PO 5031 for supplier 38 AMAZON, then approve it.

Step 33: Open AutoCreate

Navigation: Navigator (38 RST PO RESP) → Oracle Purchasing → AutoCreate

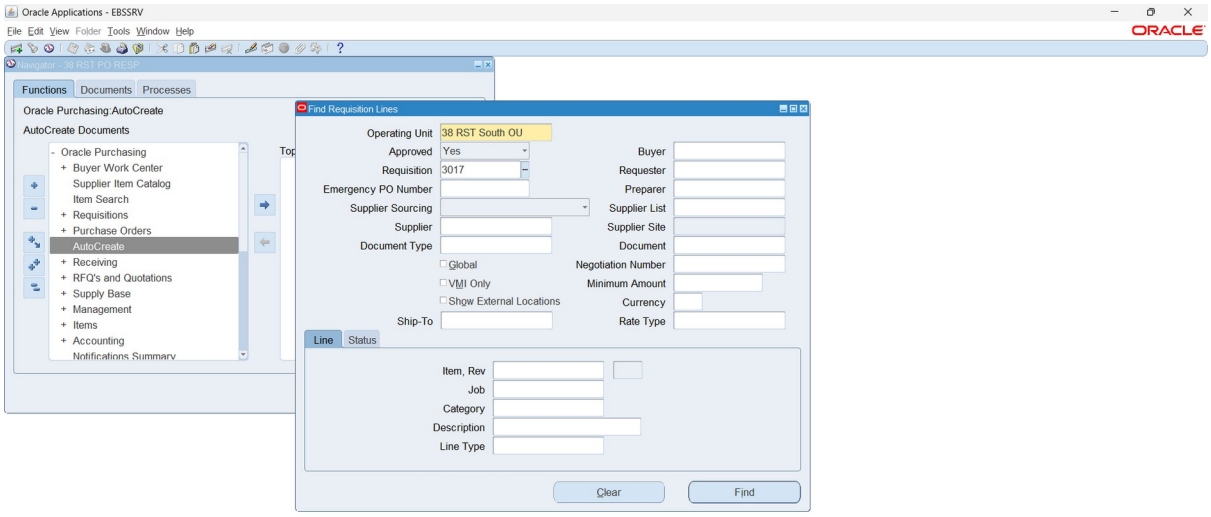
Details: Select AutoCreate and click Open.



Step 34: Find the requisition lines

Navigation: AutoCreate Documents → Find Requisition Lines window

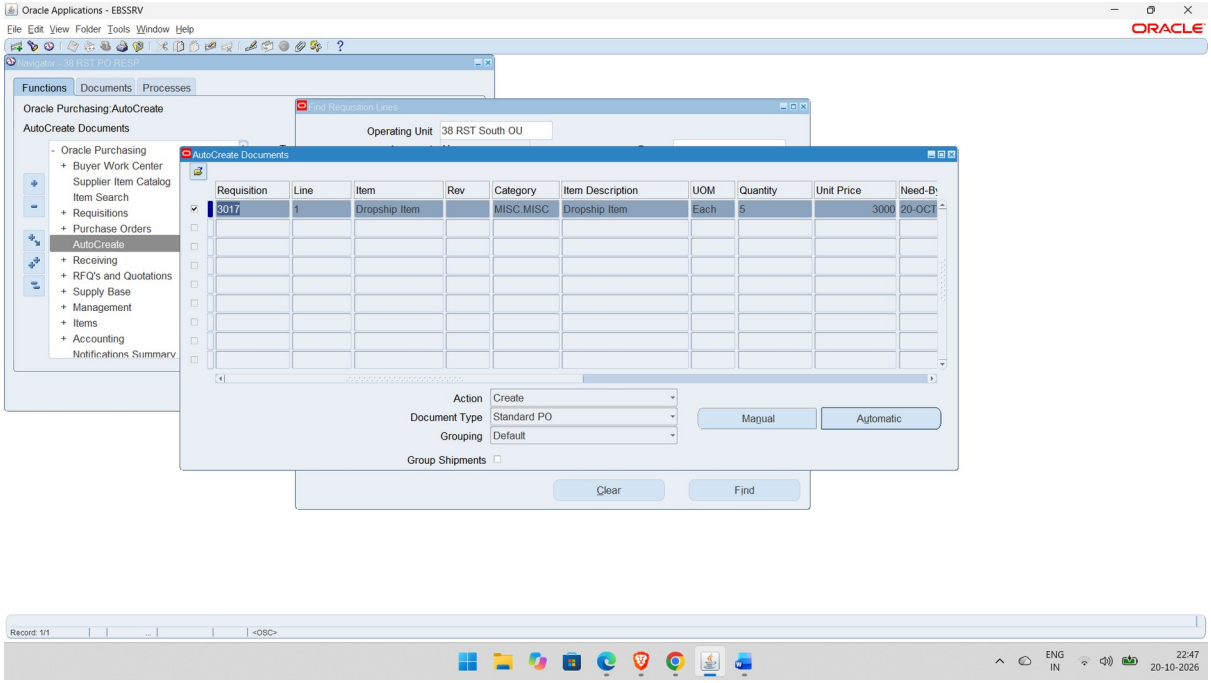
Details: Operating Unit: 38 RST South OU. Approved: Yes. Requisition: 3017. Click Find.



Step 35: Select the requisition line

Navigation: AutoCreate Documents window

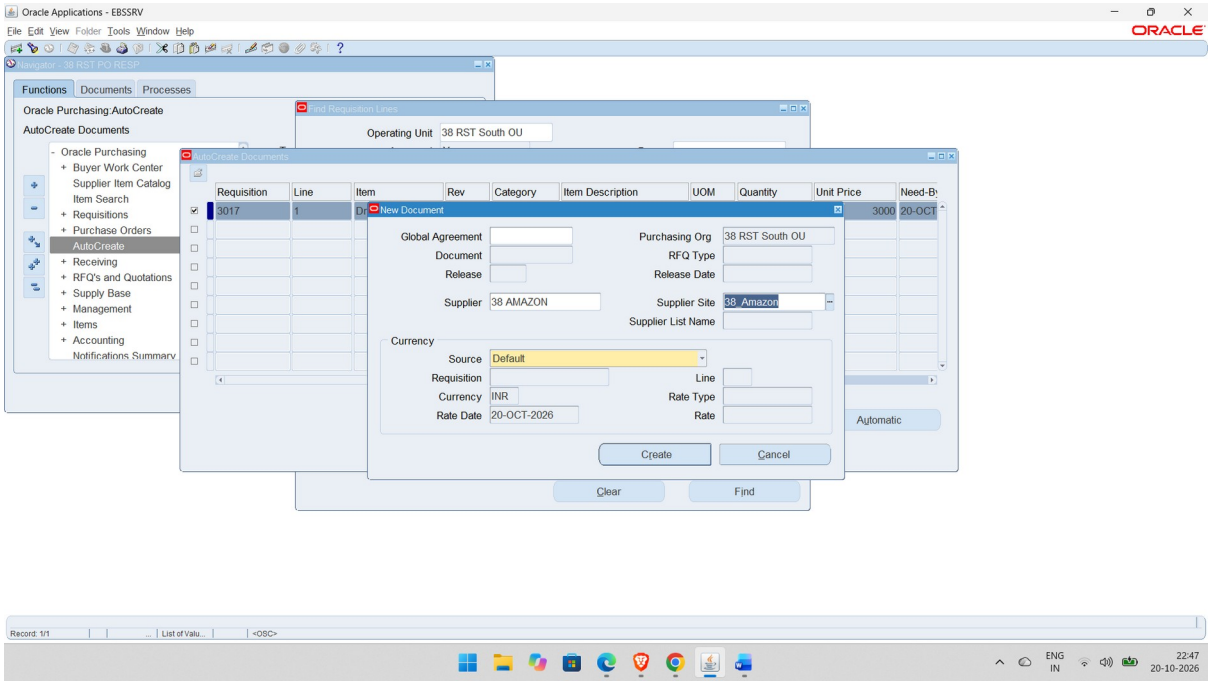
Details: Requisition 3017, line 1, Dropship Item, quantity 5, unit price 3000. Action: Create. Document Type: Standard PO. Click Automatic.



Step 36: Enter the supplier on New Document

Navigation: AutoCreate Documents → Automatic → New Document window

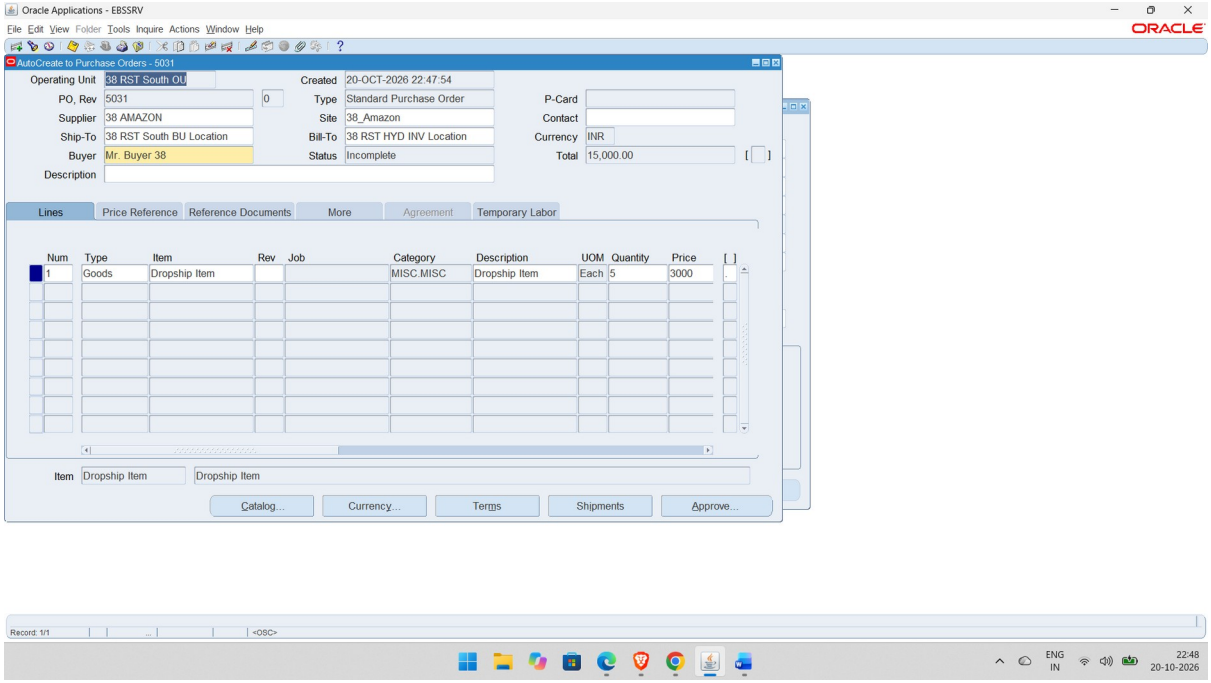
Details: Supplier: 38 AMAZON. Supplier Site: 38_Amazon. Purchasing Org: 38 RST South OU. Currency: INR. Click Create.



Step 37: Purchase order created

Navigation: Purchase Orders window (opened from AutoCreate) → Lines tab

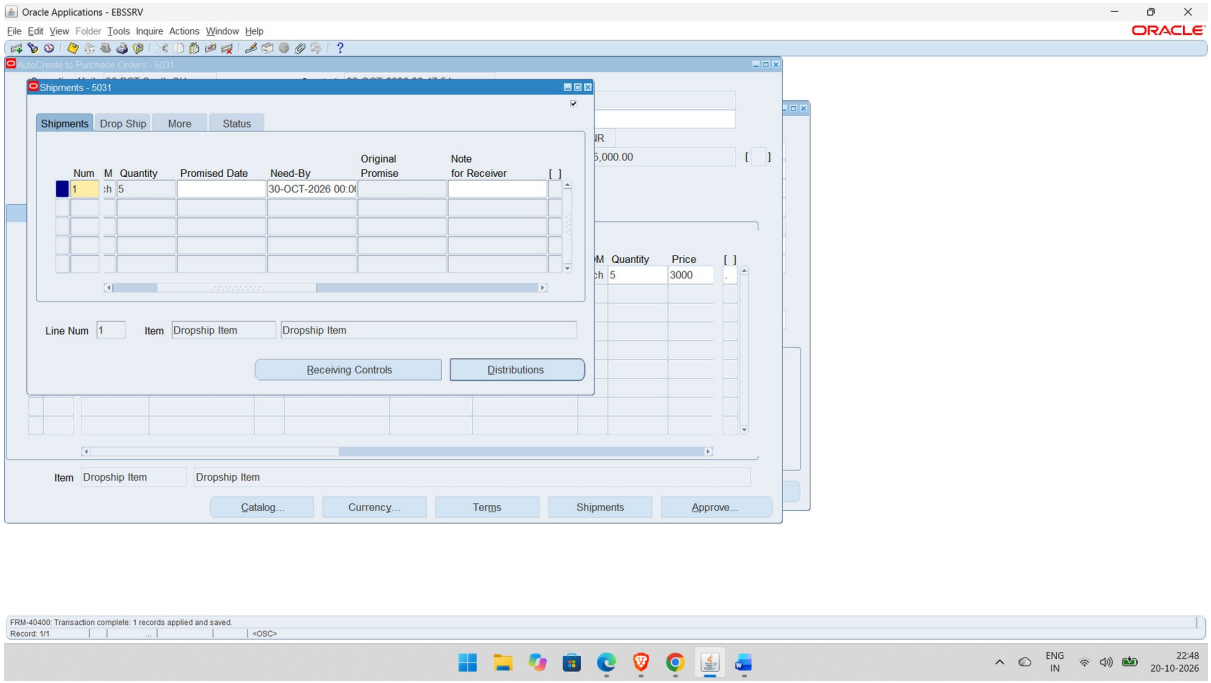
Details: PO 5031, Standard Purchase Order, supplier 38 AMAZON, buyer Mr. Buyer 38, status Incomplete, total 15,000.



Step 38: Review the PO shipments

Navigation: Purchase Orders window → Shipments button

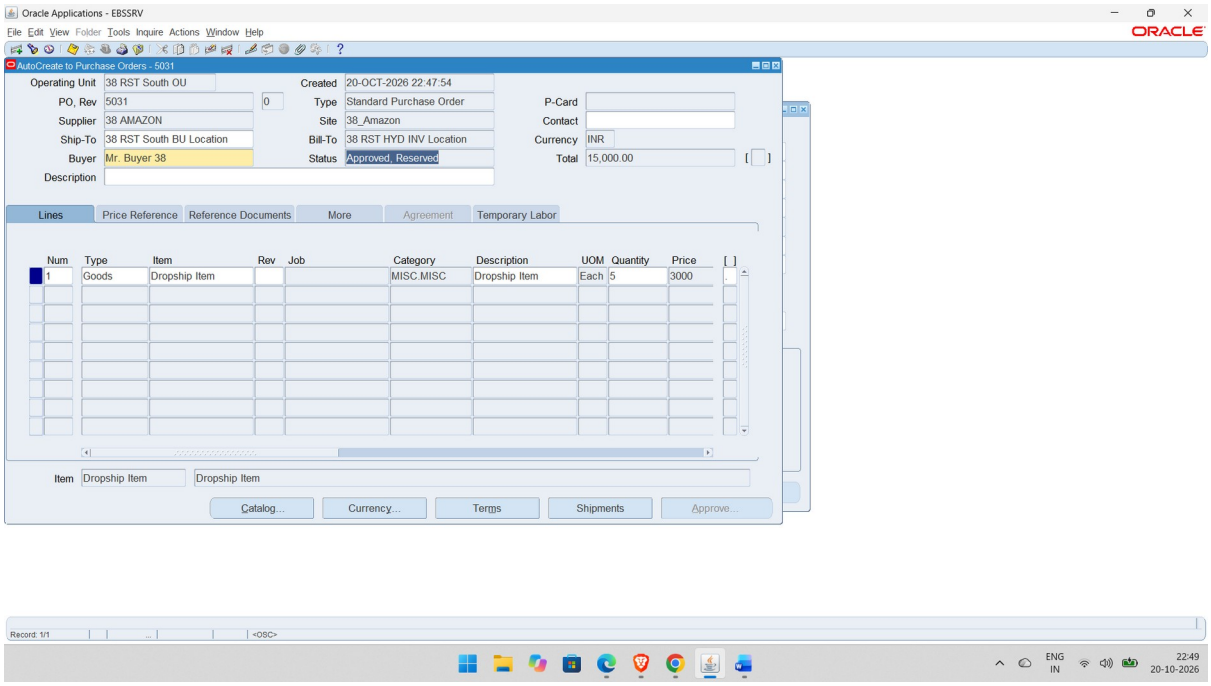
Details: The Shipments window shows the line quantity 5 and the need-by date. The status bar shows FRM-40400: Transaction complete.



Step 39: Approve the purchase order

Navigation: Purchase Orders window → Approve button

Details: After approval the PO status changes to Approved.



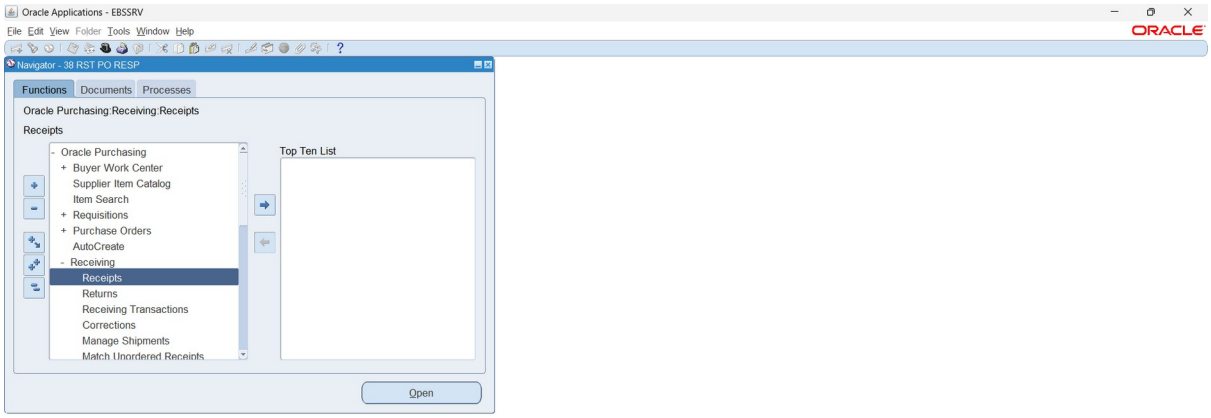
Receive the Material – Receiving

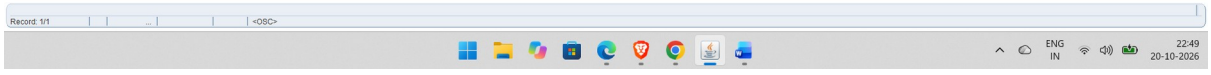
- Create the receipt against PO 5031, then check the on-hand quantity and the order line status.

Step 40: Open Receipts

Navigation: Navigator (38 RST PO RESP) → Oracle Purchasing → Receiving → Receipts

Details: Select Receipts and click Open.

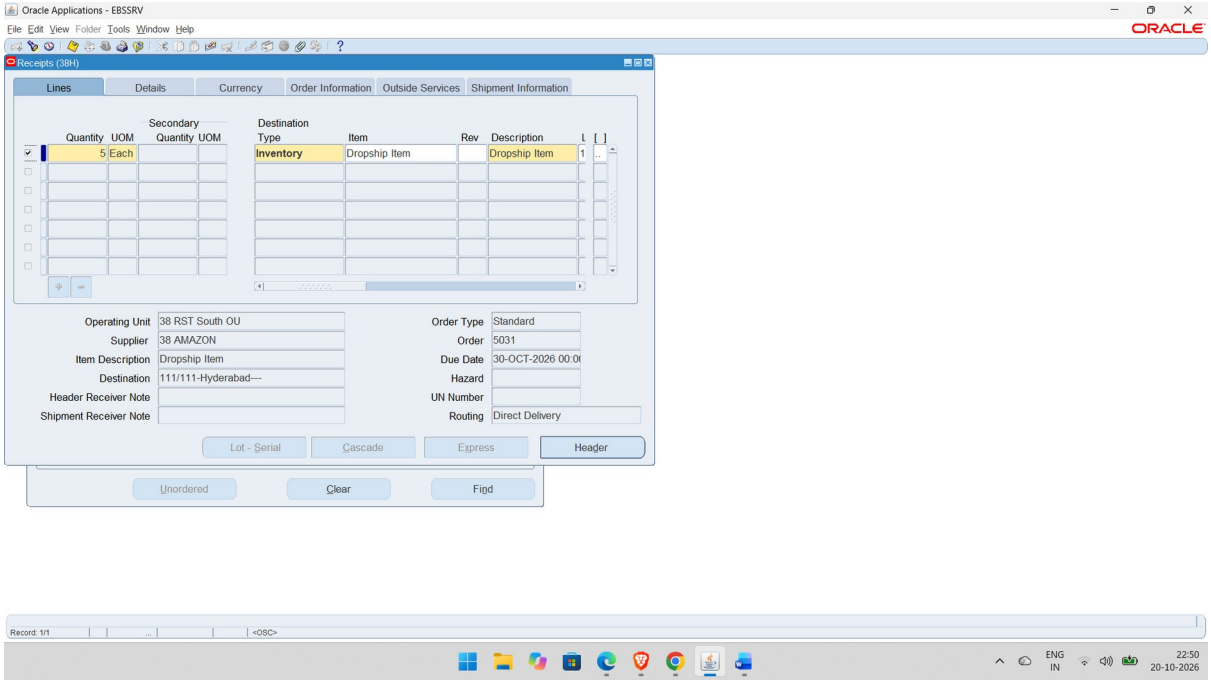




Step 41: Receipts – Lines tab

Navigation: Receipts window → Find Expected Receipts → Lines tab

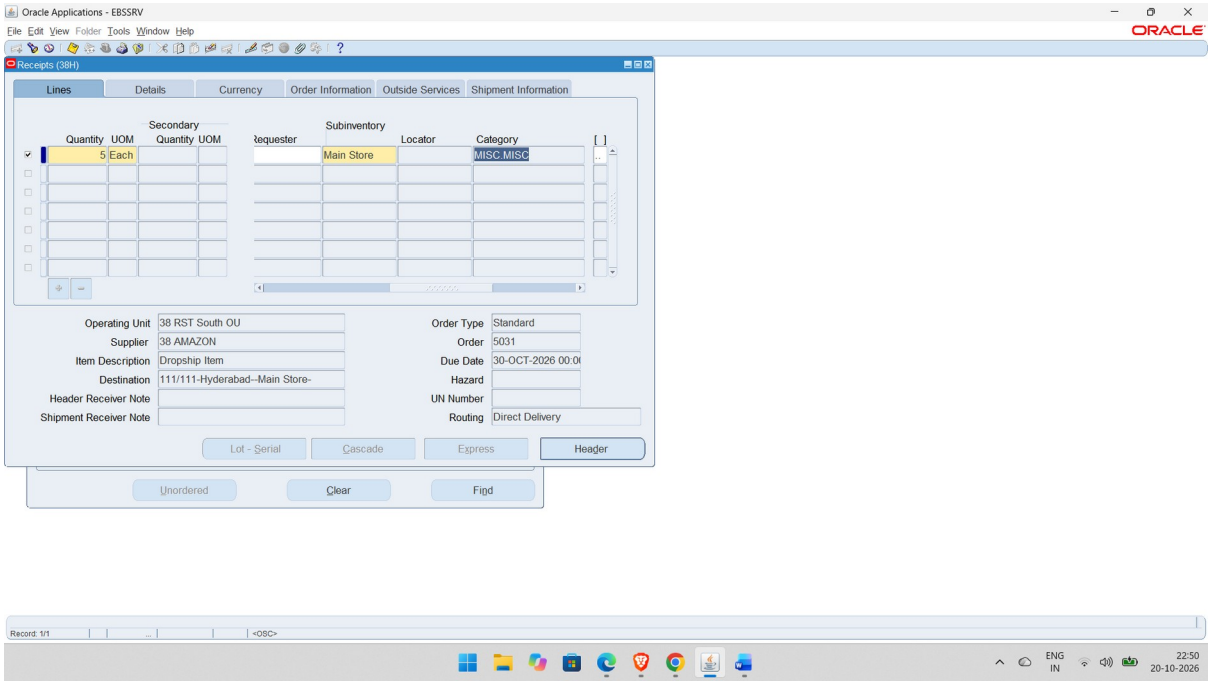
Details: PO 5031, supplier 38 AMAZON, Dropship Item, quantity 5 Each. Destination Type: Inventory. Routing: Direct Delivery.



Step 42: Receipts – Subinventory

Navigation: Receipts window → Lines tab (scroll right)

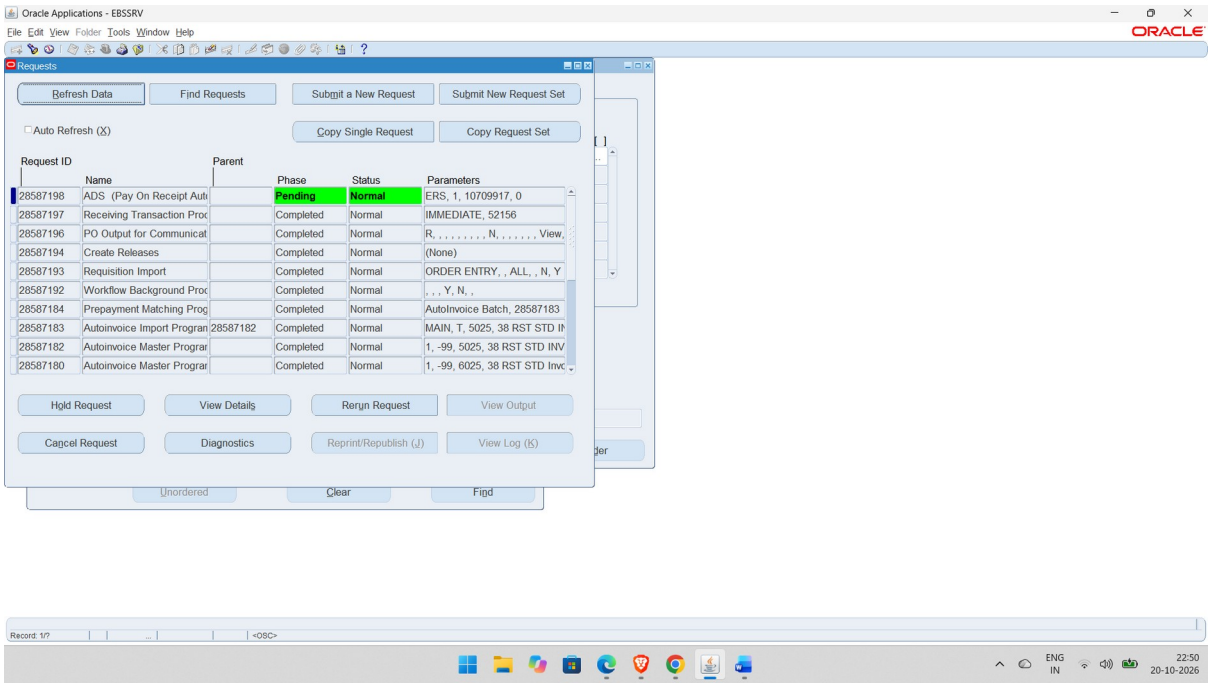
Details: Quantity: 5 Each against the drop-ship PO. Subinventory: Main Store. Save the receipt. For a drop-ship item this is a logical quantity, not physical stock.



Step 43: Receiving Transaction Processor and Pay On Receipt requests

Navigation: View menu → Requests

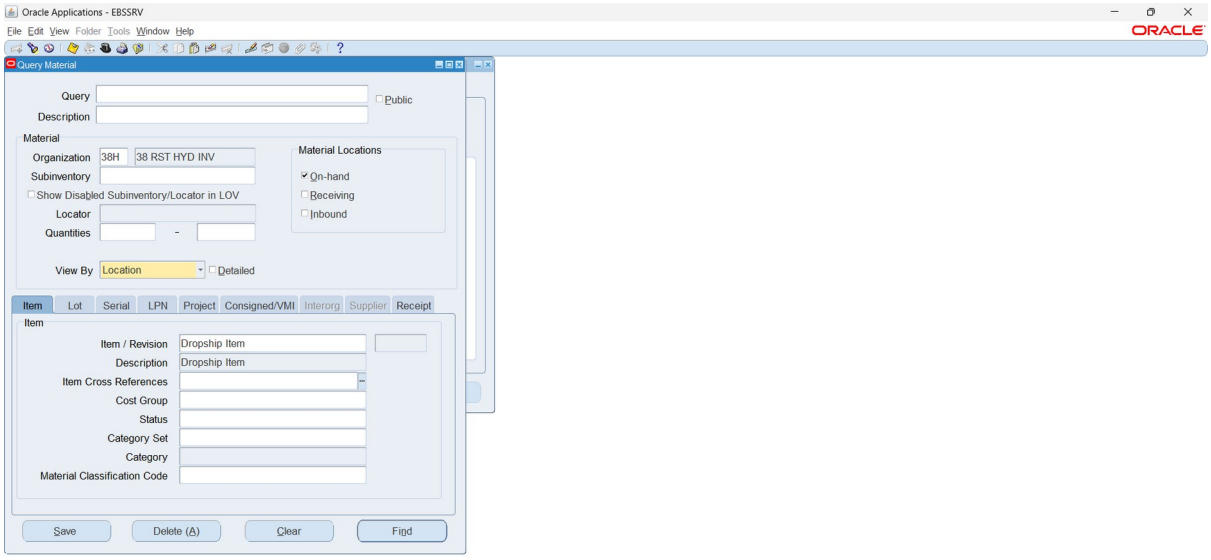
Details: The Receiving Transaction Processor request has completed and the Pay On Receipt AutoInvoice request is triggered.

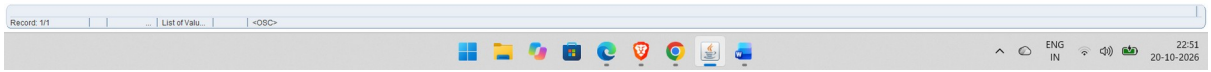


Step 44: Check on-hand quantity

Navigation: Navigator (38 RST INV RESP) → Oracle Inventory → On-hand, Availability → On-hand Quantity

Details: Query Material window for Dropship Item in organization 38H.

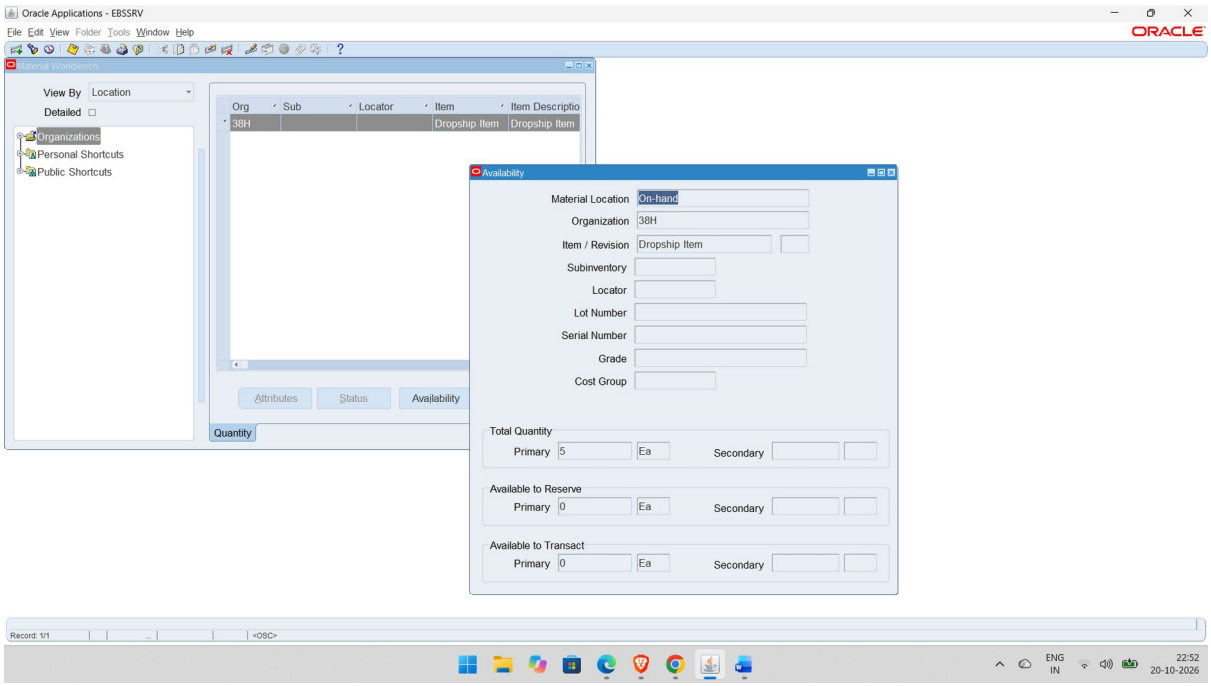




Step 45: Availability of the Dropship Item

Navigation: Material Workbench → Availability button

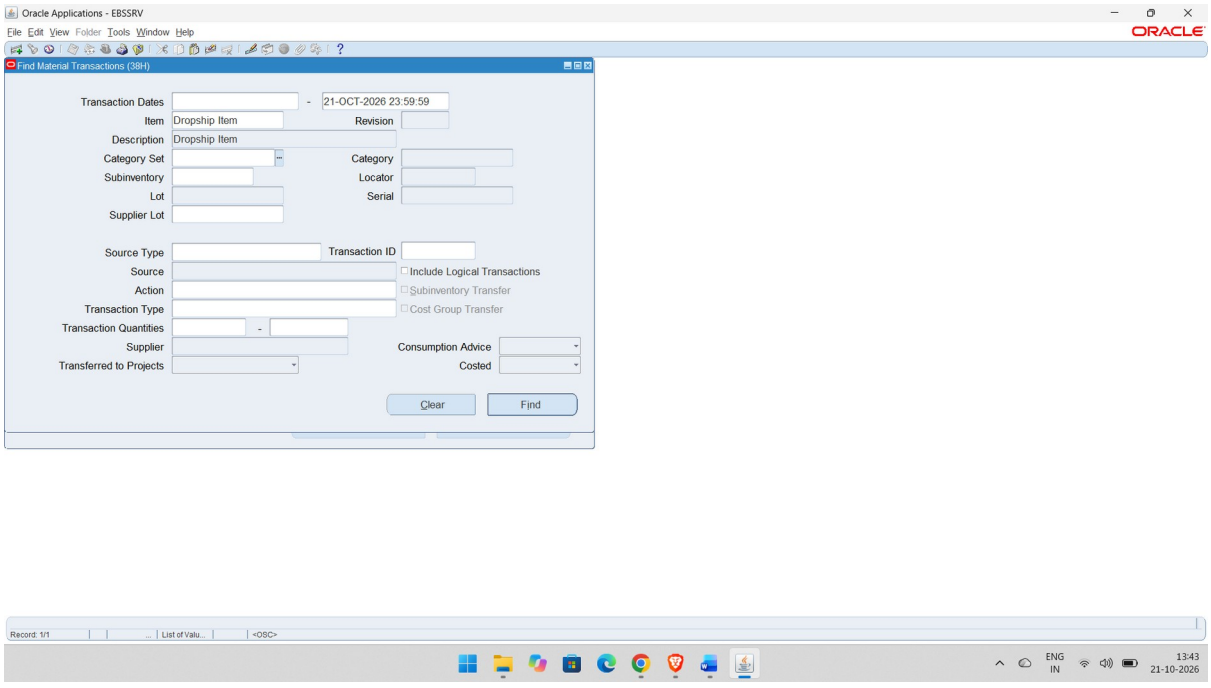
Details: Total Quantity: 5 Ea. Available to Reserve: 0. Available to Transact: 0. This is a logical quantity from the drop-ship receipt, not physical stock.



Step 46: Open Material Transactions

Navigation: Navigator (38 RST INV RESP) → Oracle Inventory → Transactions → Material Transactions → Find Material Transactions window

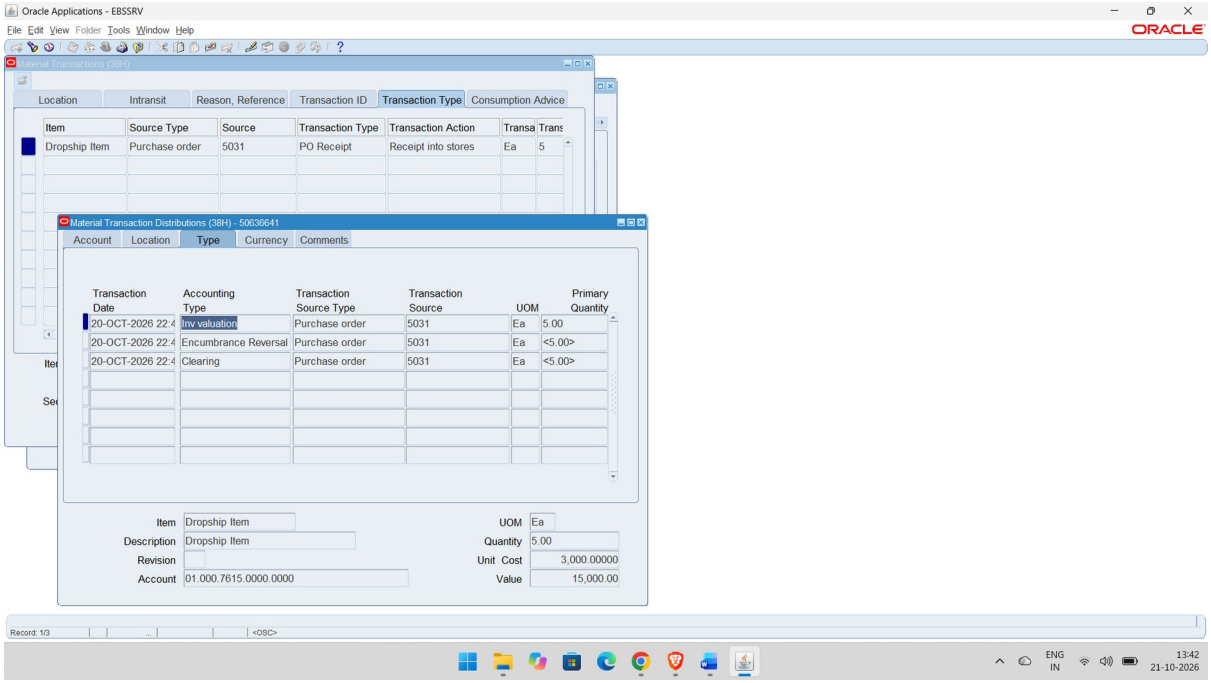
Details: Item: Dropship Item. Click Find to list the transactions for the drop-ship receipt. The Include Logical Transactions option is available in this window.



Step 47: Material transaction distributions for the drop-ship receipt

Navigation: Material Transactions (38H) window → Transaction Type tab → Material Transaction Distributions window

Details: Dropship Item: PO Receipt against PO 5031, Receipt into stores, quantity 5. Distributions: Inv valuation 5.00, Encumbrance Reversal <5.00>, Clearing <5.00>. Unit cost 3,000.00, value 15,000.00, account 01.000.7615.0000.0000. This is a logical quantity, not physical stock: Available to Reserve and Available to Transact stay 0 (Step 45).



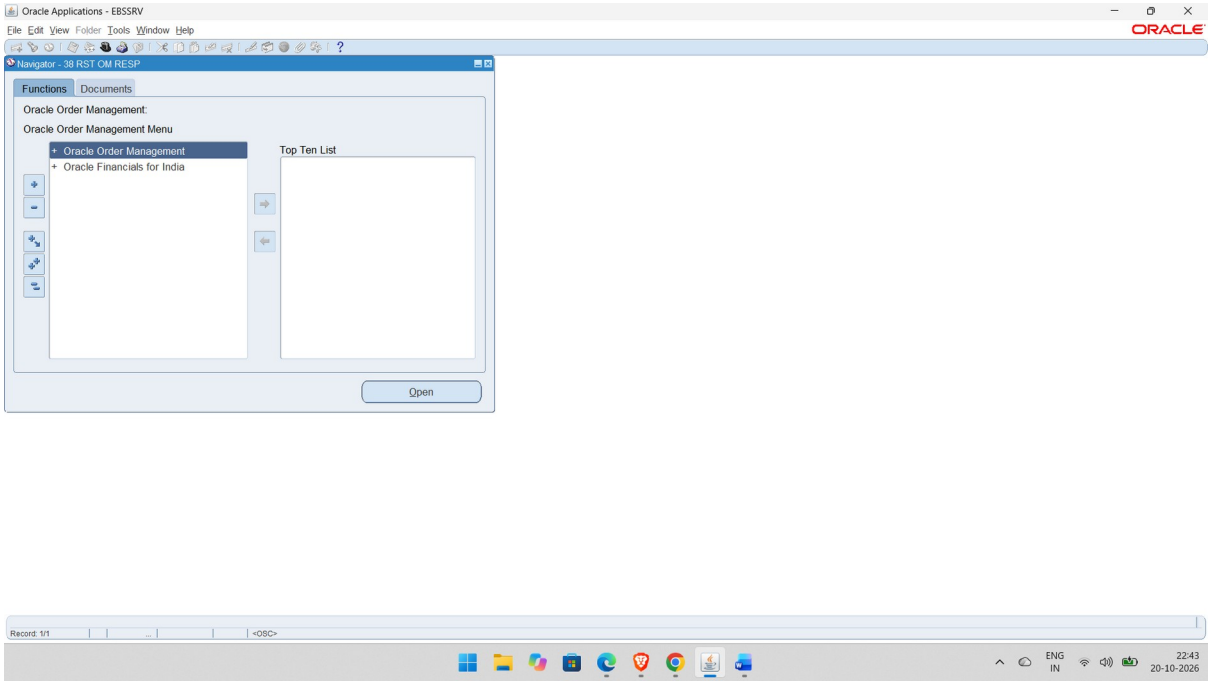
Check the Order Line – Shipped

- The drop-ship line moves to Shipped after the receipt.

Step 48: Open Order Management

Navigation: Navigator → 38 RST OM RESP → Order Management

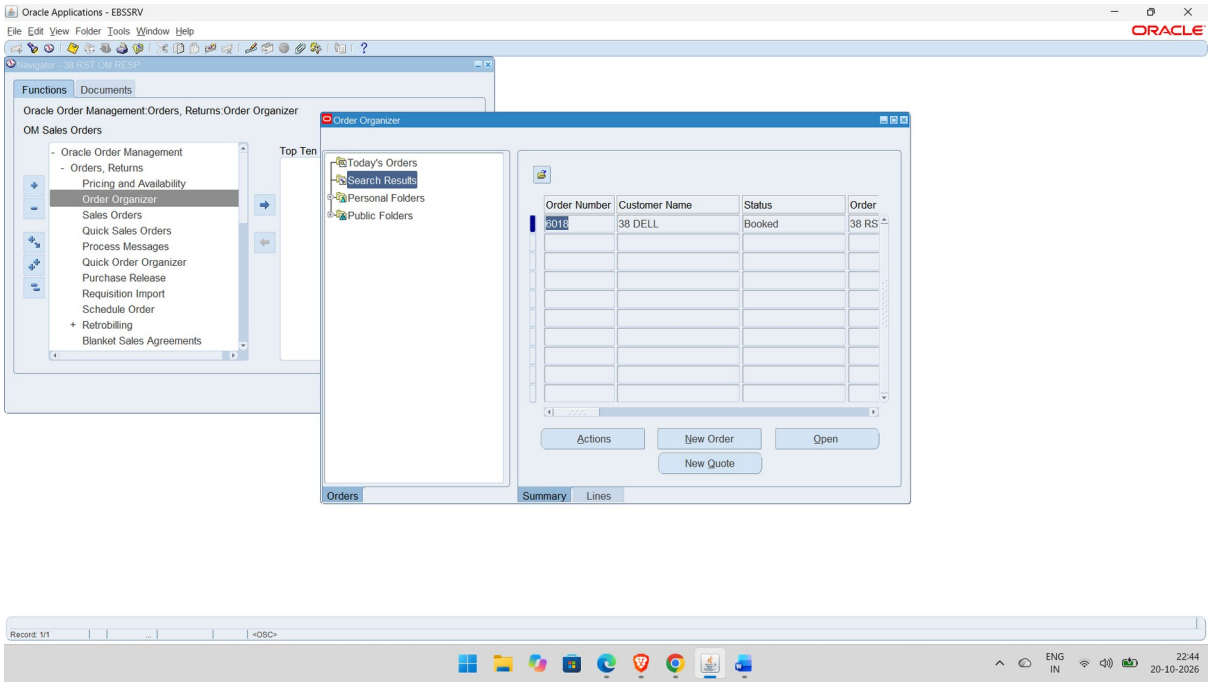
Details: Select Order Management and click Open.



Step 49: Open the order in Order Organizer

Navigation: Order Management → Orders, Returns → Order Organizer

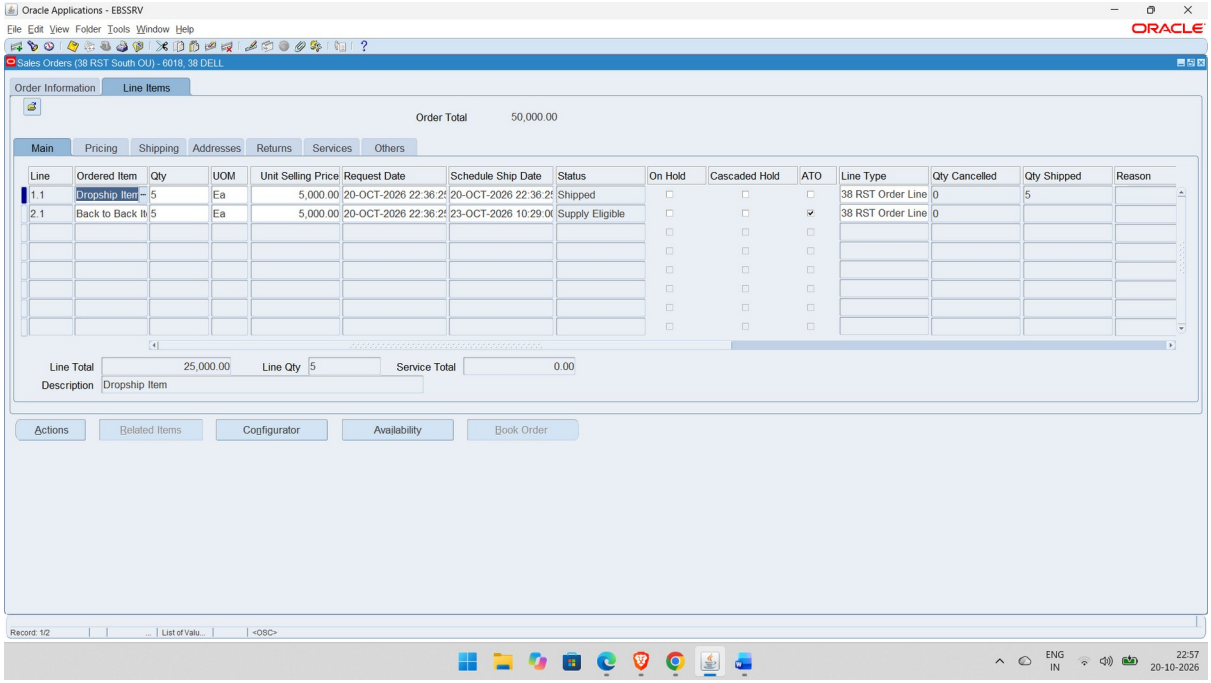
Details: Order 6018, customer 38 DELL, status Booked. Click Open.



Step 50: Drop-ship line status – Shipped

Navigation: Sales Orders window → Line Items tab → Main tab

Details: Line 1.1 (Dropship Item) shows status Shipped and Qty Shipped 5. Line 2.1 is still Supply Eligible.



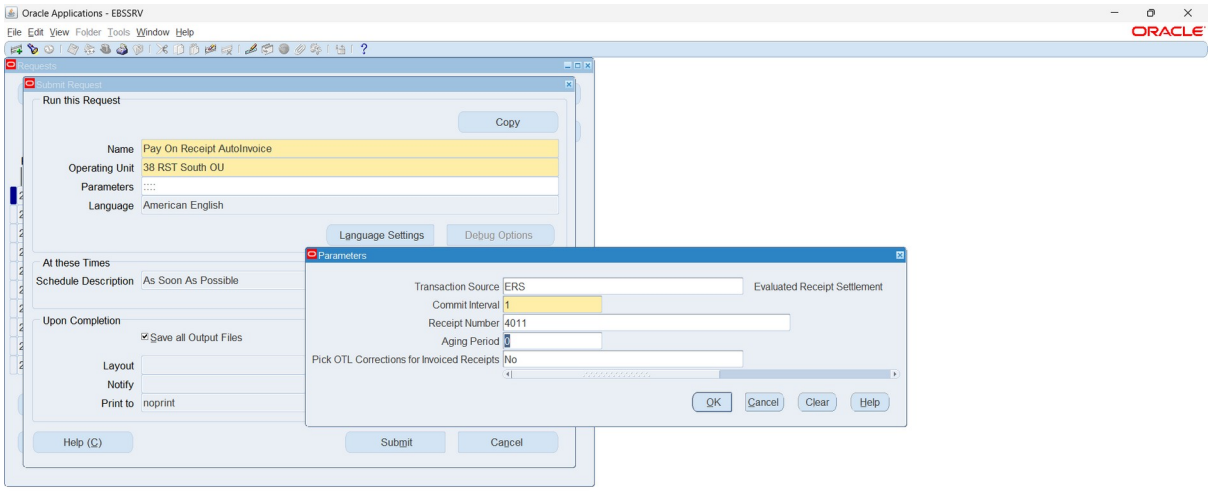
Supplier Invoice – Pay On Receipt AutoInvoice

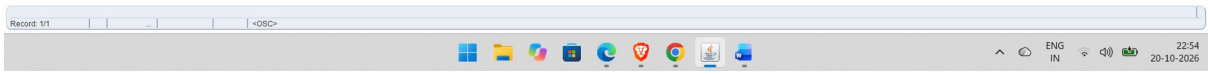
- Run Pay On Receipt AutoInvoice, then check and validate the invoice in Payables.

Step 51: Submit Pay On Receipt AutoInvoice

Navigation: Requests window → Submit a New Request → Single Request → Pay On Receipt AutoInvoice

Details: Operating Unit: 38 RST South OU. Transaction Source: ERS. Commit Interval: 1. Receipt Number: 4011.

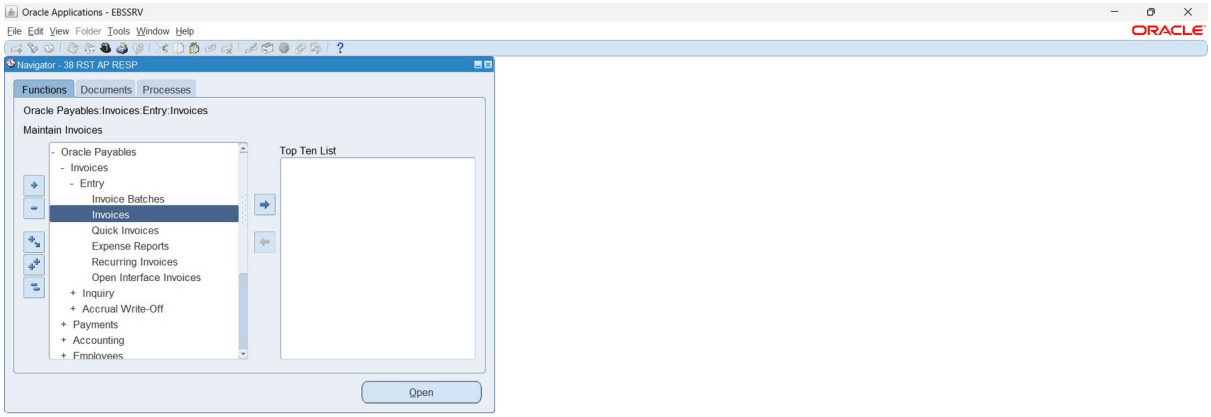


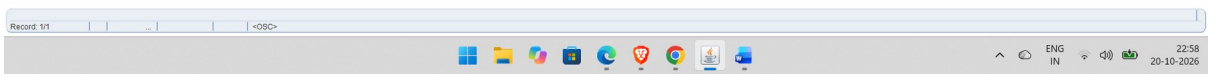


Step 52: Open Payables invoice entry

Navigation: Navigator → 38 RST AP RESP → Oracle Payables → Invoices → Entry → Invoices

Details: Select Invoices and click Open.

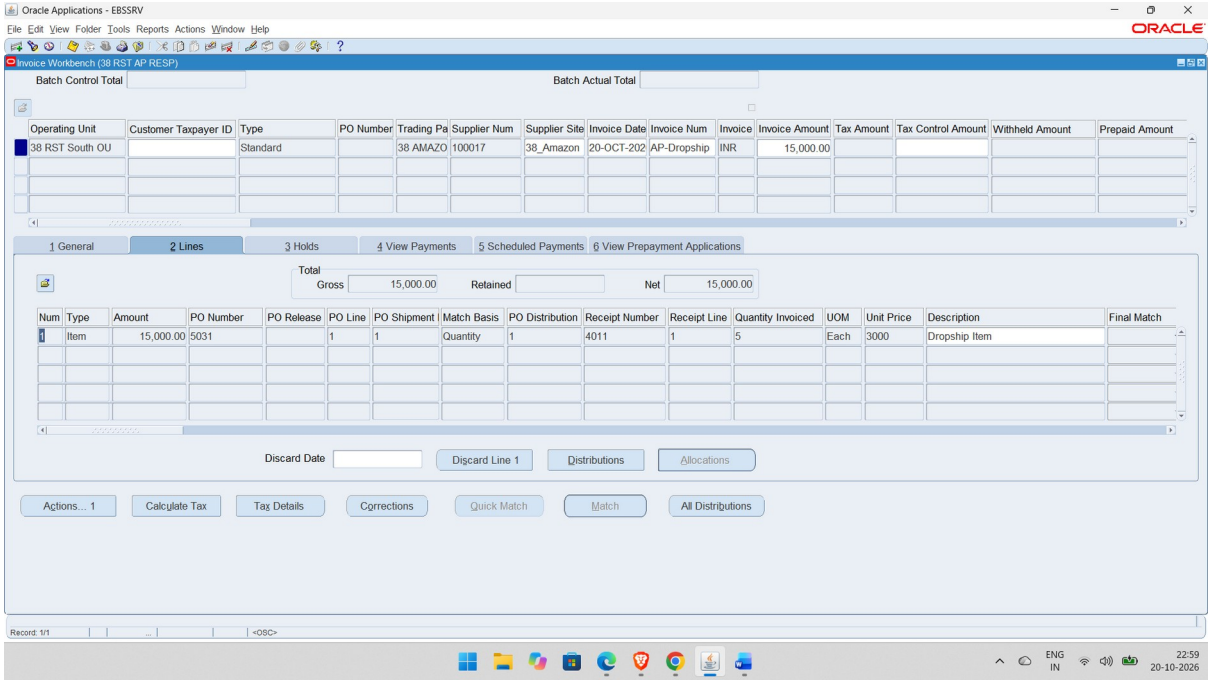




Step 53: Supplier invoice for the drop-ship receipt

Navigation: Invoice Workbench → Invoices window → Lines tab

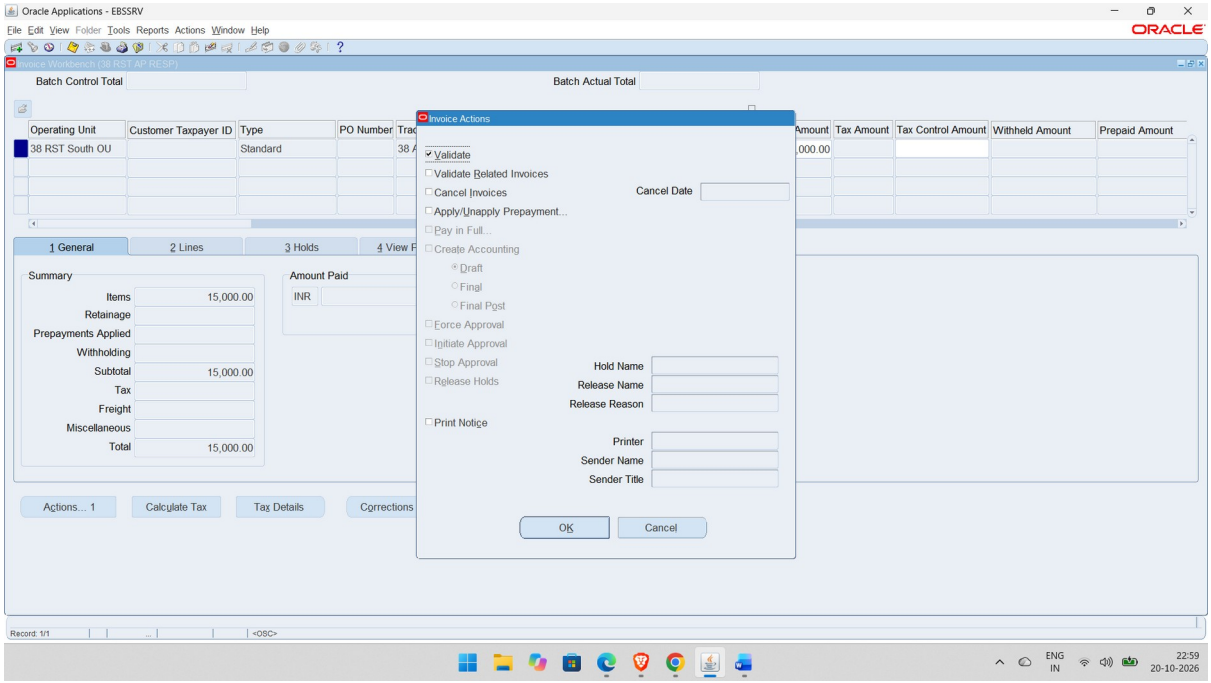
Details: Type: Standard. Supplier: 38 AMAZON (38_Amazon). Invoice amount: 15,000 INR. The line is matched to PO 5031, receipt 4011, quantity invoiced 5, unit price 3000.



Step 54: Validate the invoice

Navigation: Invoice Workbench → Actions button → Validate

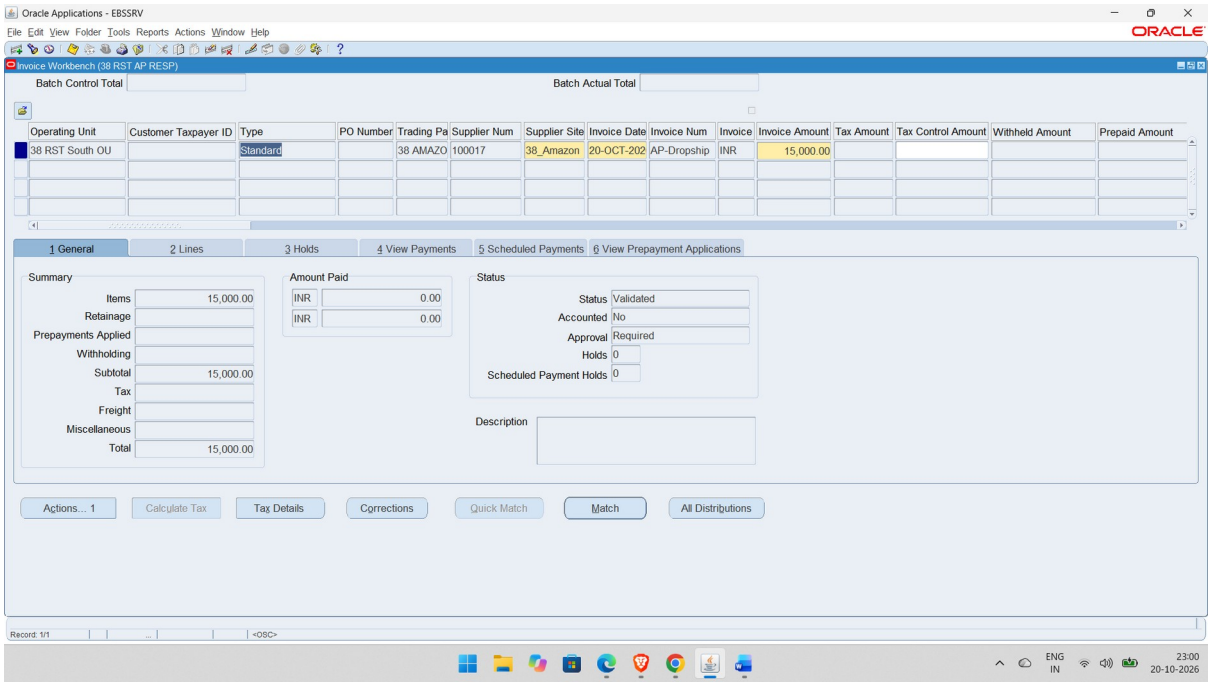
Details: Select Validate in the Invoice Actions window and click OK.



Step 55: Invoice validated

Navigation: Invoice Workbench → 1 General tab

Details: Status: Validated. Items and total: 15,000.00. Accounted: No.



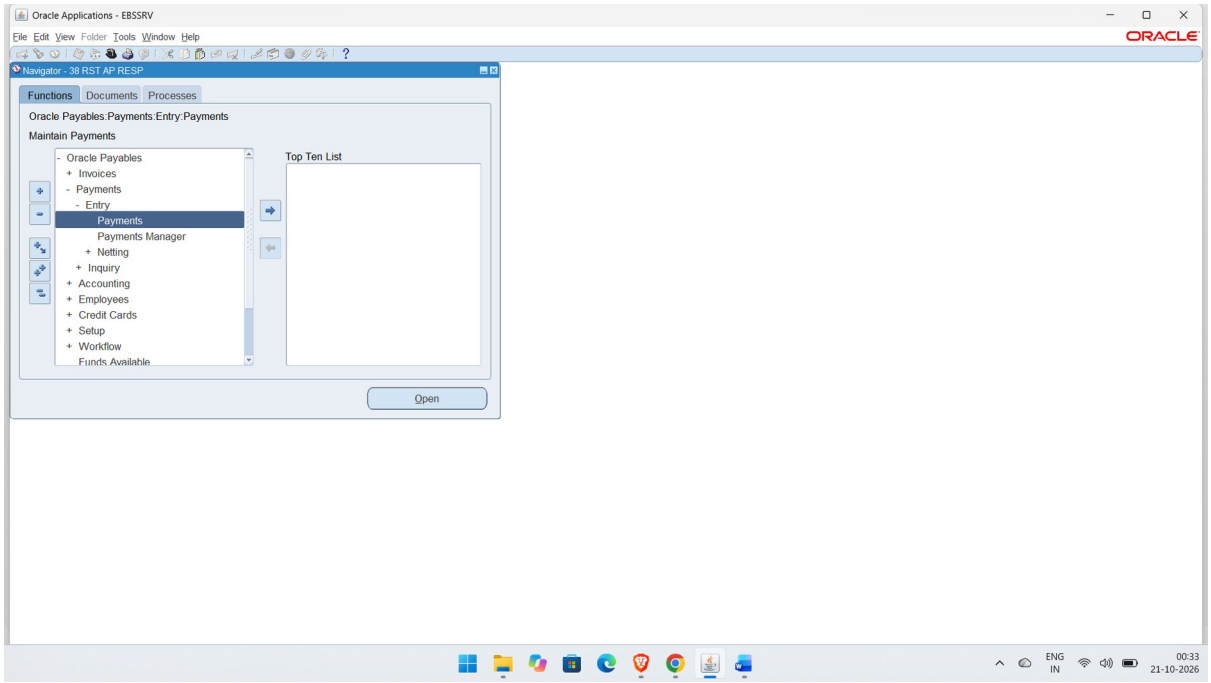
Supplier Payment and Accounting

- Pay the supplier invoice with a Quick payment, then run Create Accounting on the invoice.

Step 56: Open Payments entry

Navigation: Navigator → 38 RST AP RESP → Oracle Payables → Payments → Entry → Payments

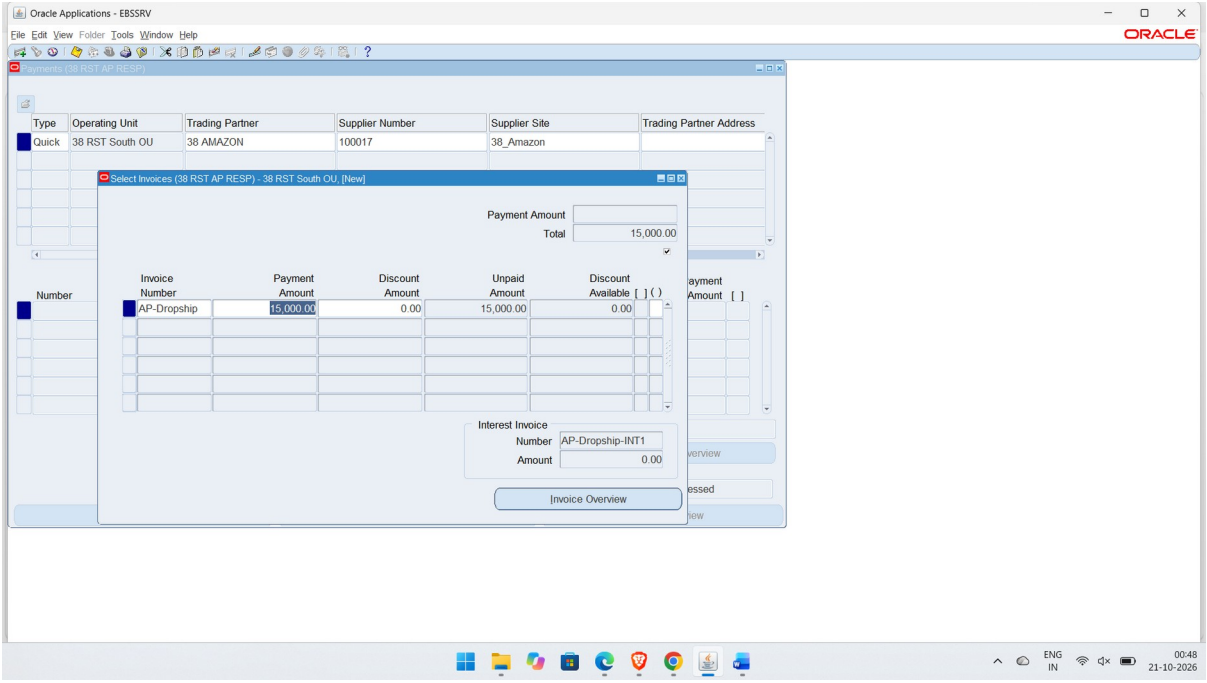
Details: Select Payments and click Open.



Step 57: Select the invoice to pay

Navigation: Payments window (Quick payment) → Select Invoices window

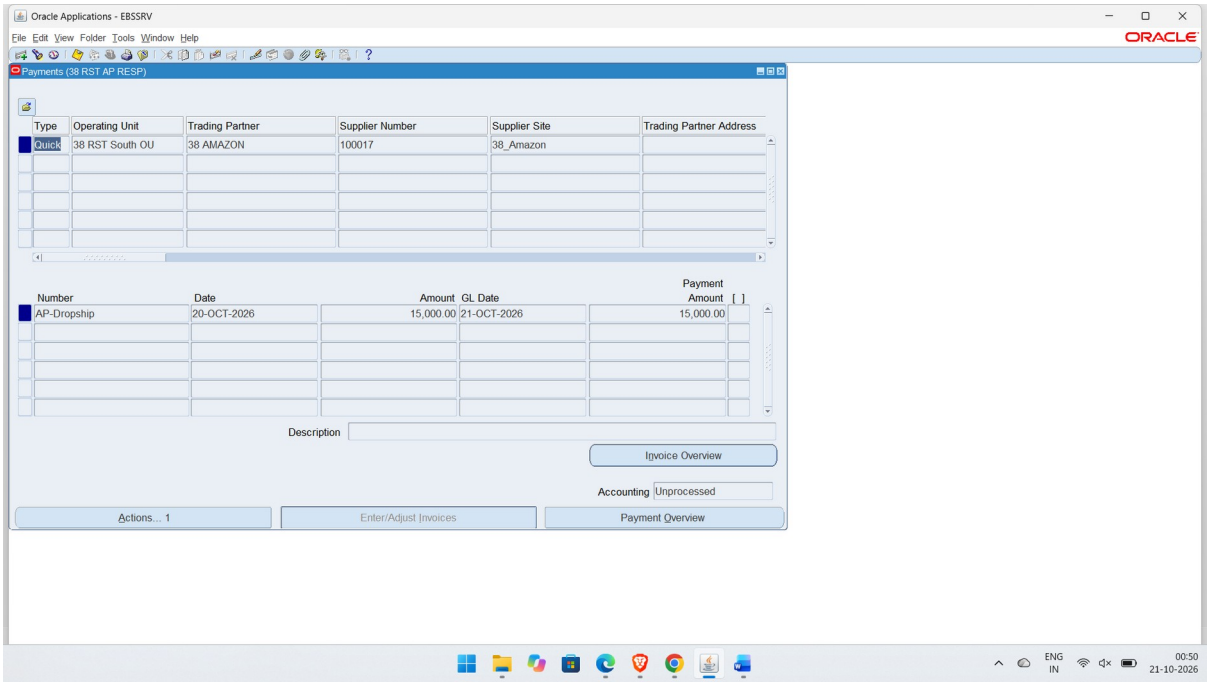
Details: Invoice AP-Dropship: Payment Amount 15,000.00, Unpaid Amount 15,000.00, Discount 0.00. Supplier: 38 AMAZON (100017), site 38_Amazon.



Step 58: Payment created

Navigation: Payments window

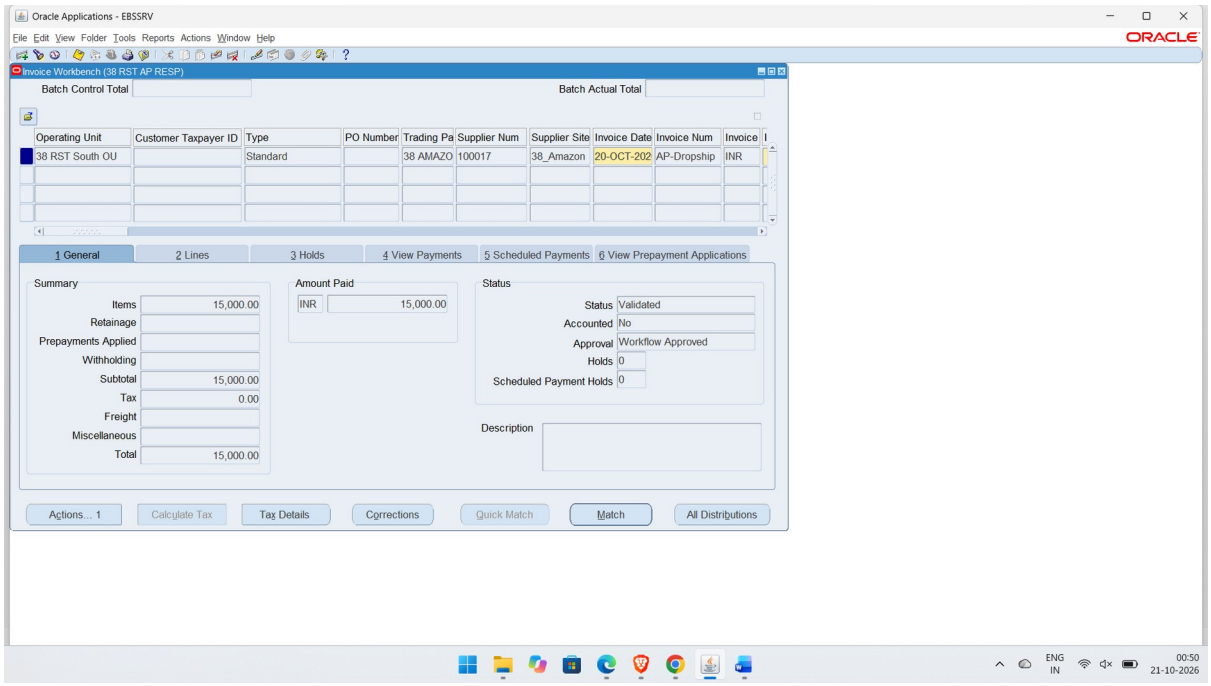
Details: Type: Quick. Operating Unit: 38 RST South OU. Supplier: 38 AMAZON, site 38_Amazon. Invoice AP-Dropship, payment date 20-OCT-2026, GL date 21-OCT-2026, amount 15,000.00. Accounting: Unprocessed.



Step 59: Invoice paid

Navigation: Invoice Workbench → 1 General tab

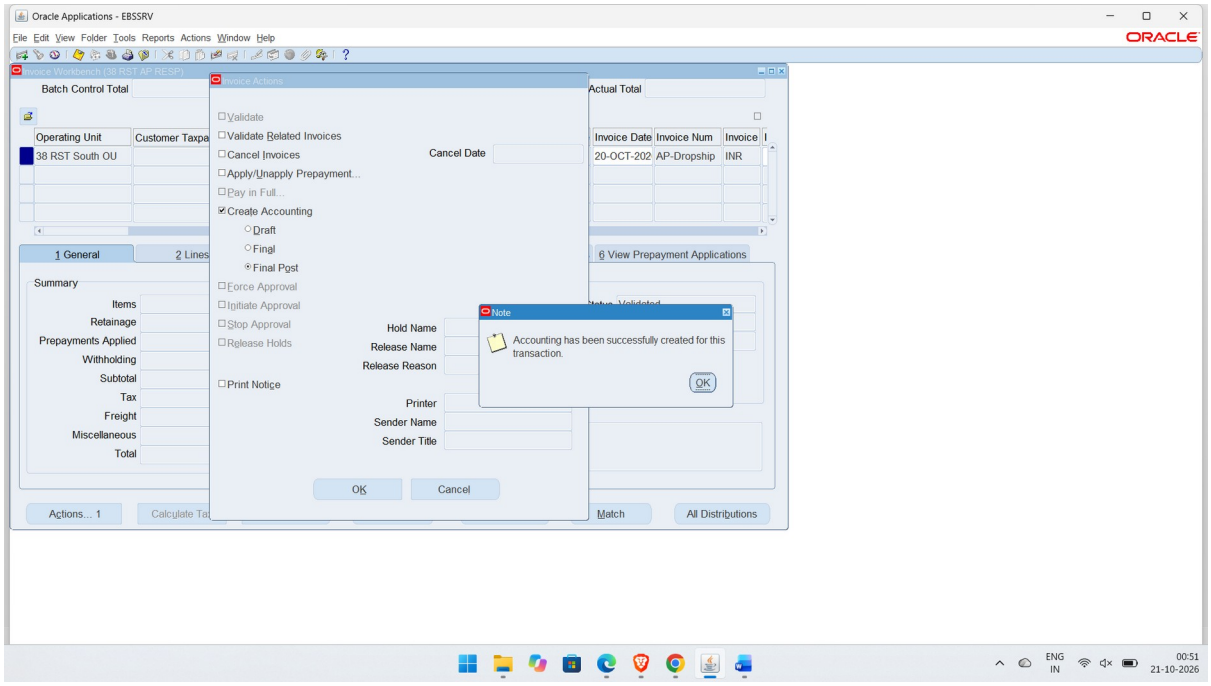
Details: Invoice AP-Dropship: Status Validated, Amount Paid INR 15,000.00, Approval Workflow Approved, Accounted: No.



Step 60: Create Accounting for the invoice

Navigation: Invoice Workbench → Actions button → Create Accounting → OK

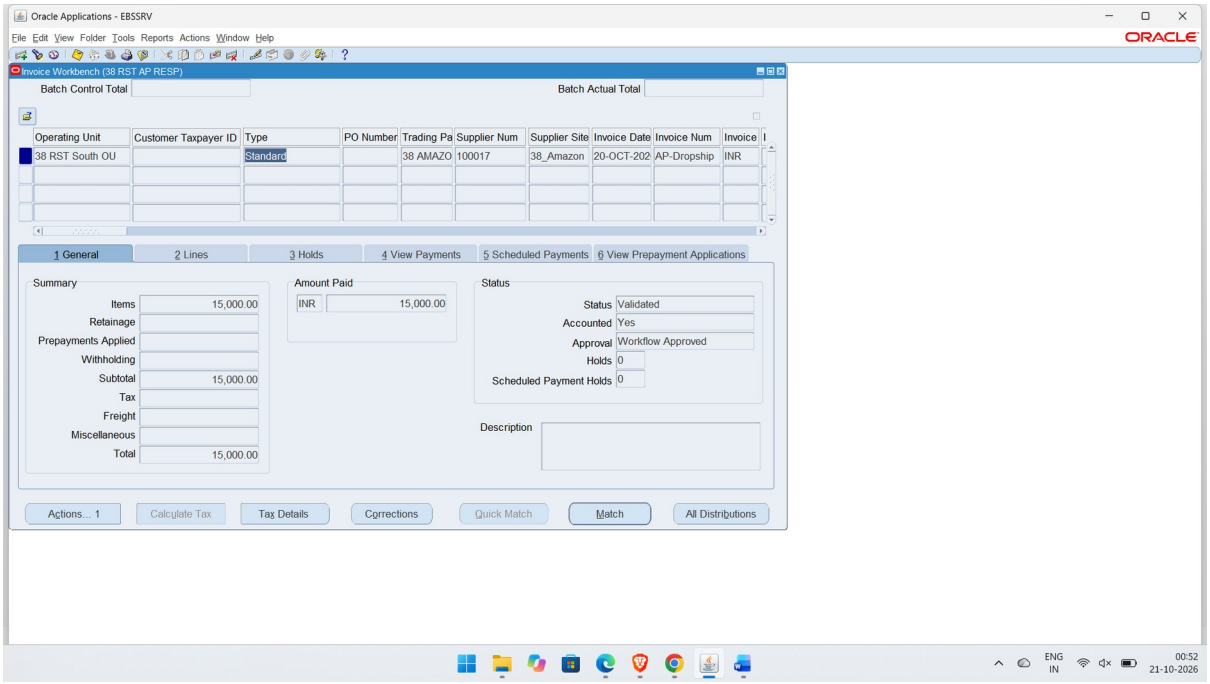
Details: Create Accounting is selected with Final Post. The note confirms: Accounting has been successfully created for this transaction.



Step 61: Invoice accounted

Navigation: Invoice Workbench → 1 General tab

Details: Invoice AP-Dropship: Status Validated, Amount Paid 15,000.00, Accounted: Yes.



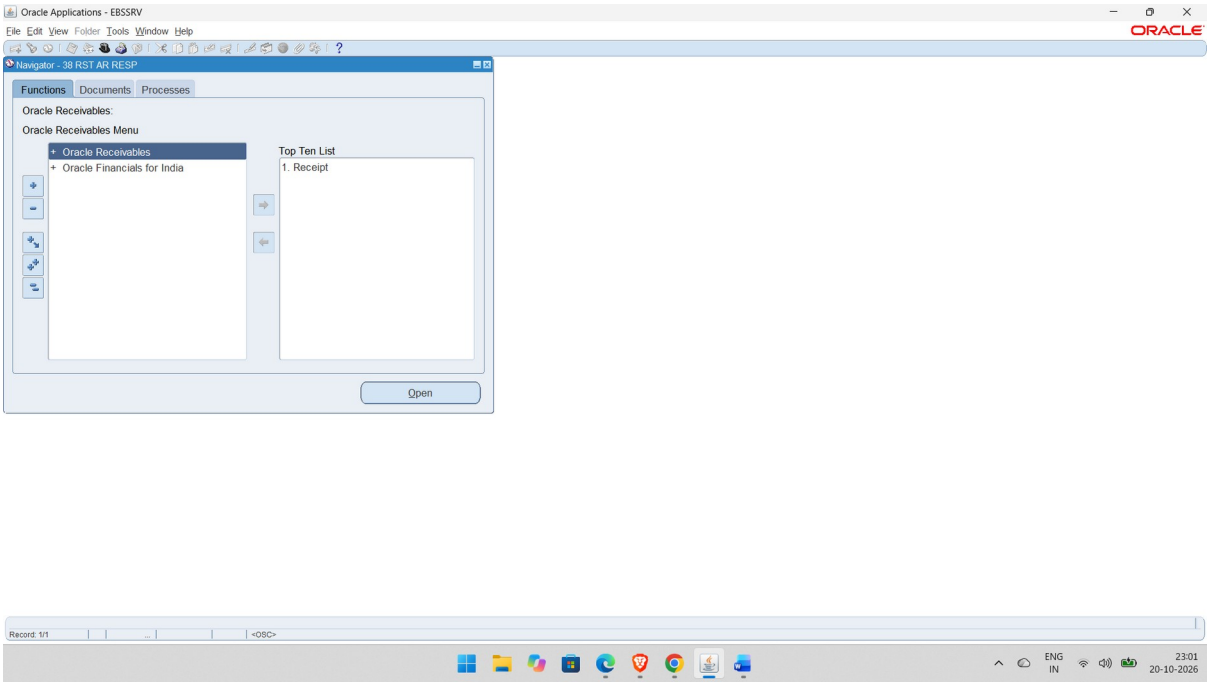
Customer Invoice – AutoInvoice

- Run AutoInvoice in Receivables and verify the invoice for sales order 6018.

Step 62: Open Oracle Receivables

Navigation: Navigator → 38 RST AR RESP → Oracle Receivables

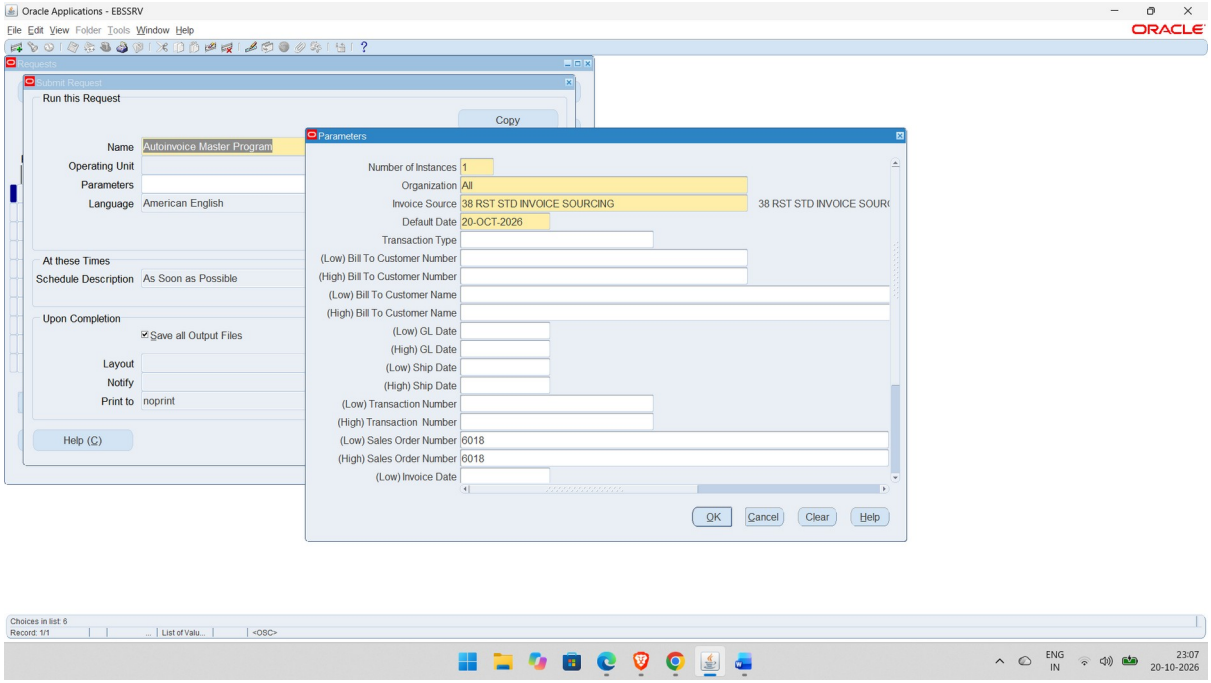
Details: Select Oracle Receivables and click Open.



Step 63: Run AutoInvoice Master Program

Navigation: Requests window → Submit a New Request → Single Request → Autoinvoice Master Program

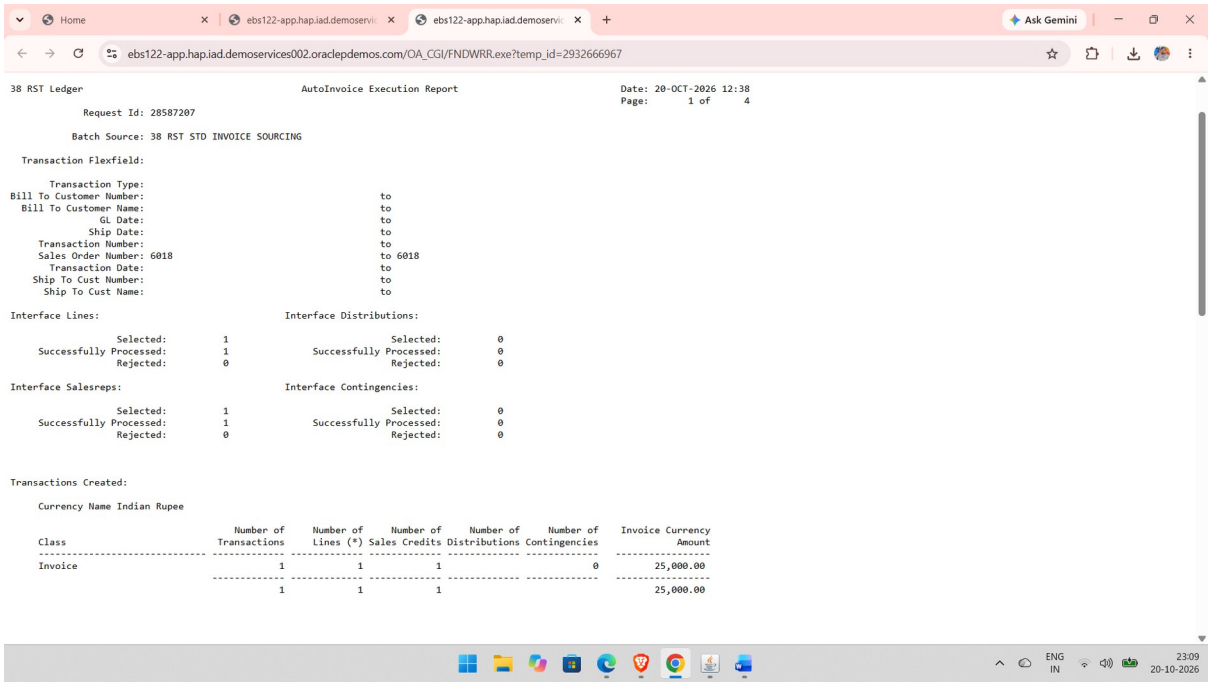
Details: Invoice Source: 38 RST STD INVOICE SOURCING. Default Date: 20-OCT-2026. Low and High Sales Order Number: 6018.



Step 64: AutoInvoice Execution Report

Navigation: View menu → Requests → View Output

Details: Interface lines selected: 1, successfully processed: 1, rejected: 0. One invoice is created for 25,000.00 INR.

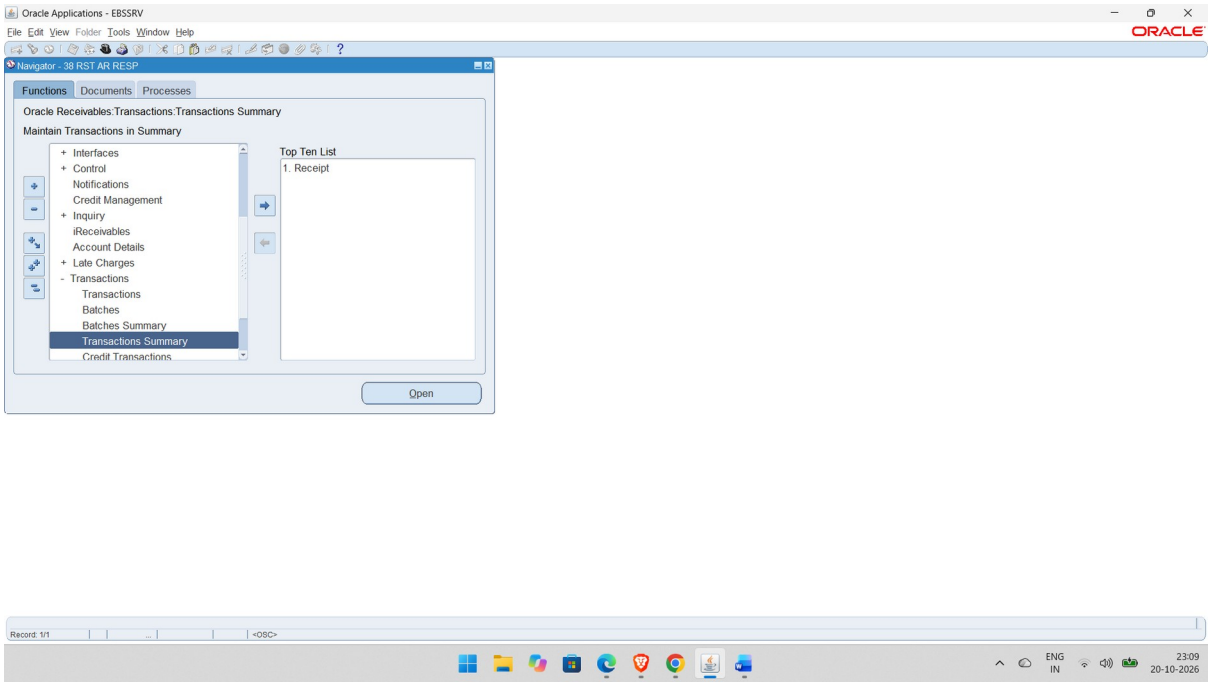


```
38 RST Ledger                          AutoInvoice Execution Report                    Date: 20-OCT-2026 12:38
                                                                                       Page:       1 of      4

            Request Id: 28587207

          Batch Source: 38 RST STD INVOICE SOURCING

  Transaction Flexfield:

       Transaction Type:
Bill To Customer Number:                                  to
  Bill To Customer Name:                                  to
                GL Date:                                  to
              Ship Date:                                  to
     Transaction Number:                                  to
     Sales Order Number: 6018                             to 6018
        Transaction Date:                                 to
    Ship To Cust Number:                                  to
      Ship To Cust Name:                                  to

Interface Lines:                       Interface Distributions:

                Selected:          1                      Selected:          0
     Successfully Processed:       1           Successfully Processed:       0
                Rejected:          0                      Rejected:          0

Interface Salesreps:                   Interface Contingencies:

                Selected:          1                      Selected:          0
     Successfully Processed:       1           Successfully Processed:       0
                Rejected:          0                      Rejected:          0


Transactions Created:

     Currency Name Indian Rupee

                                 Number of     Number of     Number of     Number of     Number of    Invoice Currency
     Class                     Transactions    Lines (*) Sales Credits Distributions Contingencies          Amount
     ------------------------- ------------ ------------ ------------ ------------- -------------  ---------------
     Invoice                              1            1            1                           0         25,000.00
                               ------------ ------------ ------------ ------------- -------------  ---------------
                                          1            1            1                                     25,000.00
```

Step 65: Open Transactions Summary

Navigation: Navigator (38 RST AR RESP) → Transactions → Transactions Summary

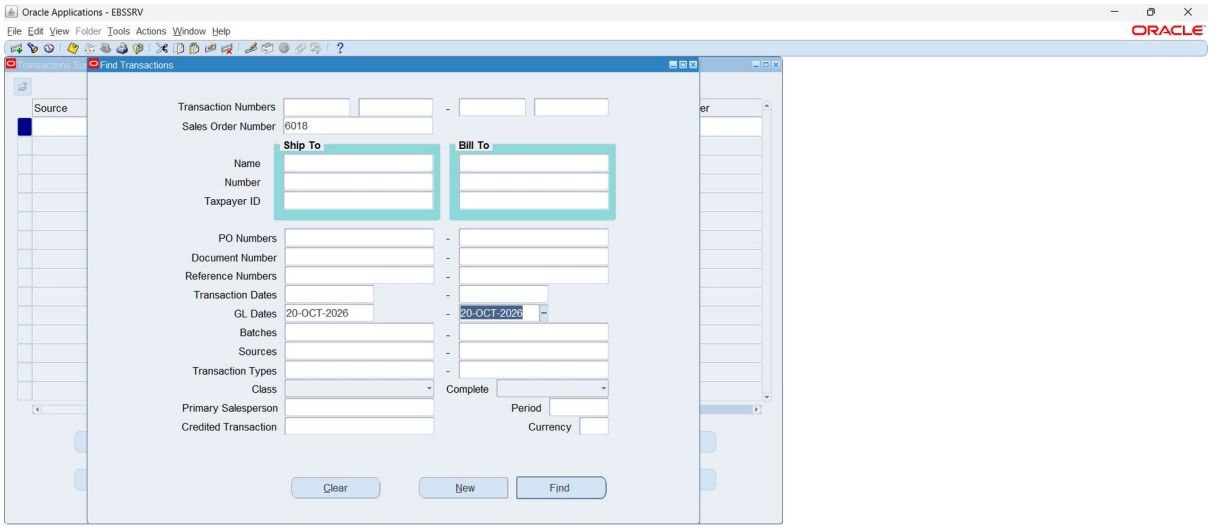
Details: Select Transactions Summary and click Open.

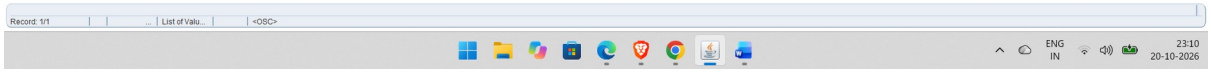


Step 66: Find the transaction by sales order

Navigation: Transactions Summary → Find Transactions window

Details: Enter Sales Order Number 6018 and click Find.

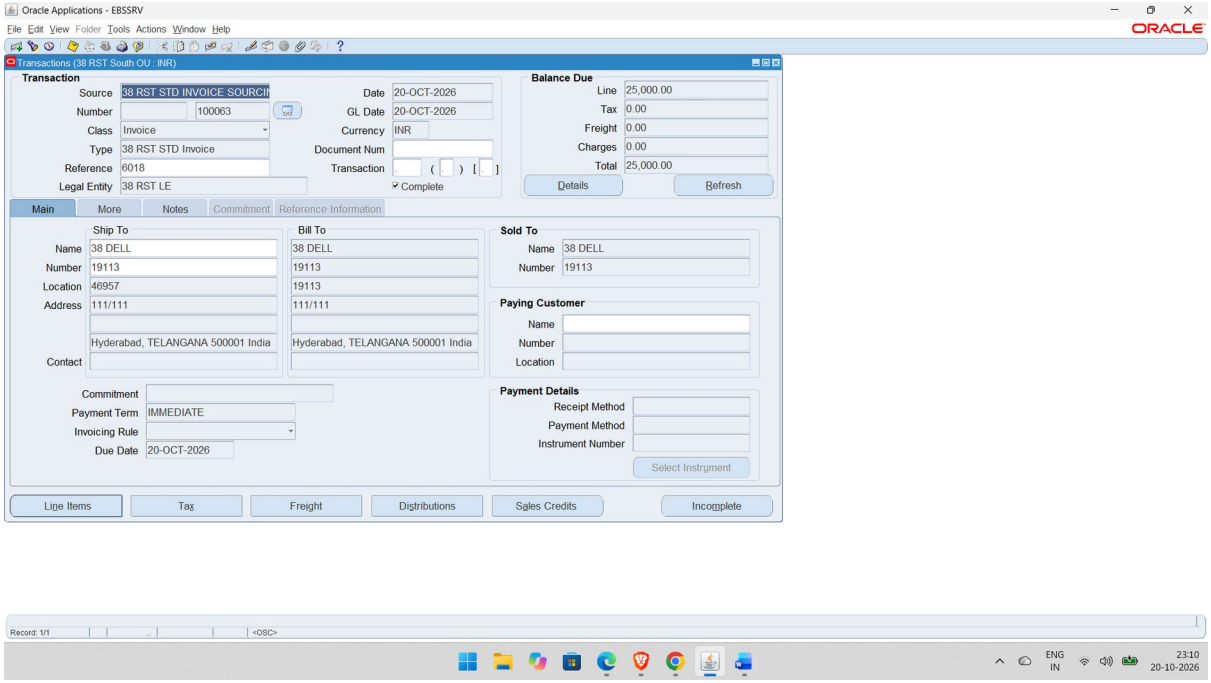




Step 67: AR invoice for the drop-ship line

Navigation: Transactions Summary → Transactions window

Details: Source: 38 RST STD INVOICE SOURCING. Class: Invoice. Type: 38 RST STD Invoice. Reference: 6018. Customer 38 DELL. Total: 25,000.00 INR. Status: Complete.



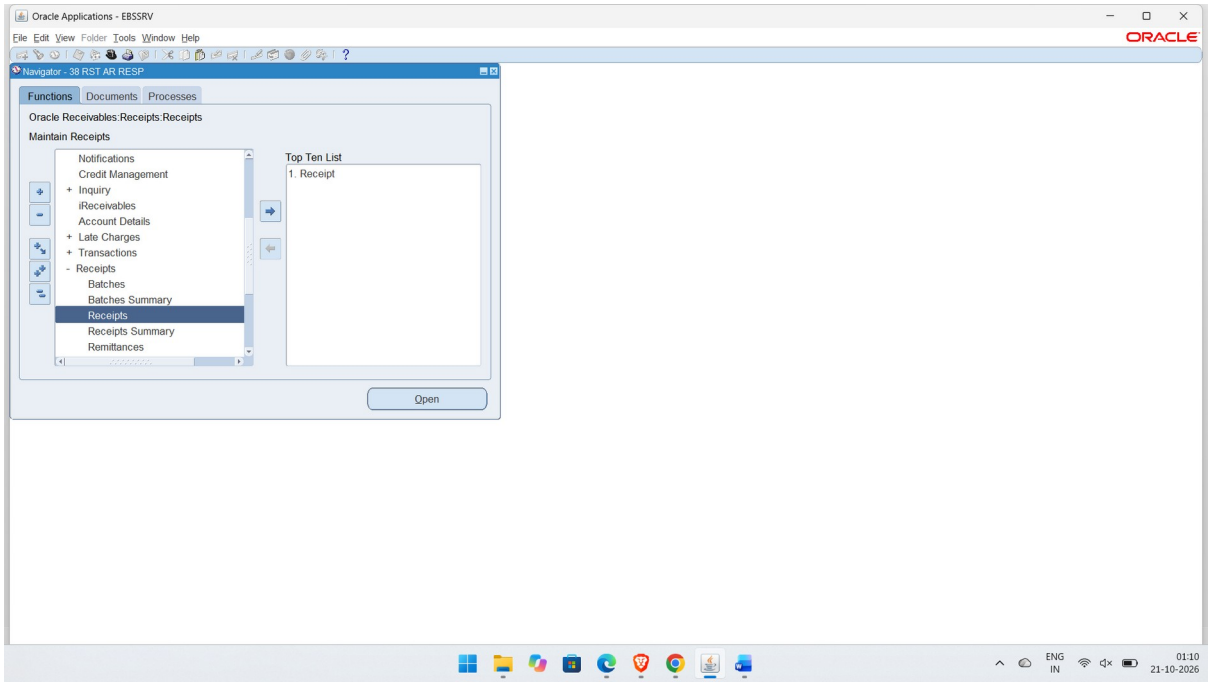
Customer Receipt – Receivables

- Create the receipt for the customer and apply it to the drop-ship invoice.

Step 68: Open Receipts

Navigation: Navigator → 38 RST AR RESP → Oracle Receivables → Receipts → Receipts

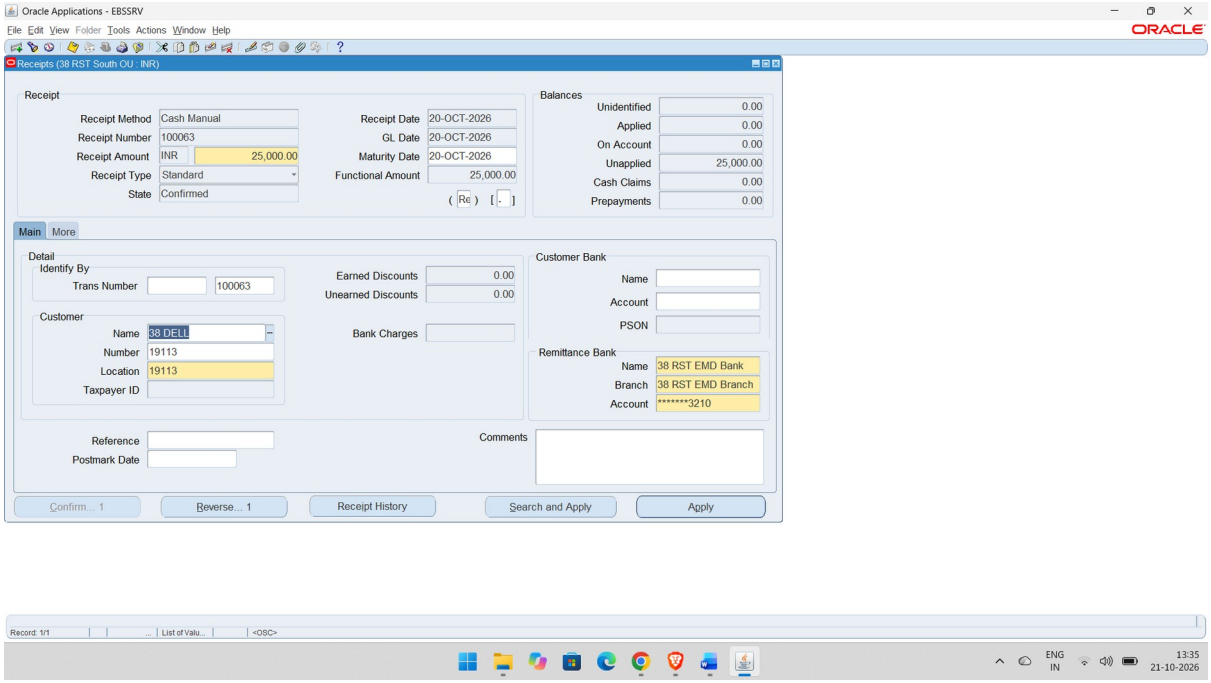
Details: Select Receipts and click Open.



Step 69: Receipt for the drop-ship invoice

Navigation: Receipts window → Main tab

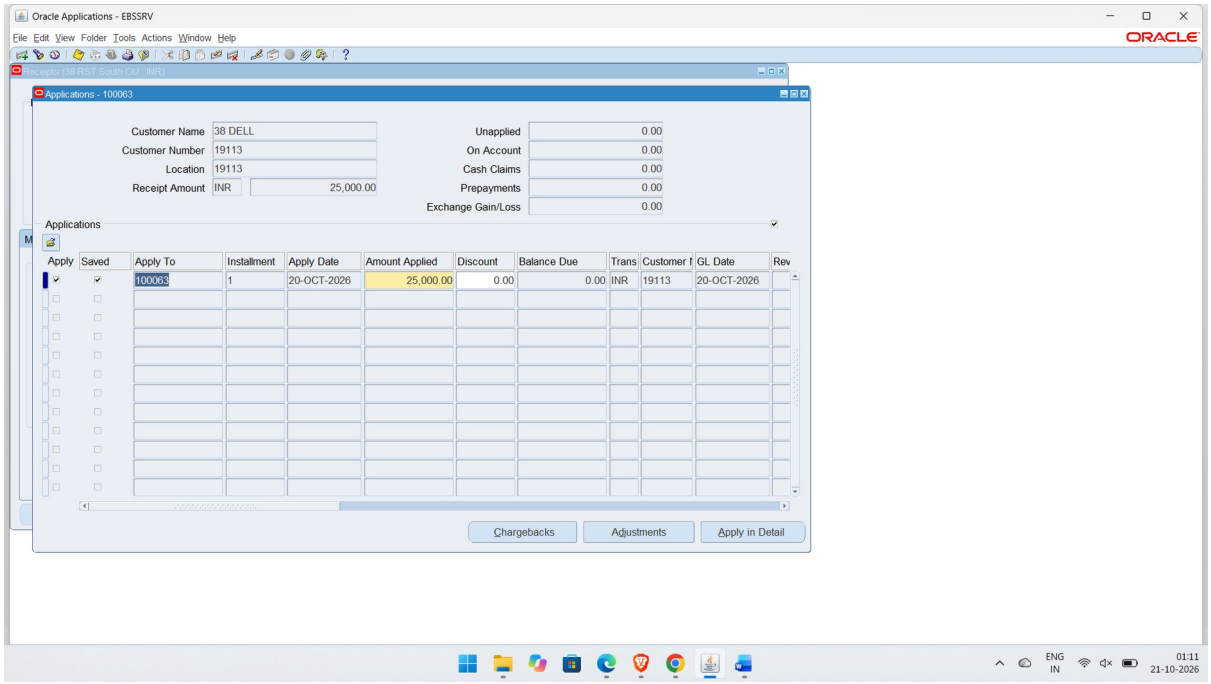
Details: Receipt Method: Cash Manual. Receipt Number: 100063. Amount: 25,000.00 INR. Customer: 38 DELL (19113). Remittance Bank: 38 RST EMD Bank. State: Confirmed. Balances: Applied 0.00, Unapplied 25,000.00, so the receipt is ready to be applied. Click Apply.



Step 70: Apply the receipt to the drop-ship invoice

Navigation: Receipts window → Apply button → Applications window

Details: Apply To: invoice 100063. Amount Applied: 25,000.00. Unapplied: 0.00. Save the application.



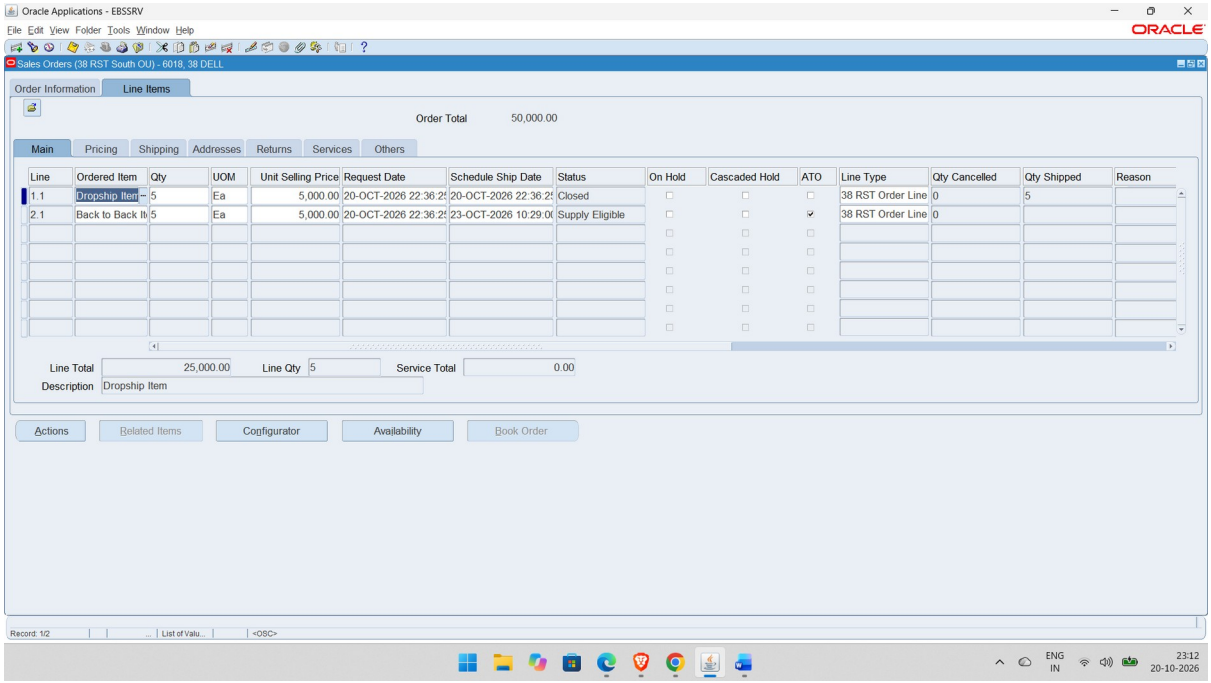
Drop-Ship Line Closed

- Line 1.1 is closed. Line 2.1 is the back to back line.

Step 71: Drop-ship line status – Closed

Navigation: Sales Orders window → Line Items tab → Main tab

Details: Line 1.1 (Dropship Item) is now Closed. Line 2.1 (Back to Back Item) is still Supply Eligible.



Back to Back Process

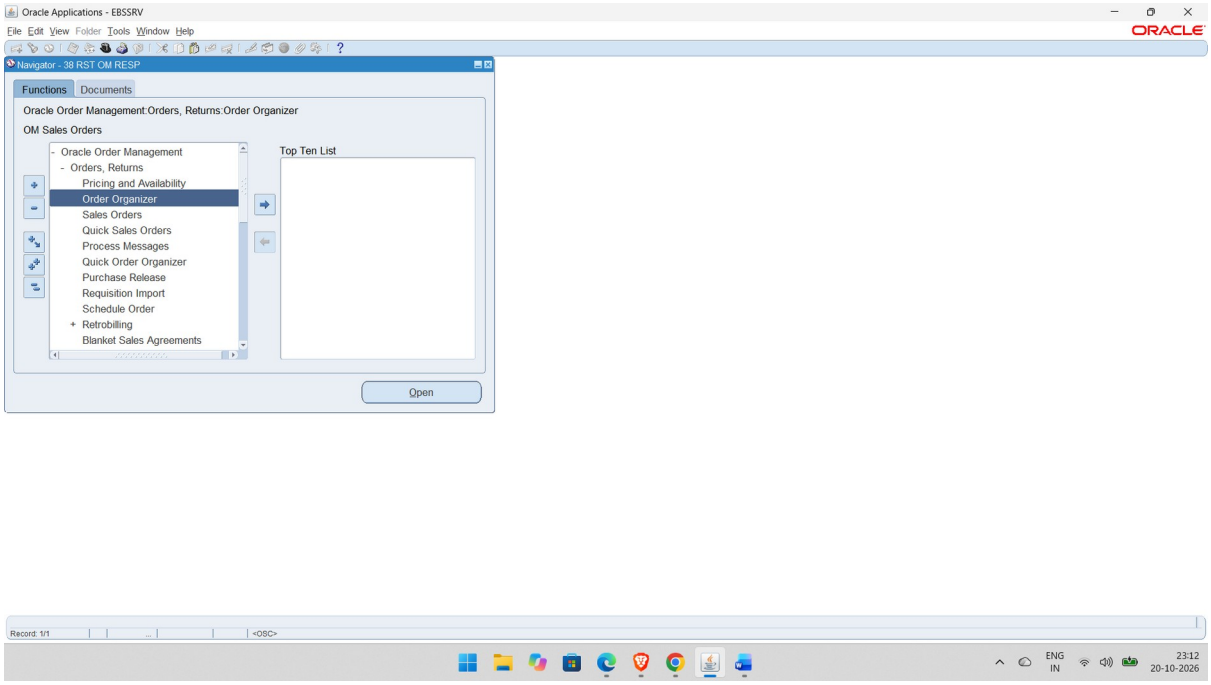
- **Progress Order and Requisition Import:** Steps 72–85
- **Create Purchase Order:** Steps 86–89
- **Receive, inspect and deliver (4-way matching):** Steps 90–99
- **Supplier invoice, payment and accounting:** Steps 100–108
- **Pick Release and Ship Confirm:** Steps 109–120
- **Customer invoice and receipt:** Steps 121–128

Progress Order – Create Supply Order

- Progress line 2.1 with Create Supply Order – Eligible.

Step 72: Open Order Organizer for the Back to Back line

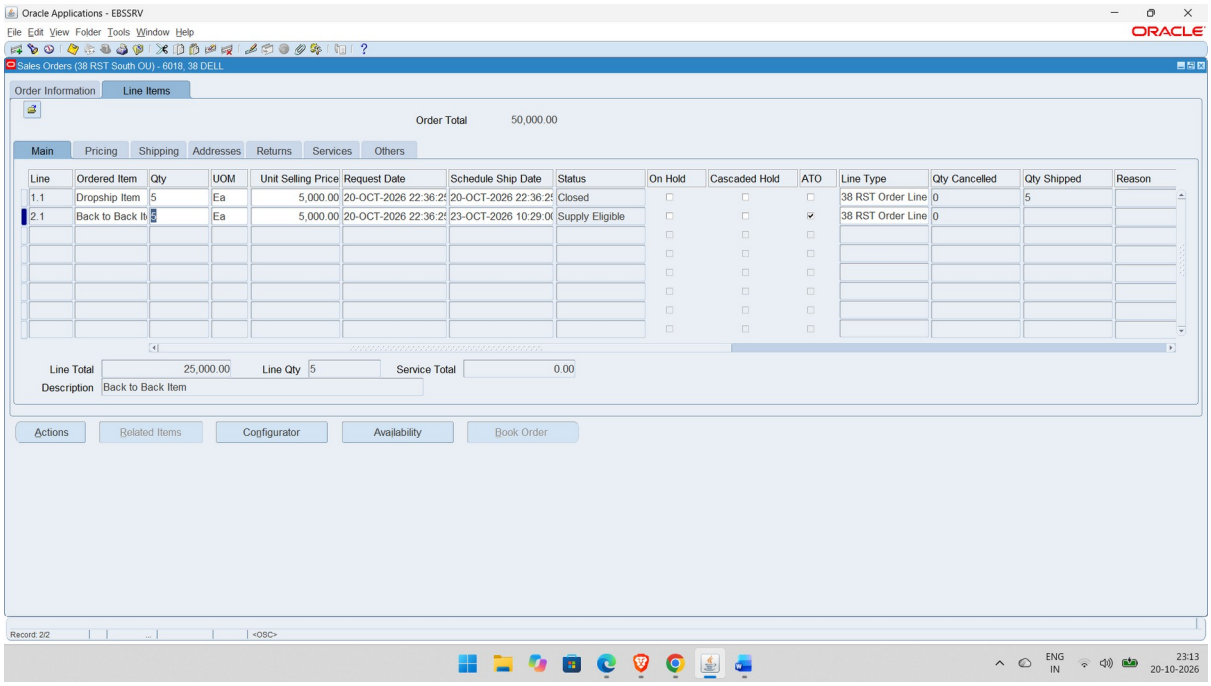
Navigation: Navigator → 38 RST OM RESP → Order Management → Orders, Returns → Order Organizer
Details: Open order 6018 to work on line 2.1.



Step 73: Select the Back to Back line

Navigation: Sales Orders window → Line Items tab → Main tab

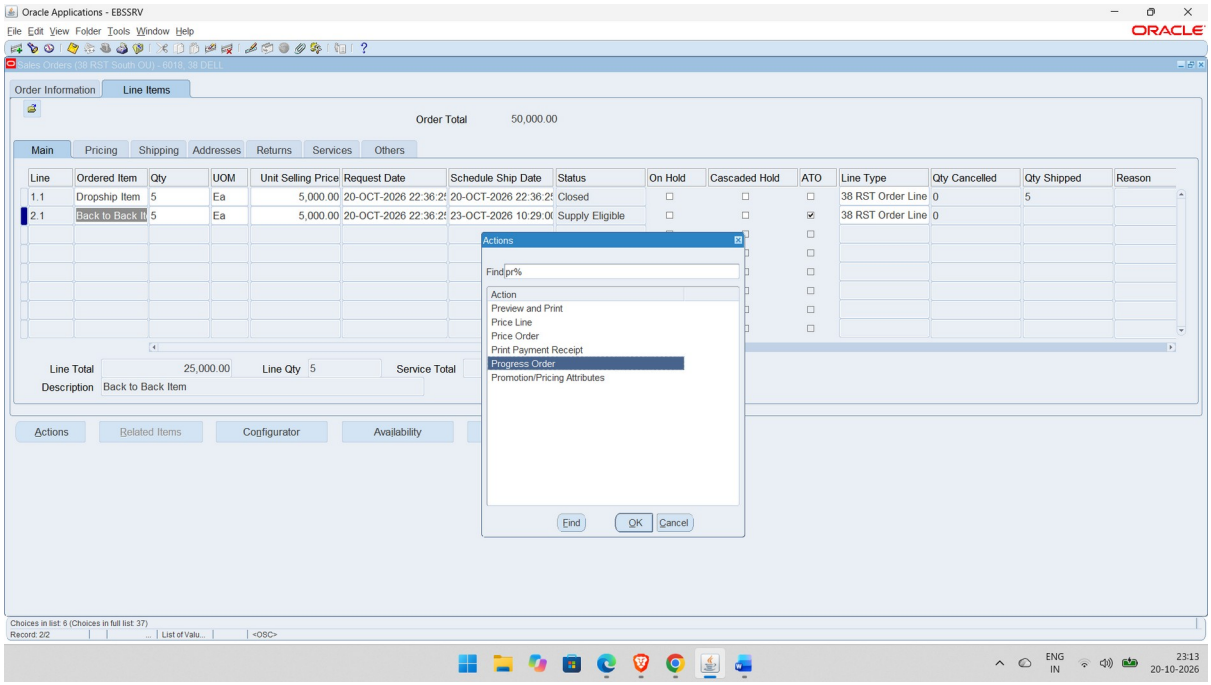
Details: Line 2.1 Back to Back Item, quantity 5, status Supply Eligible, ATO selected.



Step 74: Progress Order

Navigation: Sales Orders window → select line 2.1 → Actions → Progress Order

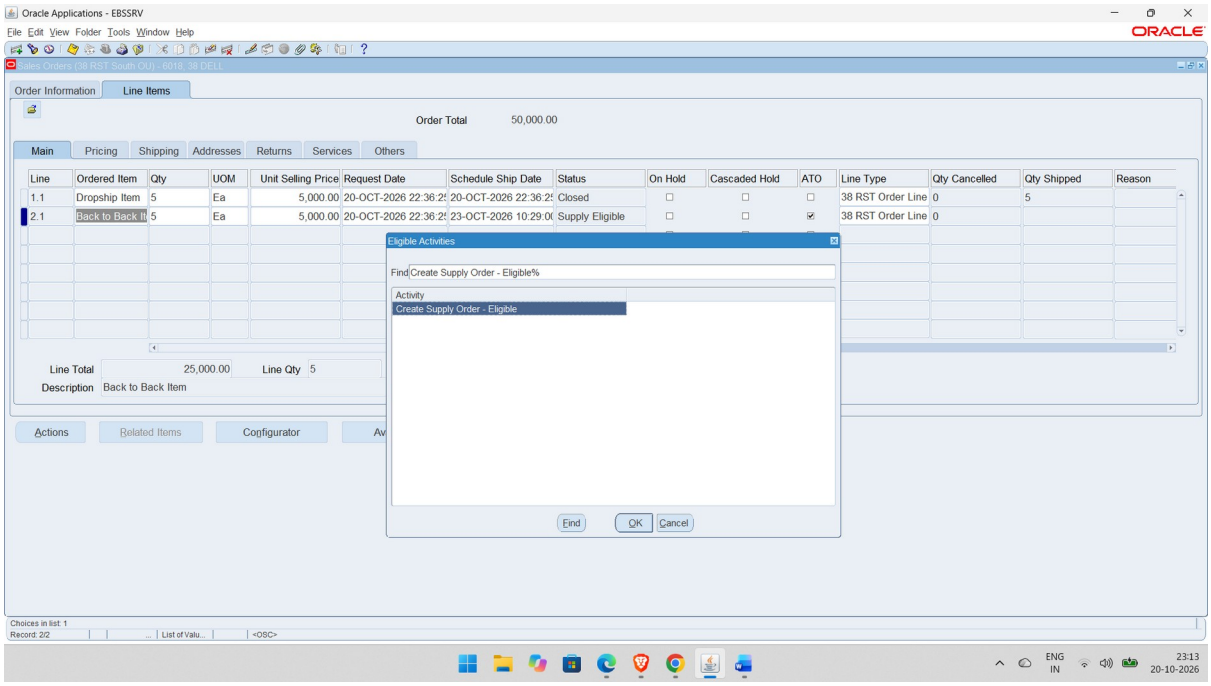
Details: Select Progress Order in the Actions list and click OK.



Step 75: Choose the eligible activity

Navigation: Actions → Progress Order → Eligible Activities window

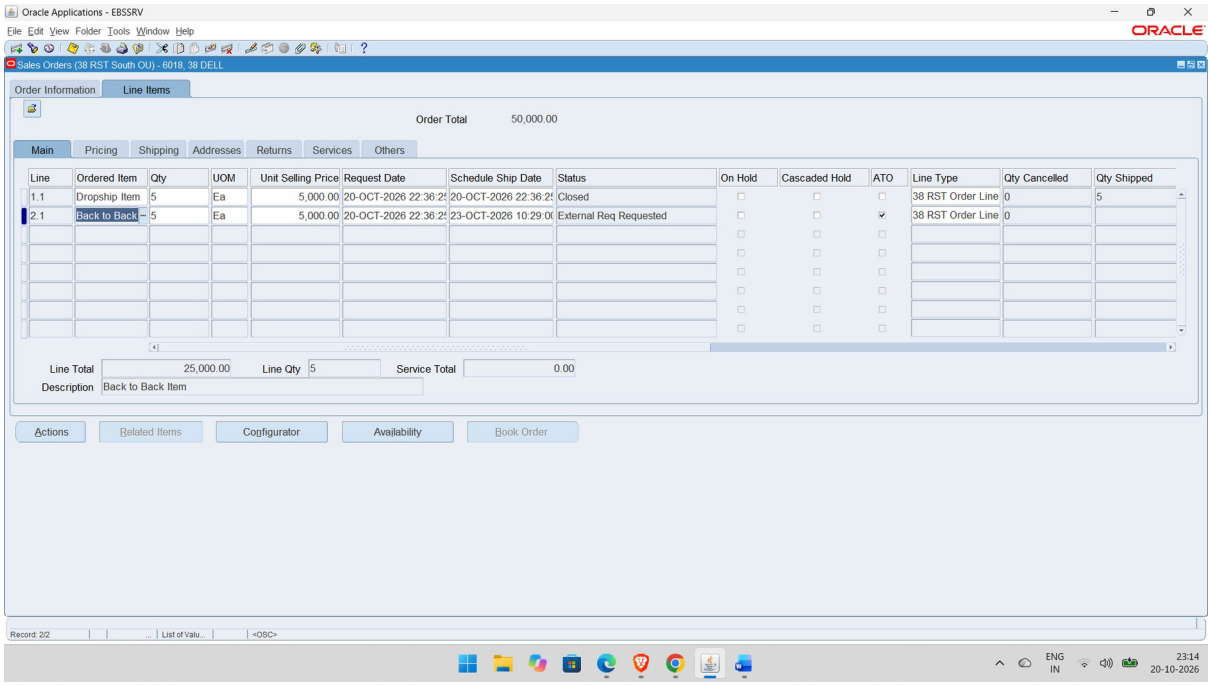
Details: Select Create Supply Order – Eligible and click OK.



Step 76: Line status after Progress Order

Navigation: Sales Orders window → Line Items tab → Main tab

Details: Line 2.1 status changes to External Req Requested.



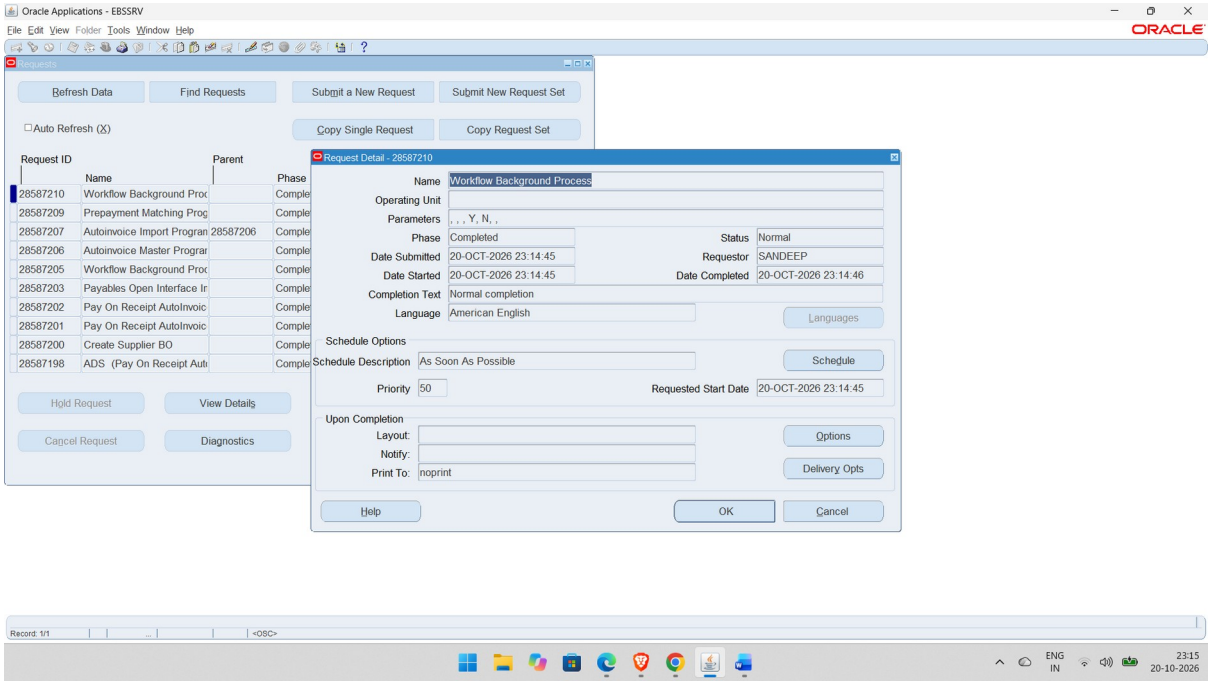
Requisition Import – CTO

- Run Requisition Import with Import Source CTO to create the requisition for the back to back line.

Step 77: Workflow Background Process completed

Navigation: View menu → Requests → Find

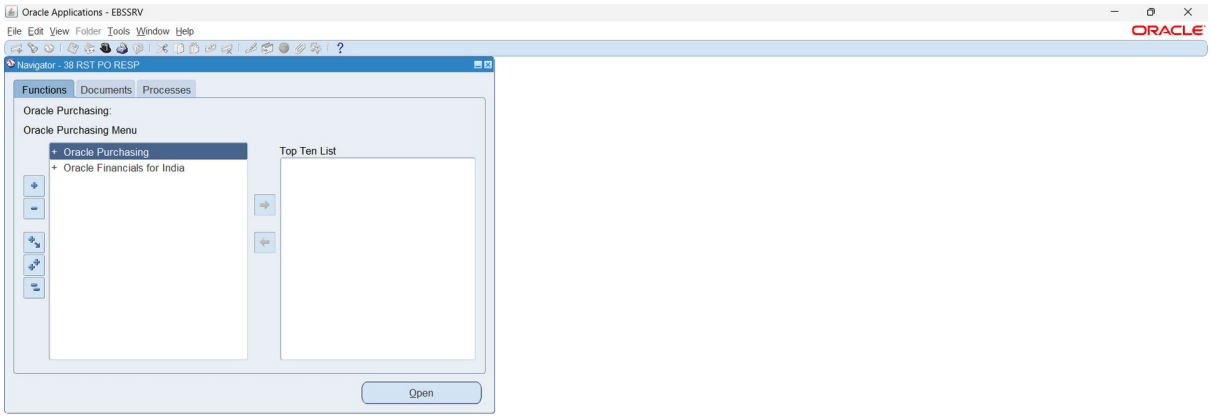
Details: The Workflow Background Process request shows Phase: Completed and Status: Normal.



Step 78: Open Oracle Purchasing

Navigation: Navigator → 38 RST PO RESP → Oracle Purchasing

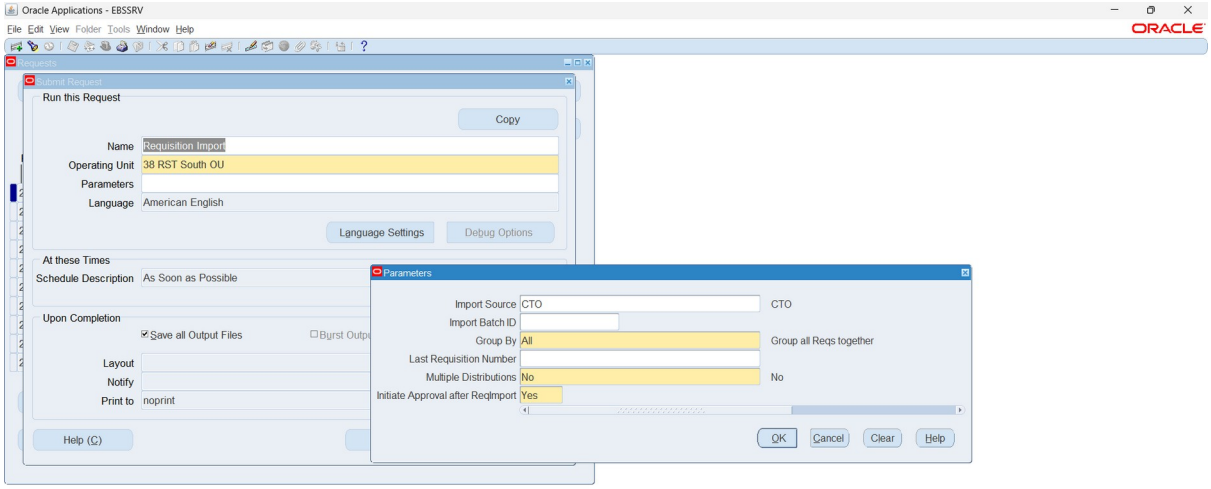
Details: Used to run Requisition Import for the Back to Back line.

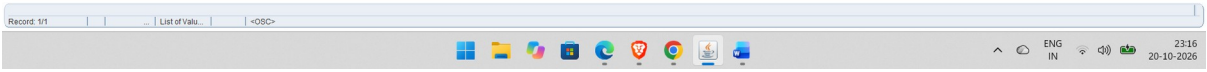


Step 79: Submit Requisition Import (CTO)

Navigation: Requests window → Submit a New Request → Single Request → Requisition Import

Details: Operating Unit: 38 RST South OU. Import Source: CTO. Group By: All. Multiple Distributions: No. Initiate Approval after ReqImport: Yes.

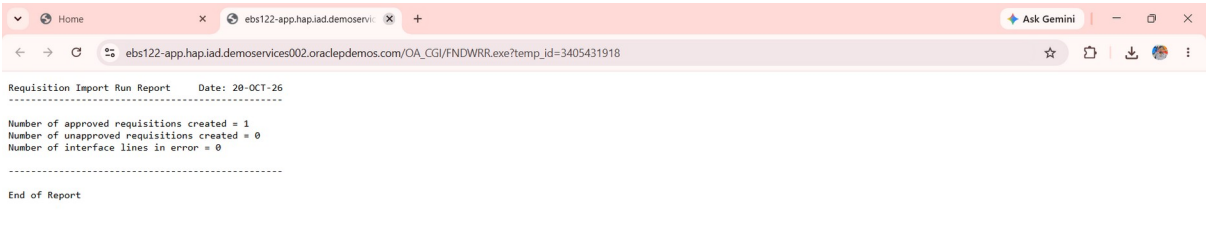




Step 80: Requisition Import report

Navigation: View menu → Requests → View Output

Details: Number of approved requisitions created = 1. Unapproved requisitions = 0. Interface lines in error = 0.



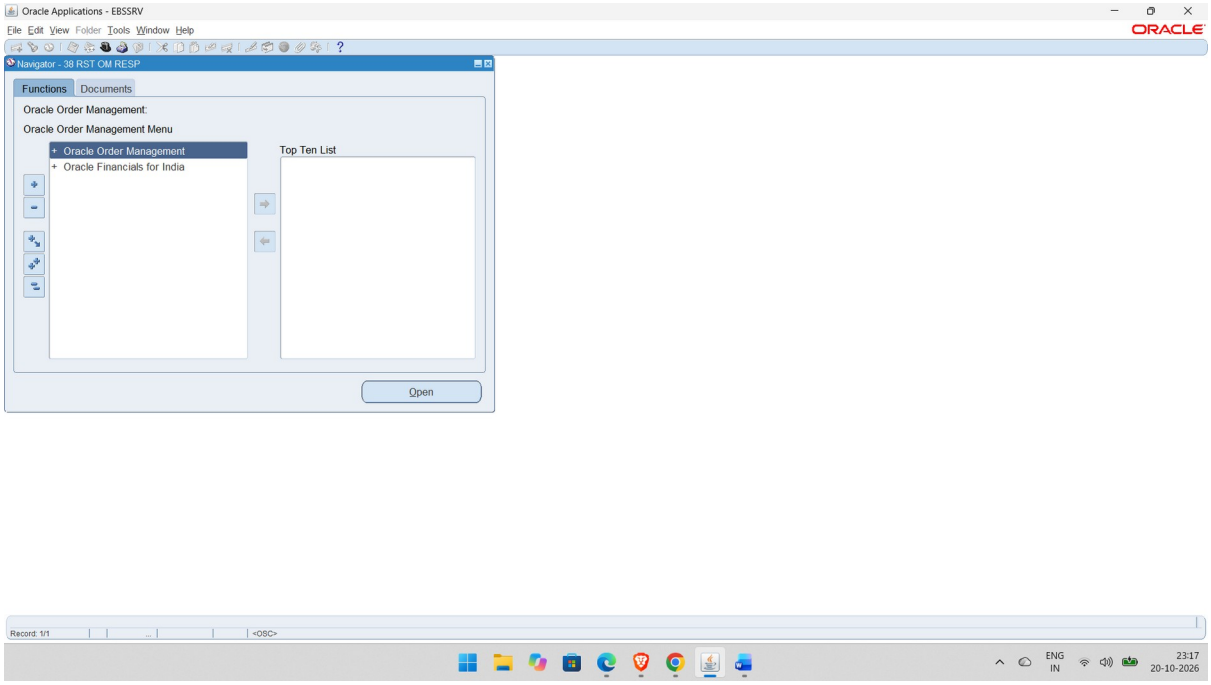
Check Line Status and Reservation

- Check the External Req Open status and the supply in the Item Reservation window.

Step 81: Open Order Management

Navigation: Navigator → 38 RST OM RESP → Order Management

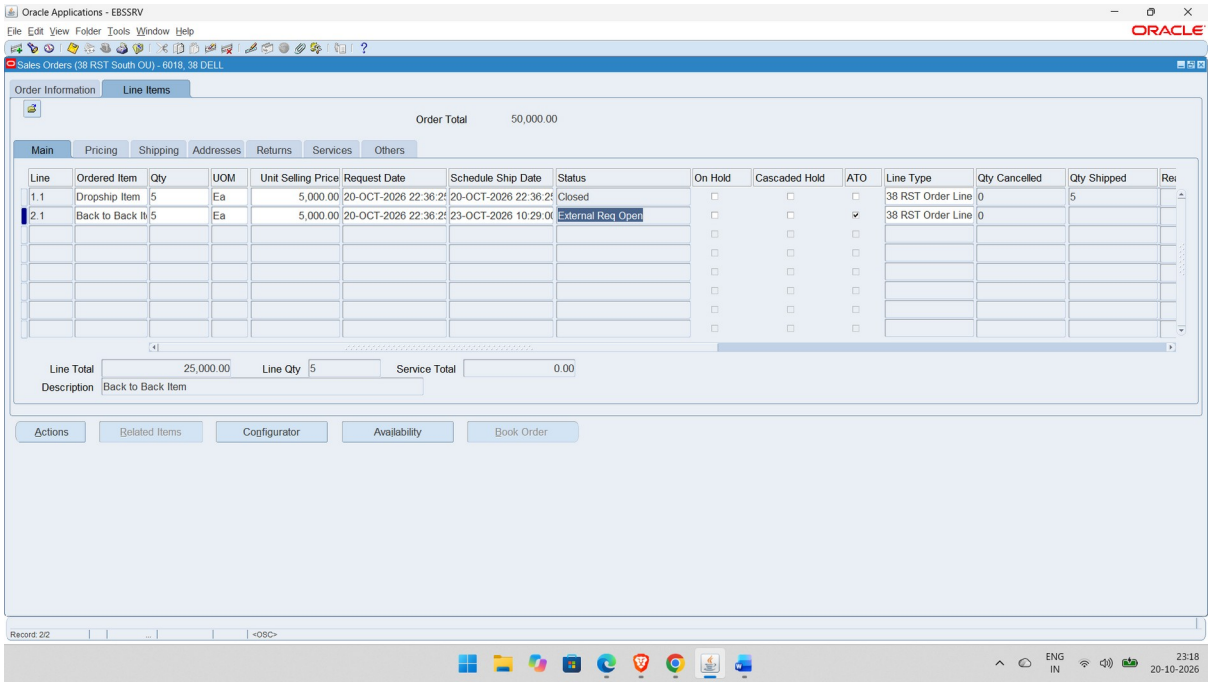
Details: Return to the sales order to check the line status.



Step 82: Line status – External Req Open

Navigation: Sales Orders window → Line Items tab → Main tab

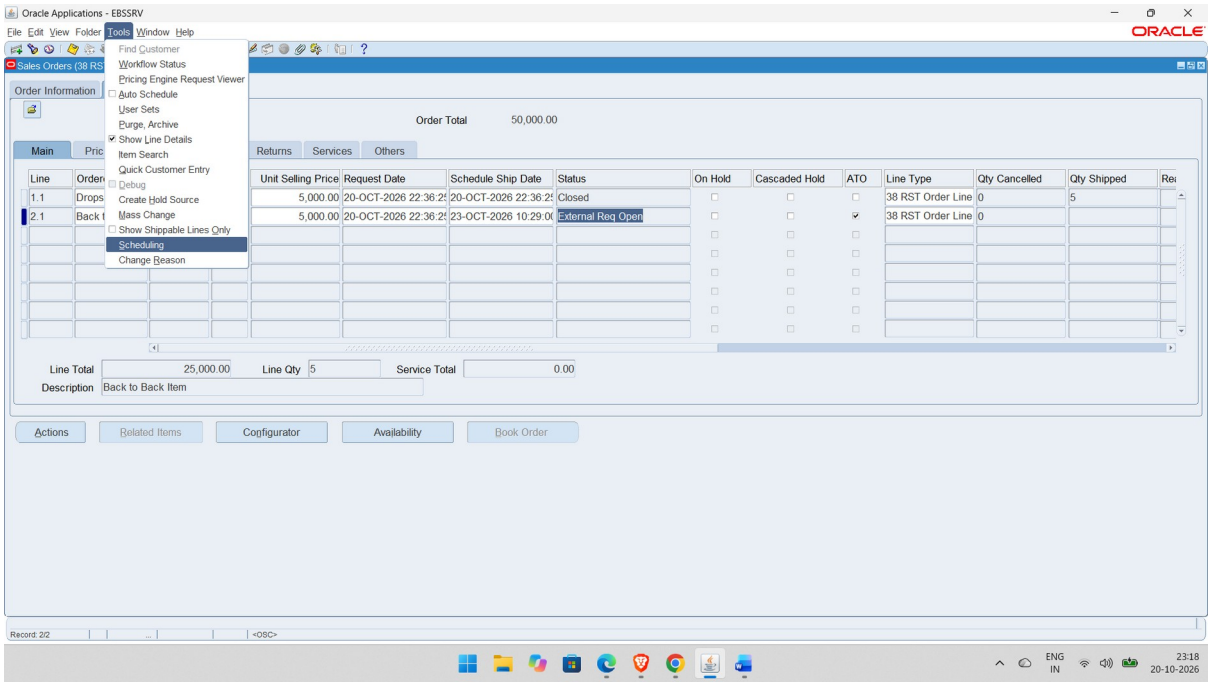
Details: Line 2.1 (Back to Back Item) shows External Req Open.



Step 83: Open Scheduling

Navigation: Sales Orders window → Tools menu → Scheduling

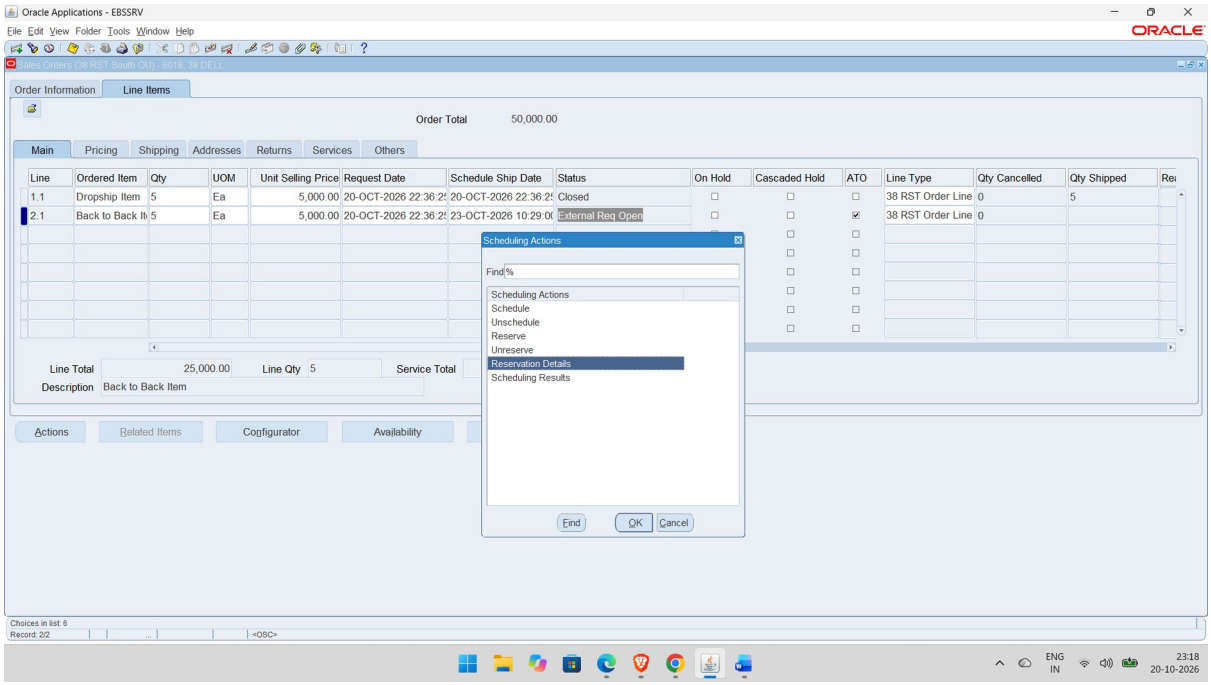
Details: Used to view the reservation and supply details of the line.



Step 84: Scheduling Actions

Navigation: Tools → Scheduling → Scheduling Actions window

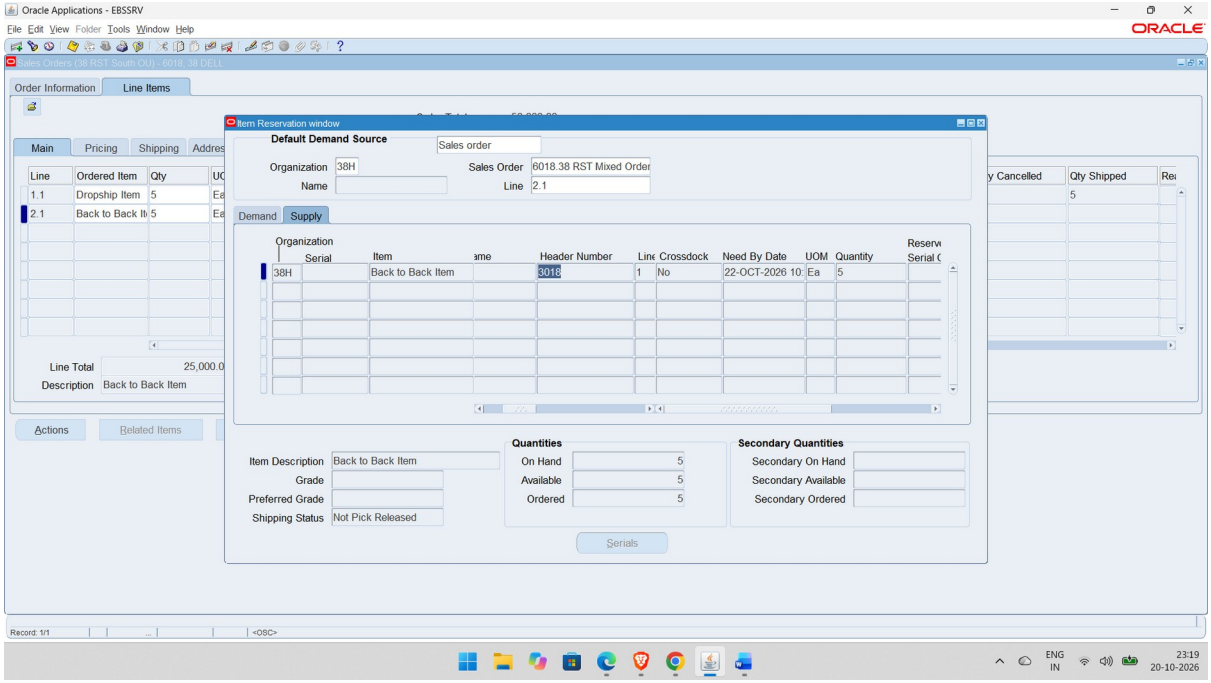
Details: Select Reservation Details and click OK.



Step 85: Item Reservation – Supply tab

Navigation: Scheduling Actions → Reservation Details → Item Reservation window → Supply tab

Details: Sales Order 6018, line 2.1, Back to Back Item, quantity 5. The supply line shows the requisition number 3018.



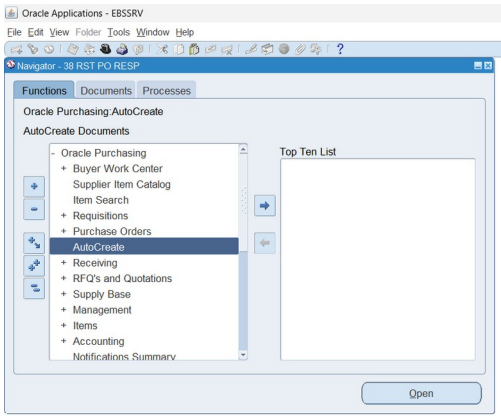
Create Purchase Order – AutoCreate

- Use AutoCreate to turn requisition 3018 into PO 5032 for supplier 38 AMAZON.

Step 86: Open AutoCreate

Navigation: Navigator (38 RST PO RESP) → Oracle Purchasing → AutoCreate

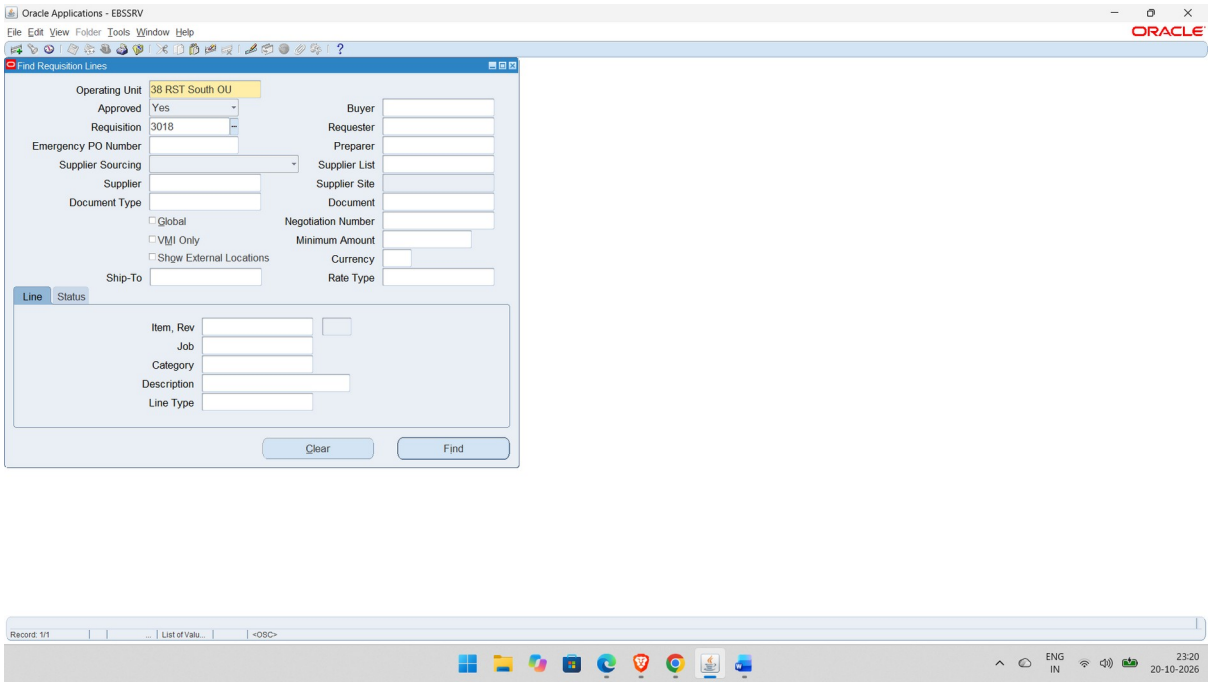
Details: Select AutoCreate and click Open.



Step 87: Find the requisition lines

Navigation: AutoCreate Documents → Find Requisition Lines window

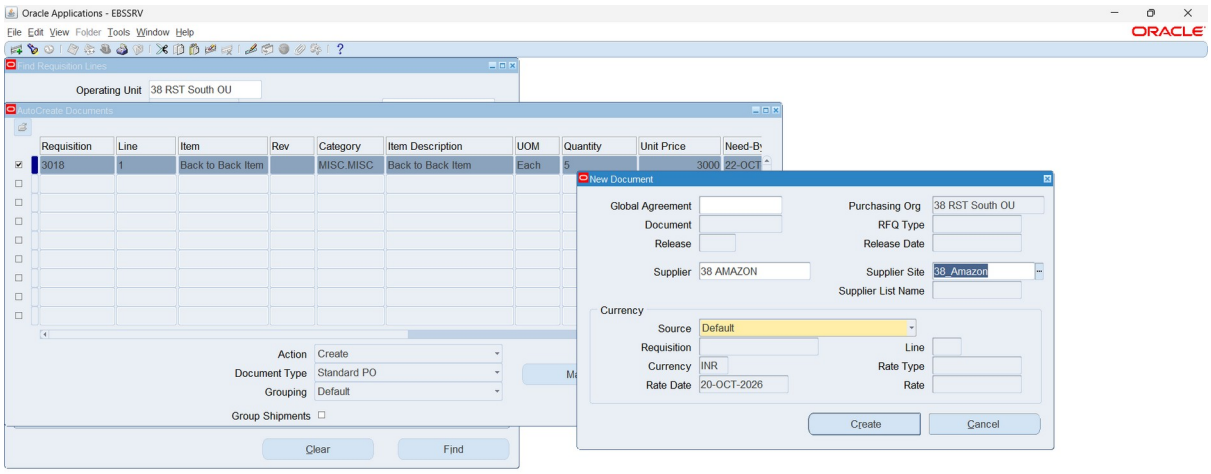
Details: Operating Unit: 38 RST South OU. Approved: Yes. Requisition: 3018. Click Find.

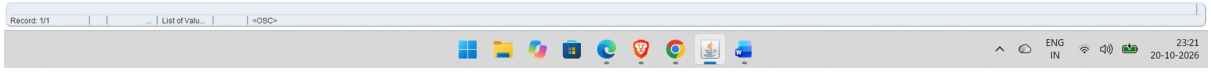


Step 88: Create the PO from the requisition

Navigation: AutoCreate Documents → Automatic → New Document window

Details: Back to Back Item, quantity 5, unit price 3000. Supplier: 38 AMAZON. Supplier Site: 38_Amazon. Click Create.

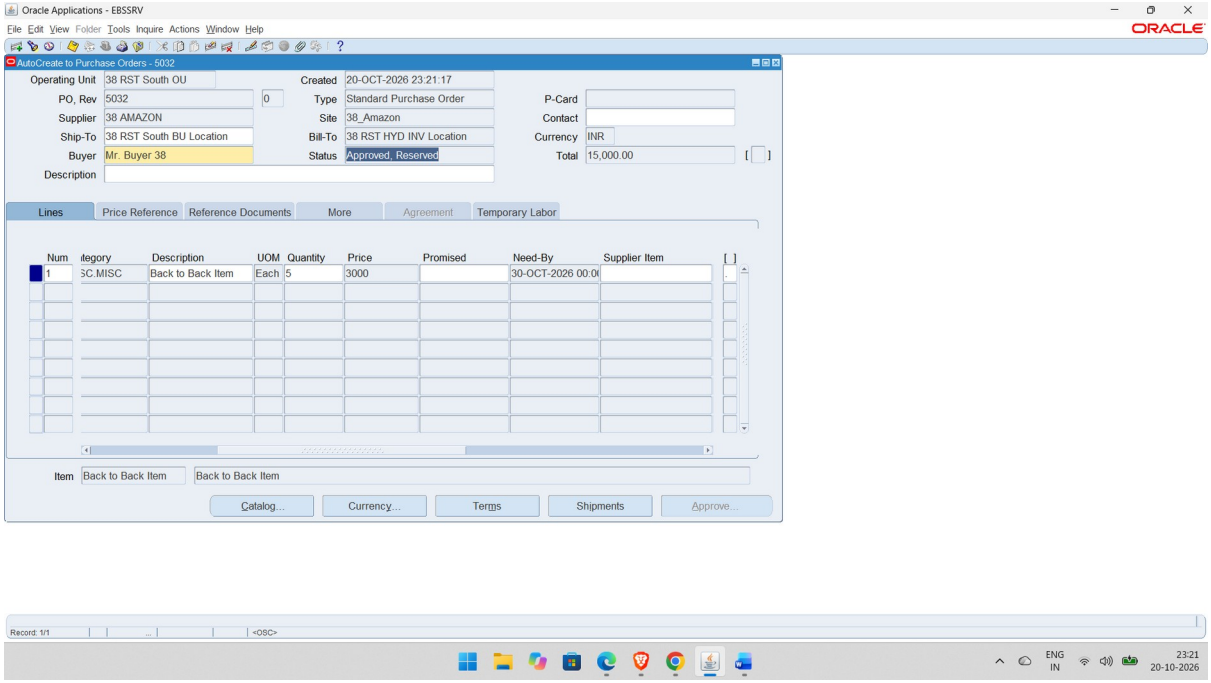




Step 89: Purchase order created and approved

Navigation: Purchase Orders window

Details: PO 5032, Standard Purchase Order, supplier 38 AMAZON, Ship-To and Bill-To 38 RST HYD INV Location, total 15,000, status Approved.



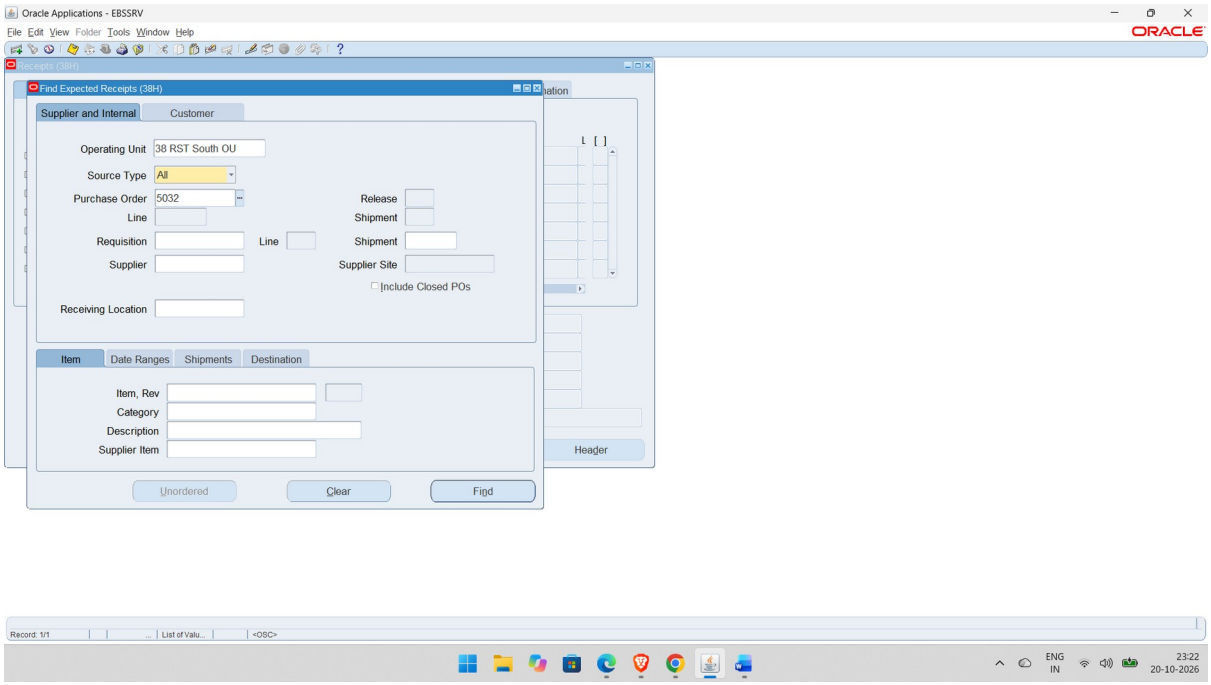
Receive, Inspect and Deliver – 4-Way Matching

- Receive against PO 5032, enter the inspection result, deliver to Main Store and check the availability.

Step 90: Find Expected Receipts

Navigation: Navigator (38 RST PO RESP) → Oracle Purchasing → Receiving → Receipts → Find Expected Receipts window

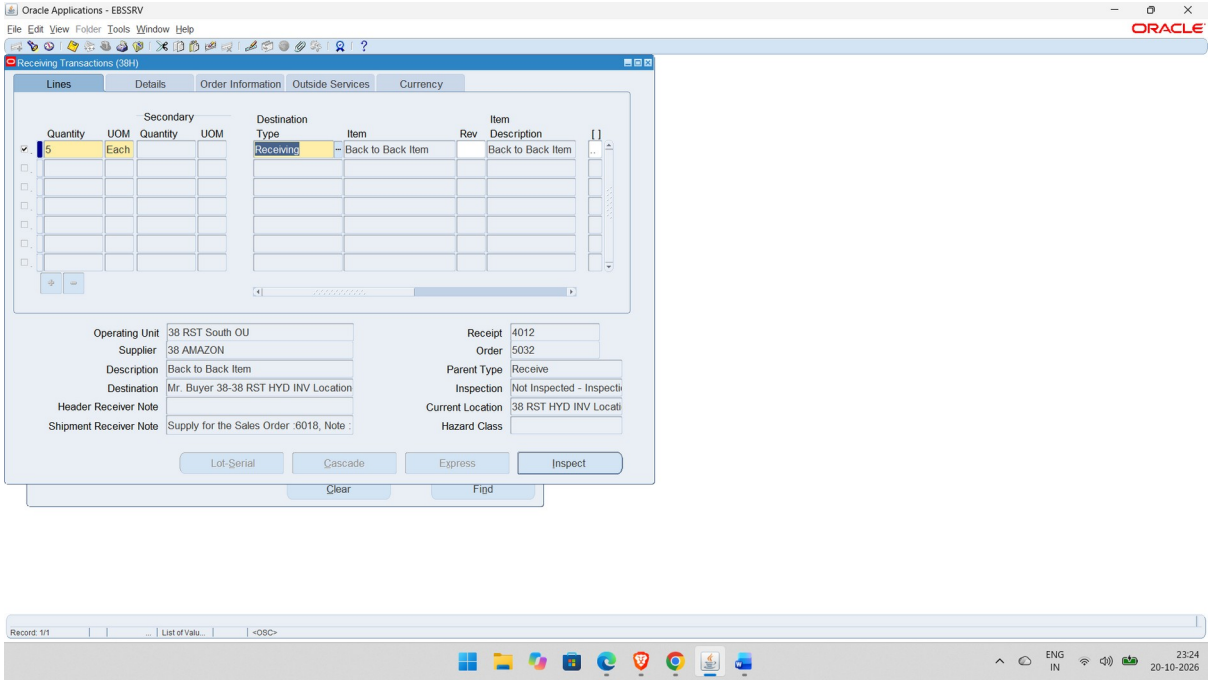
Details: Enter Purchase Order 5032 and click Find.



Step 91: Receive the material

Navigation: Receiving Transactions window → Lines tab

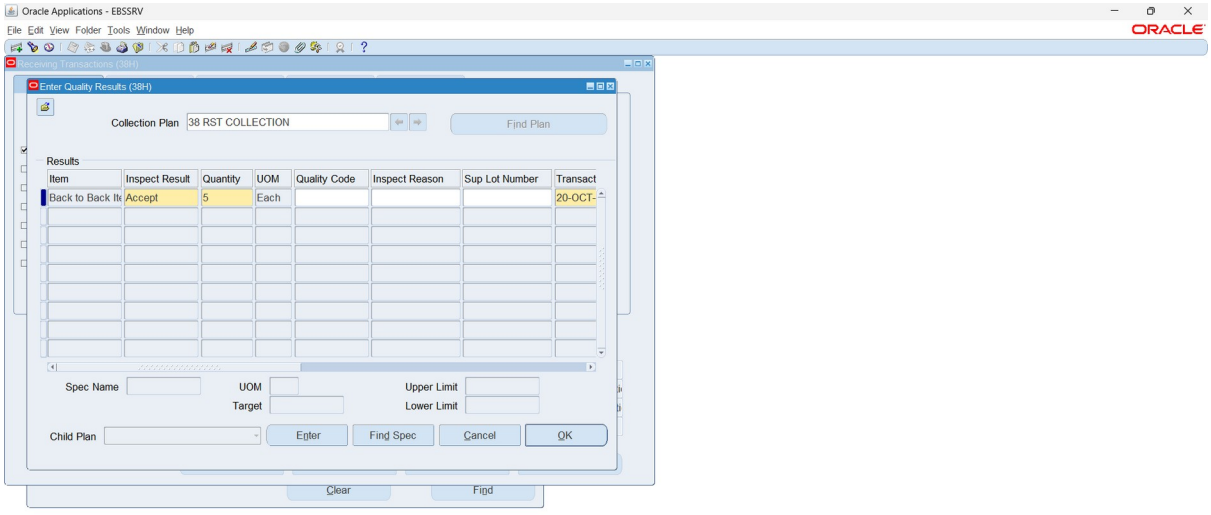
Details: Receipt 4012 against PO 5032, supplier 38 AMAZON, quantity 5 Each. Destination Type: Receiving. The shipment note reads 'Supply for the Sales Order 6018'.

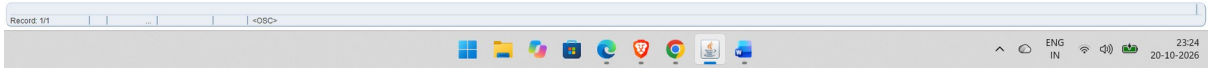


Step 92: Inspect – Enter Quality Results

Navigation: Receiving Transactions window → Inspect button → Enter Quality Results window

Details: Collection Plan: 38 RST COLLECTION. Inspect Result: Accept. Quantity: 5 Each. Click OK.

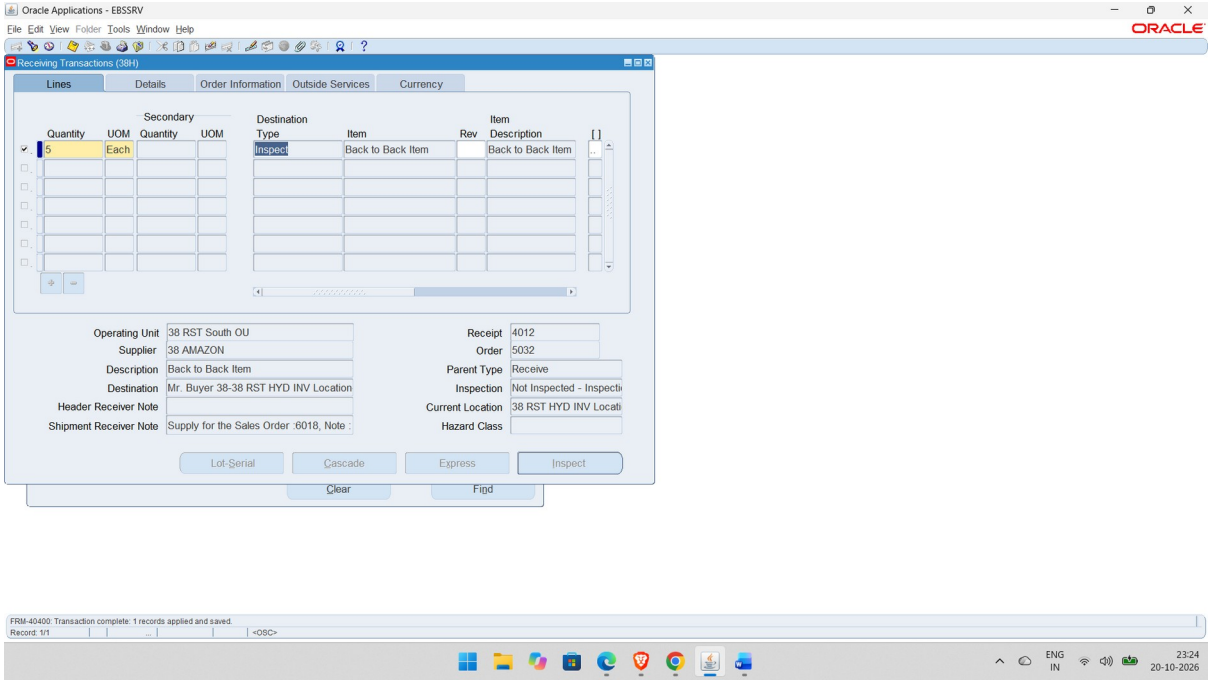




Step 93: Inspection saved

Navigation: Receiving Transactions window → Lines tab

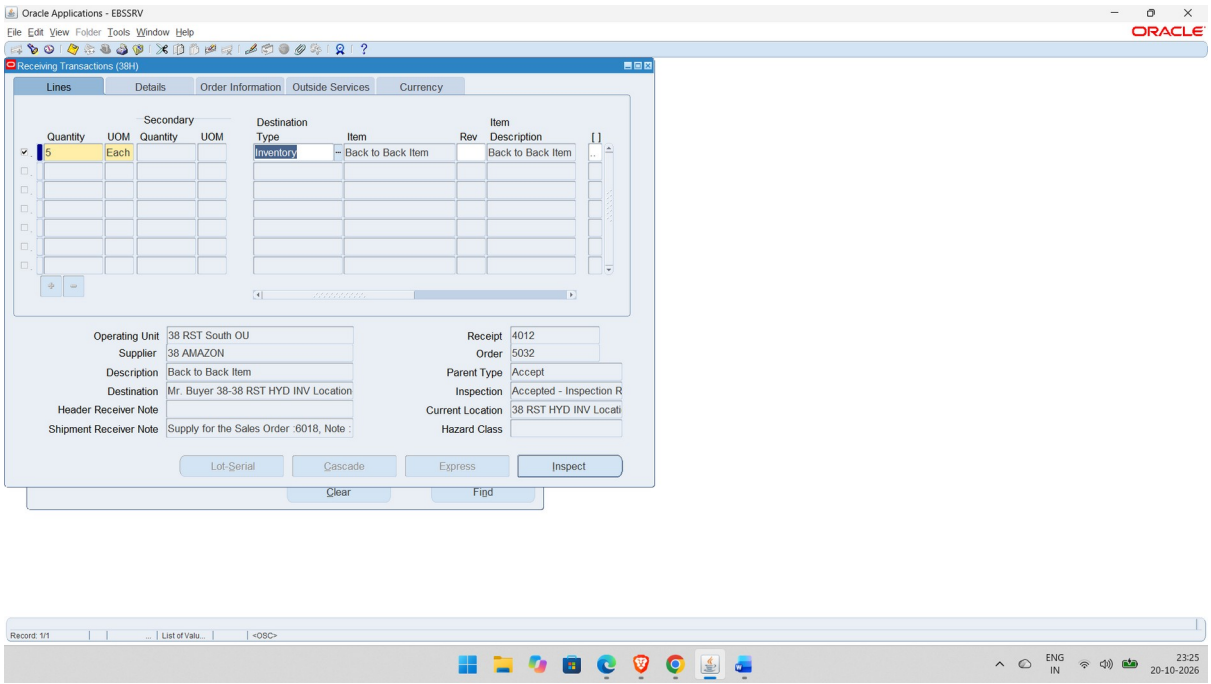
Details: The status bar shows FRM-40400: Transaction complete, 1 record applied and saved. Parent Type: Receive.



Step 94: Accepted quantity – deliver

Navigation: Receiving Transactions window → Lines tab

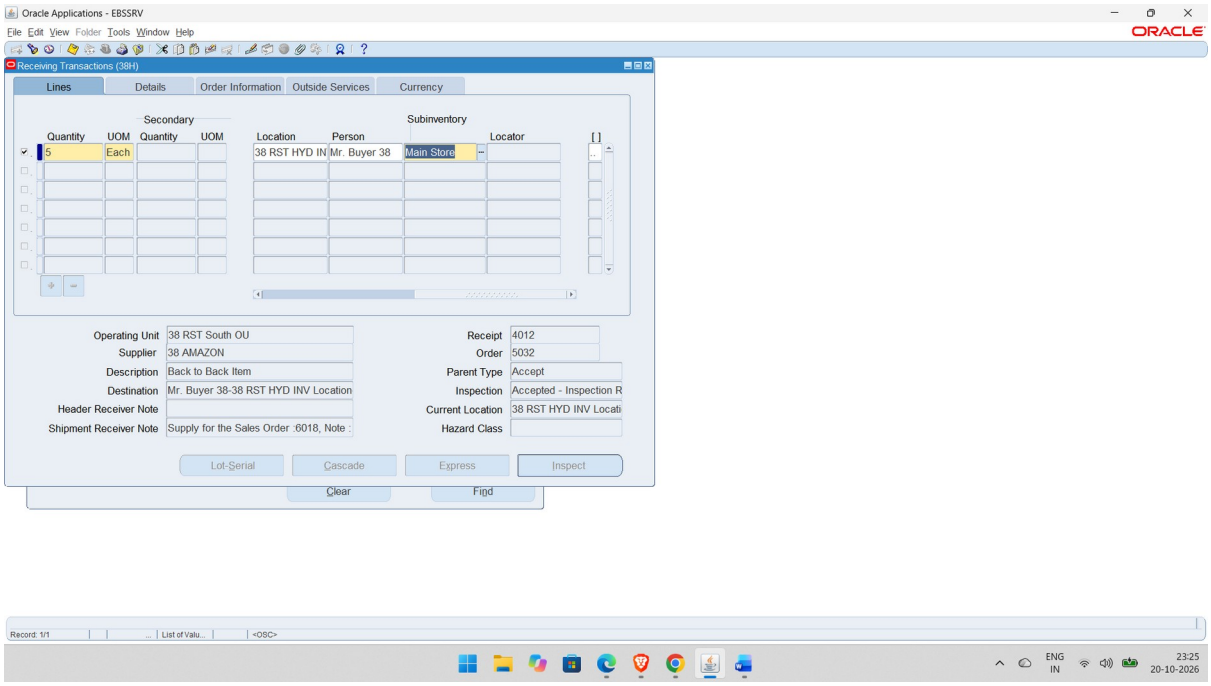
Details: Parent Type: Accept. Inspection: Accepted. Destination Type: Inventory for the delivery.



Step 95: Deliver to Main Store

Navigation: Receiving Transactions window → Lines tab (scroll right)

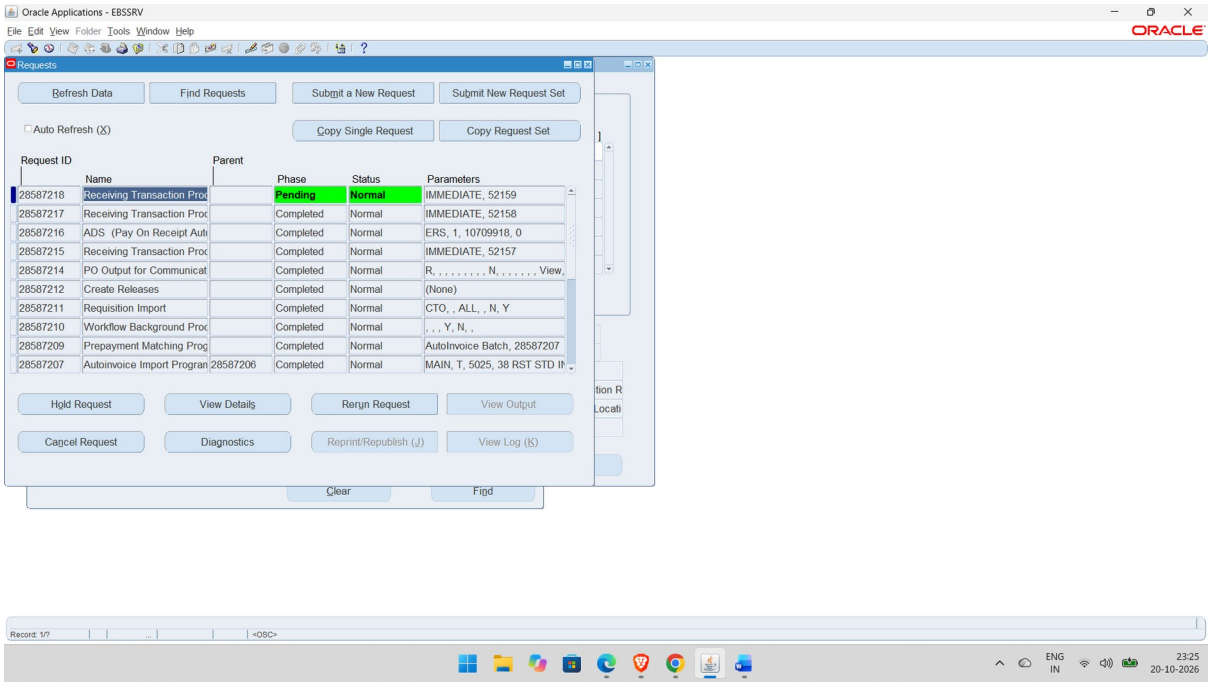
Details: Subinventory: Main Store. Person: Mr. Buyer 38. Save the transaction.



Step 96: Receiving Transaction Processor request

Navigation: View menu → Requests

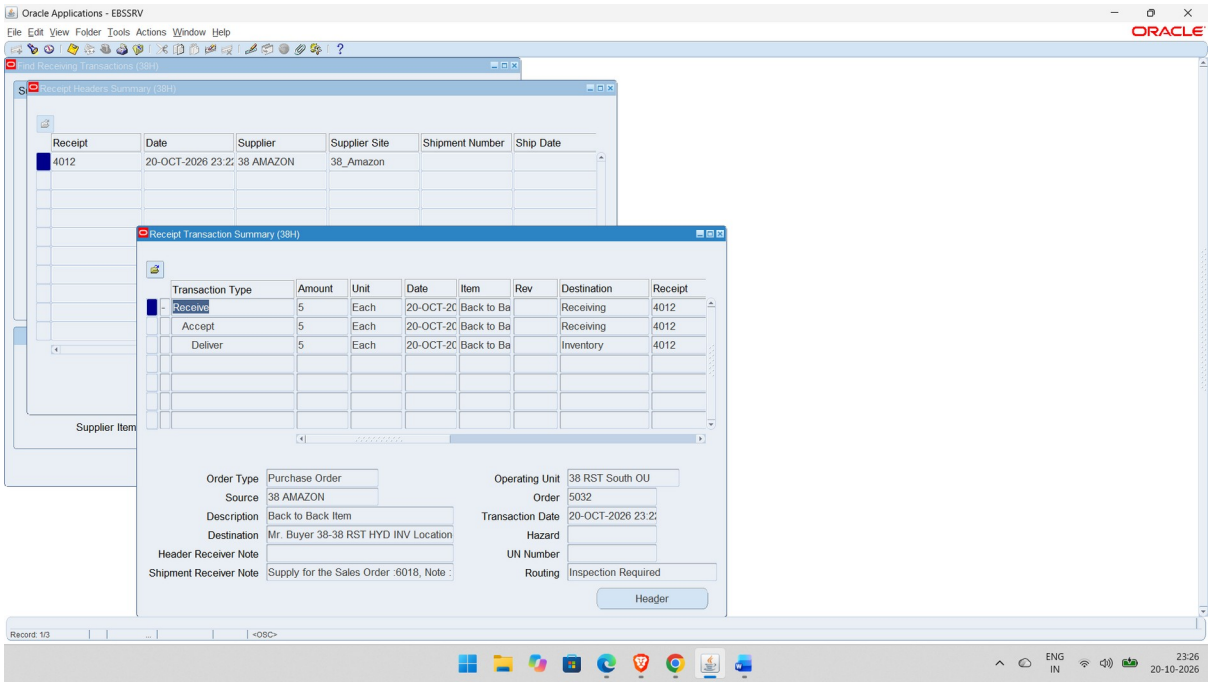
Details: The Receiving Transaction Processor request is submitted and shows Pending.



Step 97: Receipt transaction summary

Navigation: Navigator (38 RST PO RESP) → Receiving → Receiving Transaction Summary

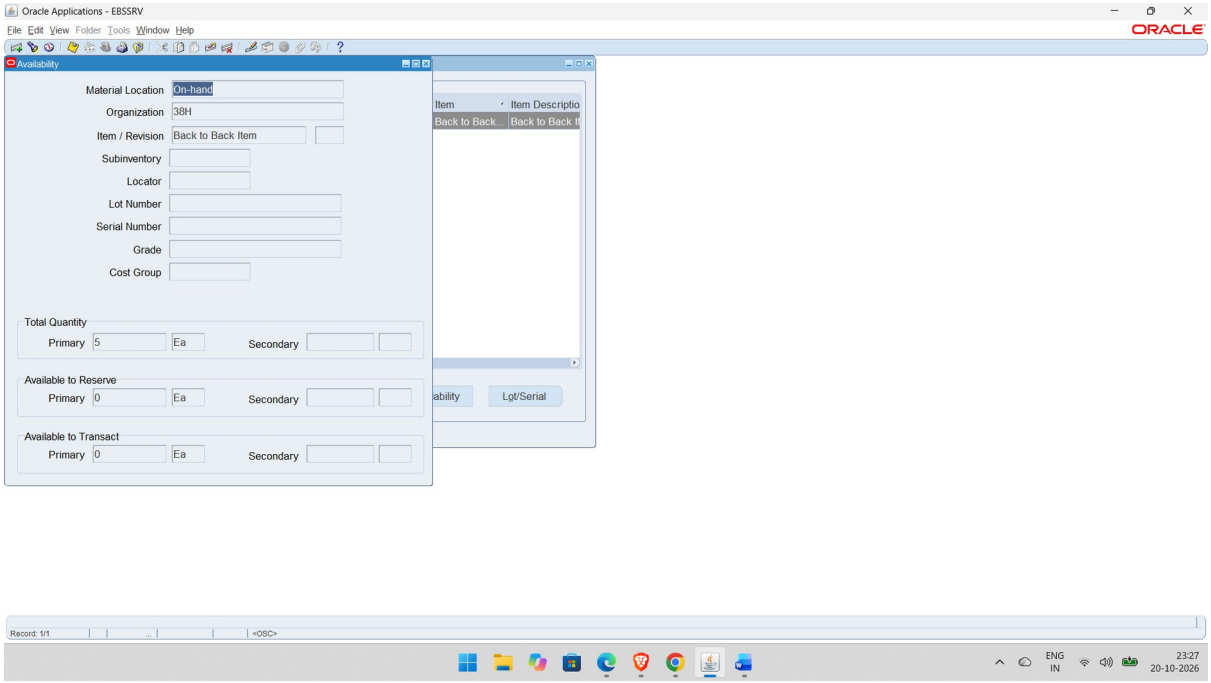
Details: Receipt 4012 shows the transactions Receive, Accept and Deliver, each for quantity 5 Each.



Step 98: Availability of the Back to Back Item

Navigation: Navigator (38 RST INV RESP) → Oracle Inventory → On-hand, Availability → On-hand Quantity → Availability

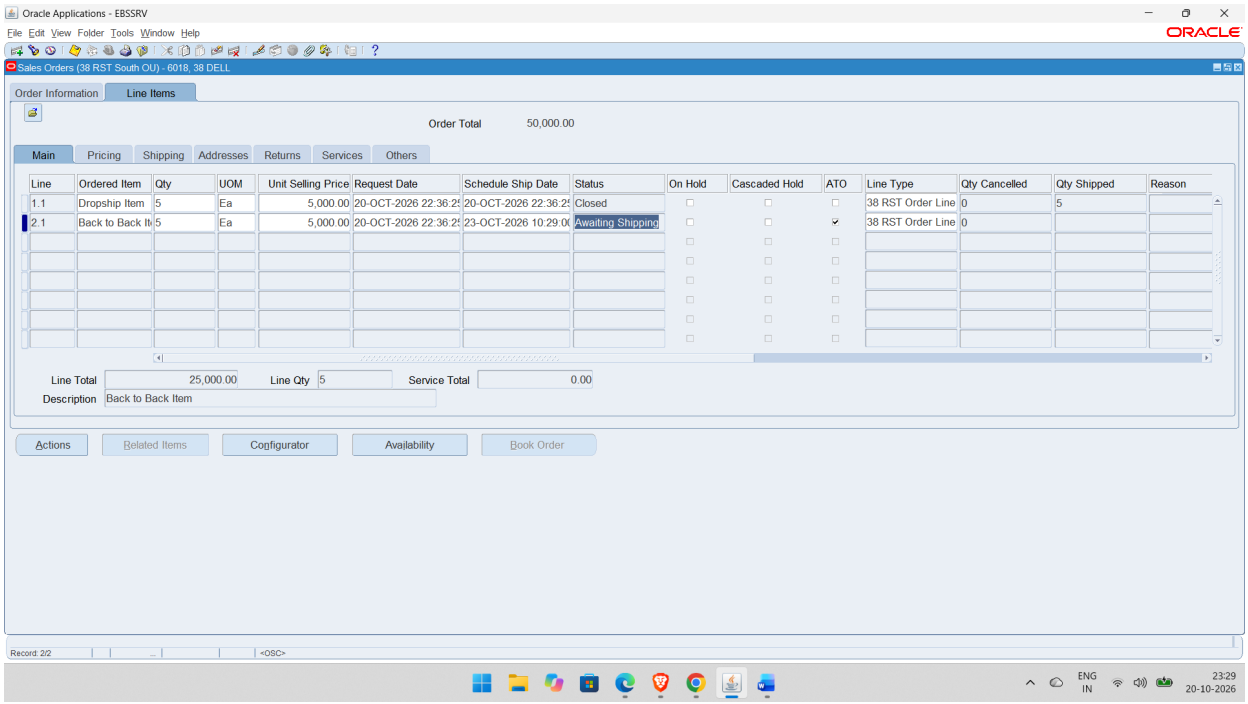
Details: Total Quantity: 5 Ea. Available to Reserve: 0. Available to Transact: 0.



Step 99: Line status – Awaiting Shipping

Navigation: Sales Orders window → Line Items tab → Main tab

Details: Line 2.1 (Back to Back Item) shows Awaiting Shipping.



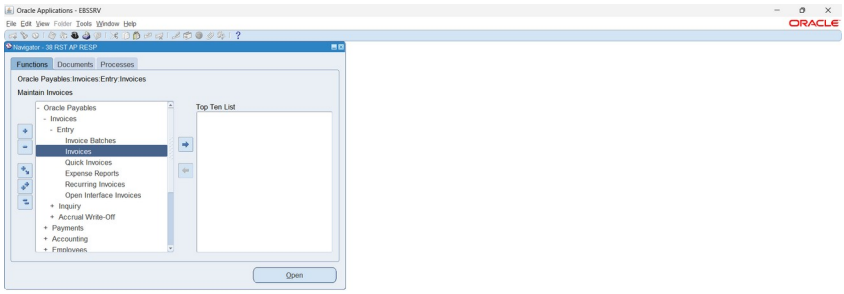
Supplier Invoice – Payables

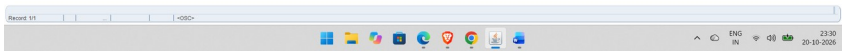
- Enter the supplier invoice matched to PO 5032 and receipt 4012, then validate it.

Step 100: Open Payables invoice entry

Navigation: Navigator → 38 RST AP RESP → Oracle Payables → Invoices → Entry → Invoices

Details: Select Invoices and click Open.

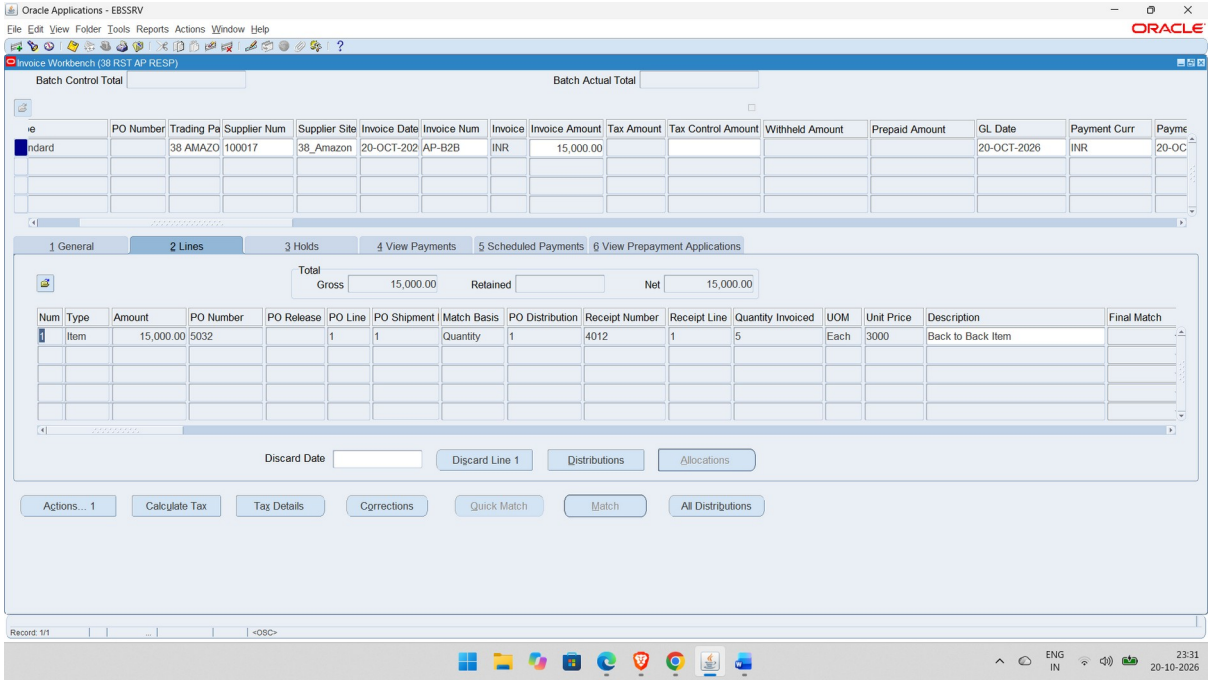




Step 101: Supplier invoice for the Back to Back receipt

Navigation: Invoice Workbench → Invoices window → Lines tab

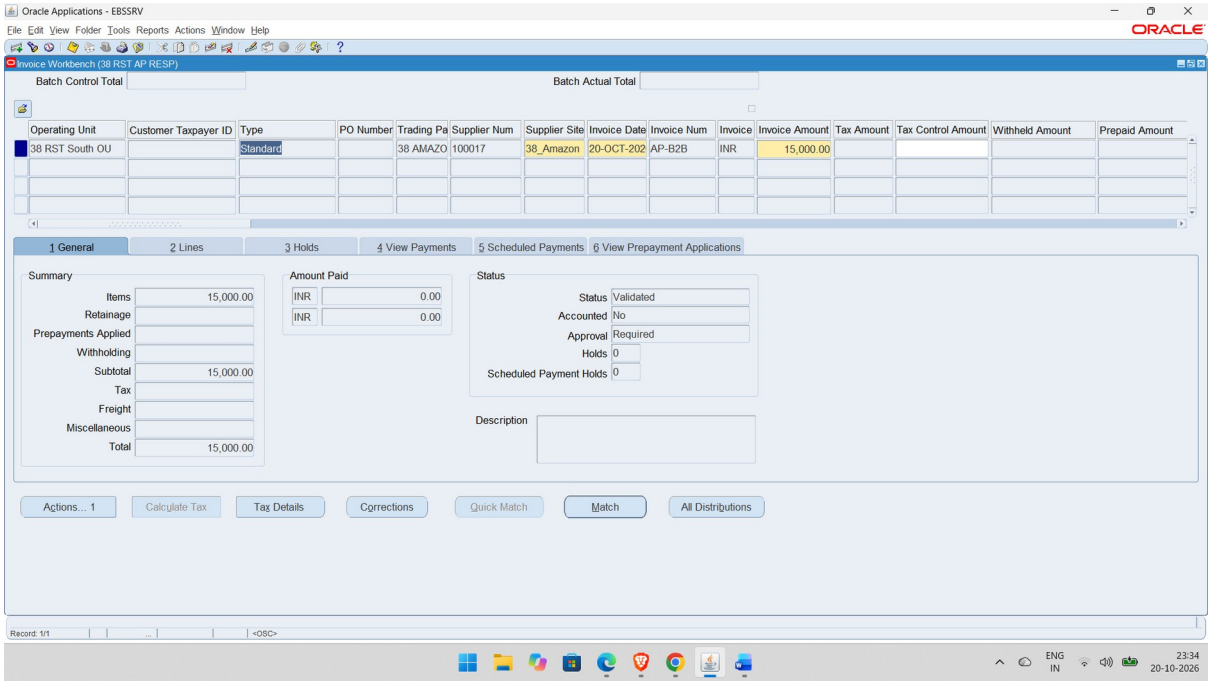
Details: Type: Standard. Supplier: 38 AMAZON. Amount: 15,000 INR. The line is matched to PO 5032, receipt 4012, quantity invoiced 5, unit price 3000.



Step 102: Invoice validated

Navigation: Invoice Workbench → 1 General tab

Details: Status: Validated. Items and total: 15,000.00.



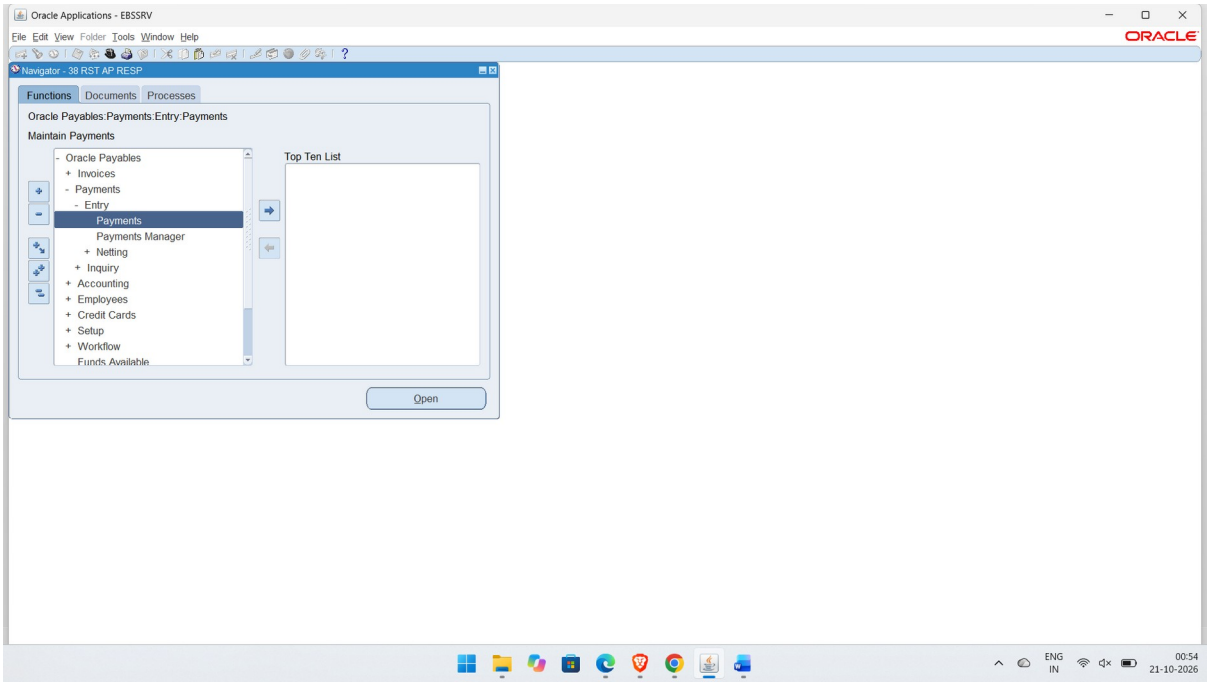
Supplier Payment and Accounting

- Pay the supplier invoice with a Quick payment, then run Create Accounting on the invoice.

Step 103: Open Payments entry

Navigation: Navigator → 38 RST AP RESP → Oracle Payables → Payments → Entry → Payments

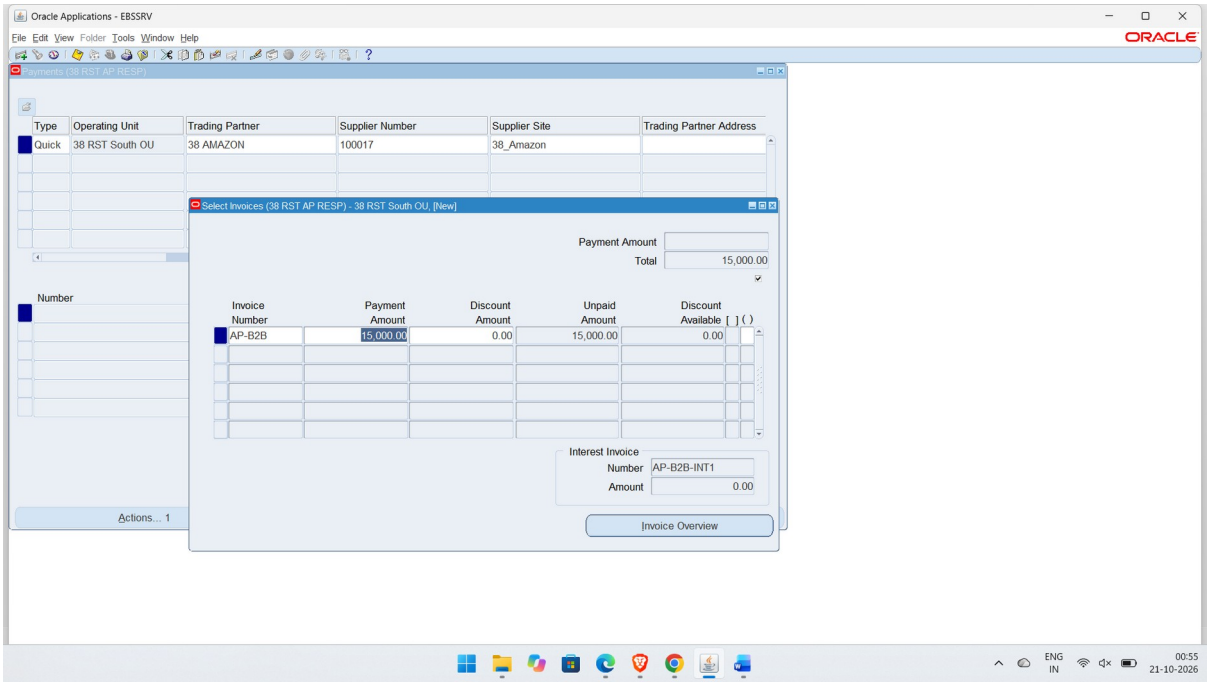
Details: Select Payments and click Open.



Step 104: Select the invoice to pay

Navigation: Payments window (Quick payment) → Select Invoices window

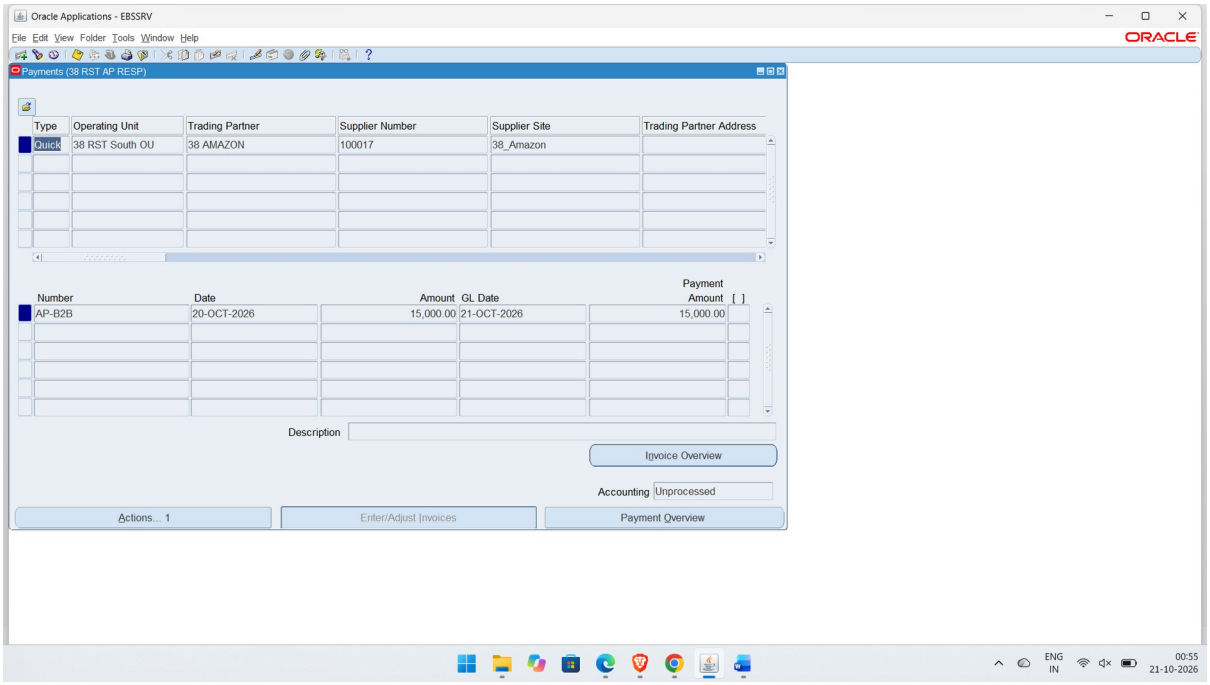
Details: Invoice AP-B2B: Payment Amount 15,000.00, Unpaid Amount 15,000.00, Discount 0.00. Supplier: 38 AMAZON (100017), site 38_Amazon.



Step 105: Payment created

Navigation: Payments window

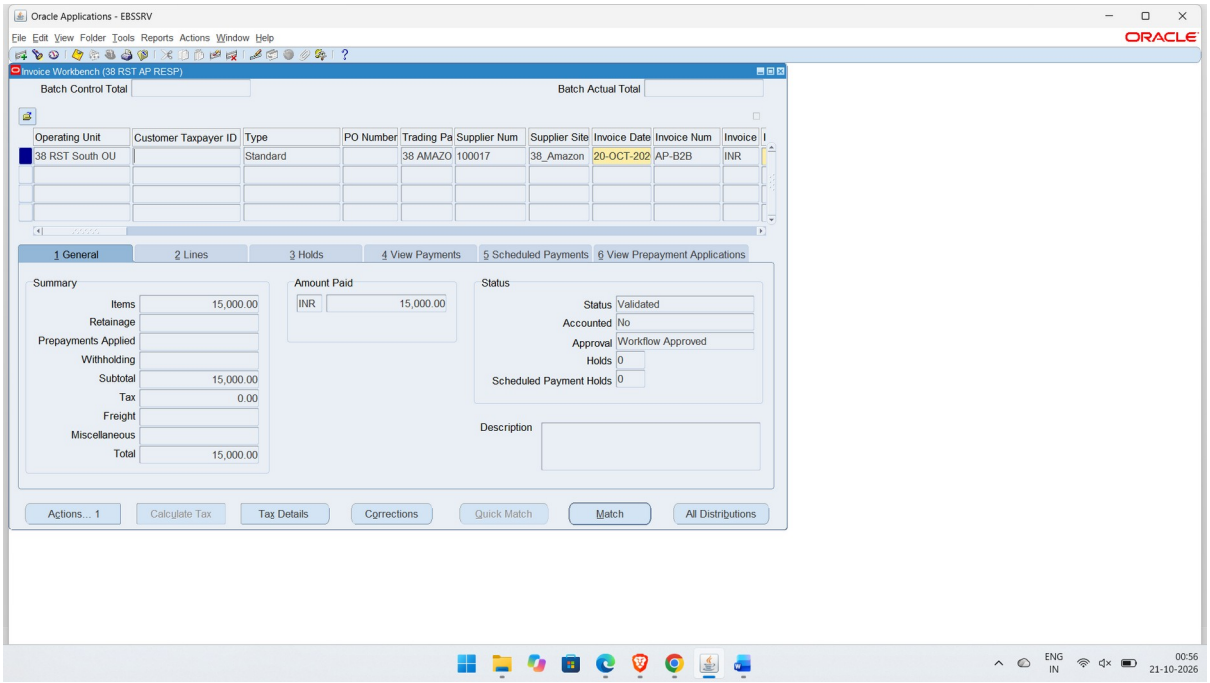
Details: Type: Quick. Operating Unit: 38 RST South OU. Supplier: 38 AMAZON, site 38_Amazon. Invoice AP-B2B, payment date 20-OCT-2026, GL date 21-OCT-2026, amount 15,000.00. Accounting: Unprocessed.



Step 106: Invoice paid

Navigation: Invoice Workbench → 1 General tab

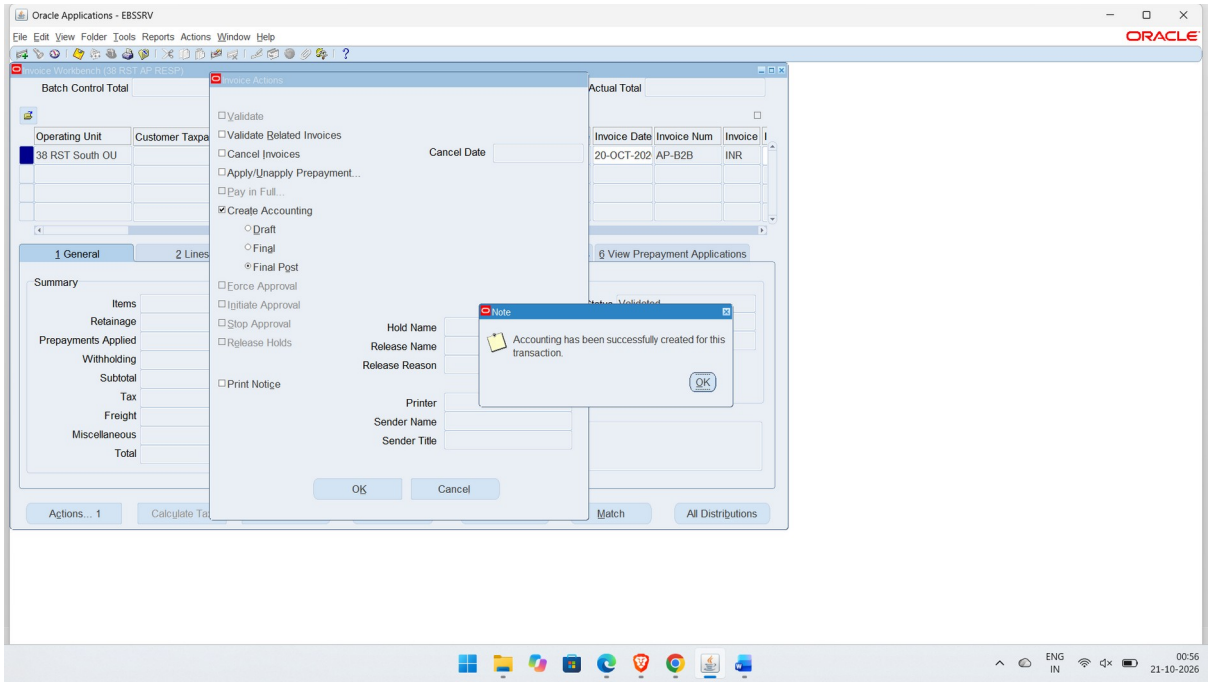
Details: Invoice AP-B2B: Status Validated, Amount Paid INR 15,000.00, Approval Workflow Approved, Accounted: No.



Step 107: Create Accounting for the invoice

Navigation: Invoice Workbench → Actions button → Create Accounting → OK

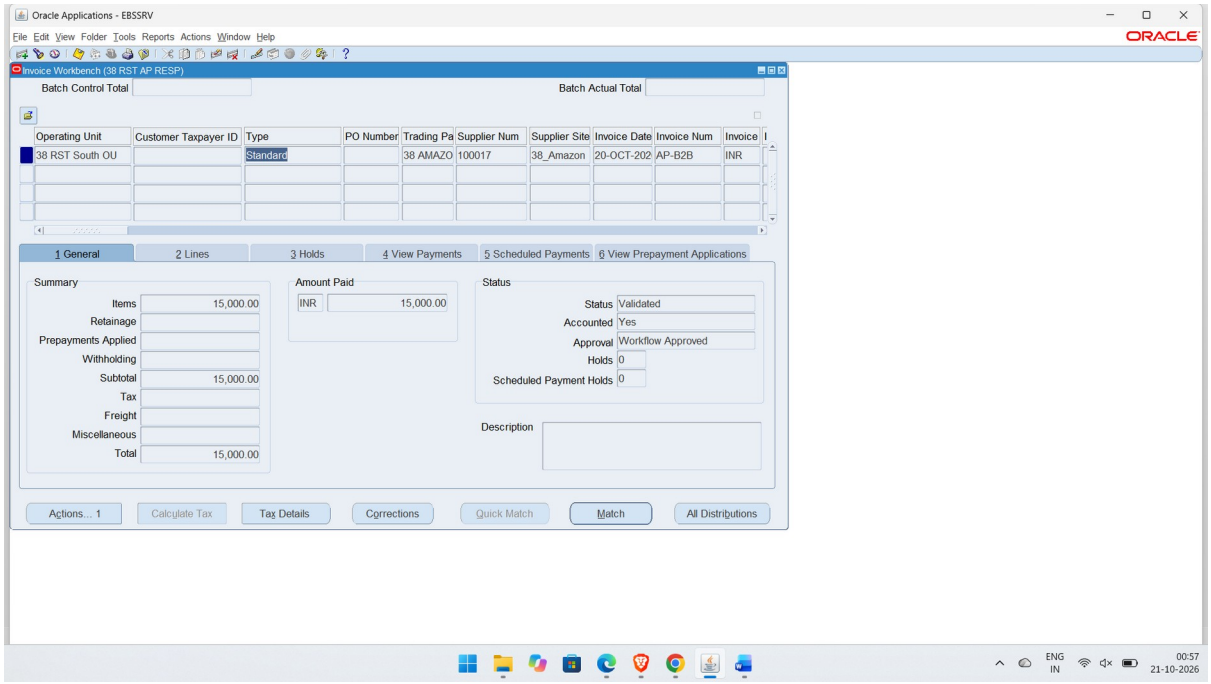
Details: Create Accounting is selected with Final Post. The note confirms: Accounting has been successfully created for this transaction.



Step 108: Invoice accounted

Navigation: Invoice Workbench → 1 General tab

Details: Invoice AP-B2B: Status Validated, Amount Paid 15,000.00, Accounted: Yes.



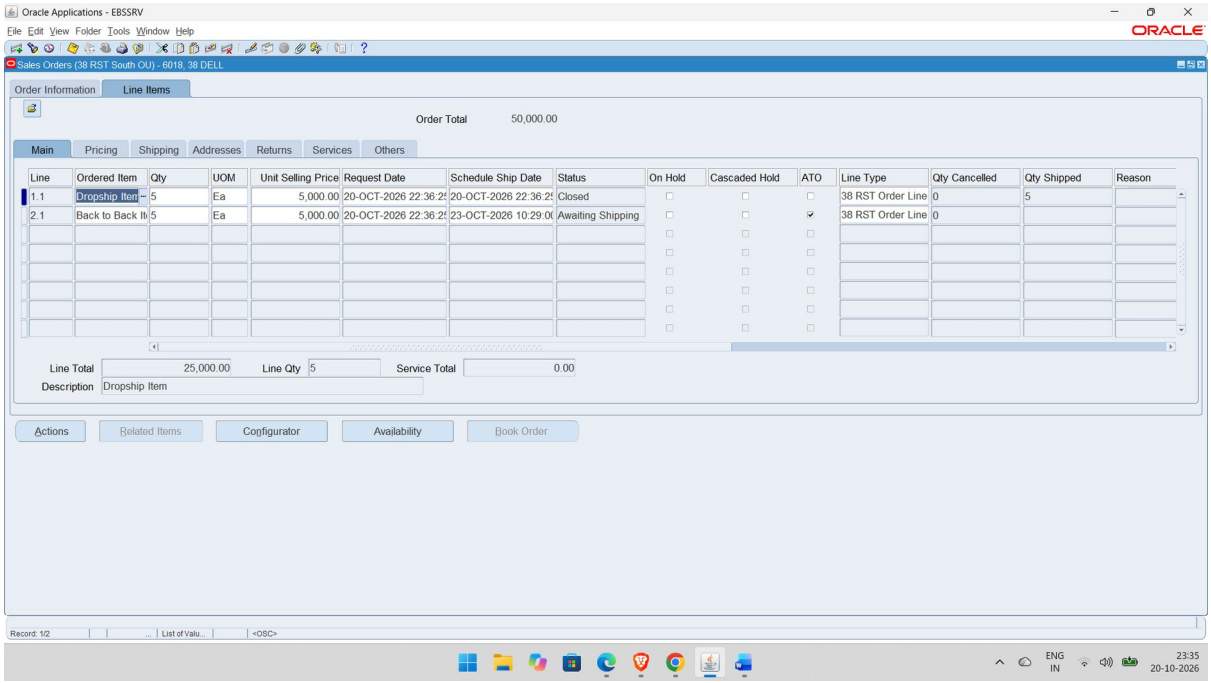
Pick Release and Ship Confirm

- Release the line from Shipping Transactions, pick confirm and ship confirm the delivery, then run Workflow Background Process.

Step 109: Sales order status before shipping

Navigation: Sales Orders window → Line Items tab → Main tab

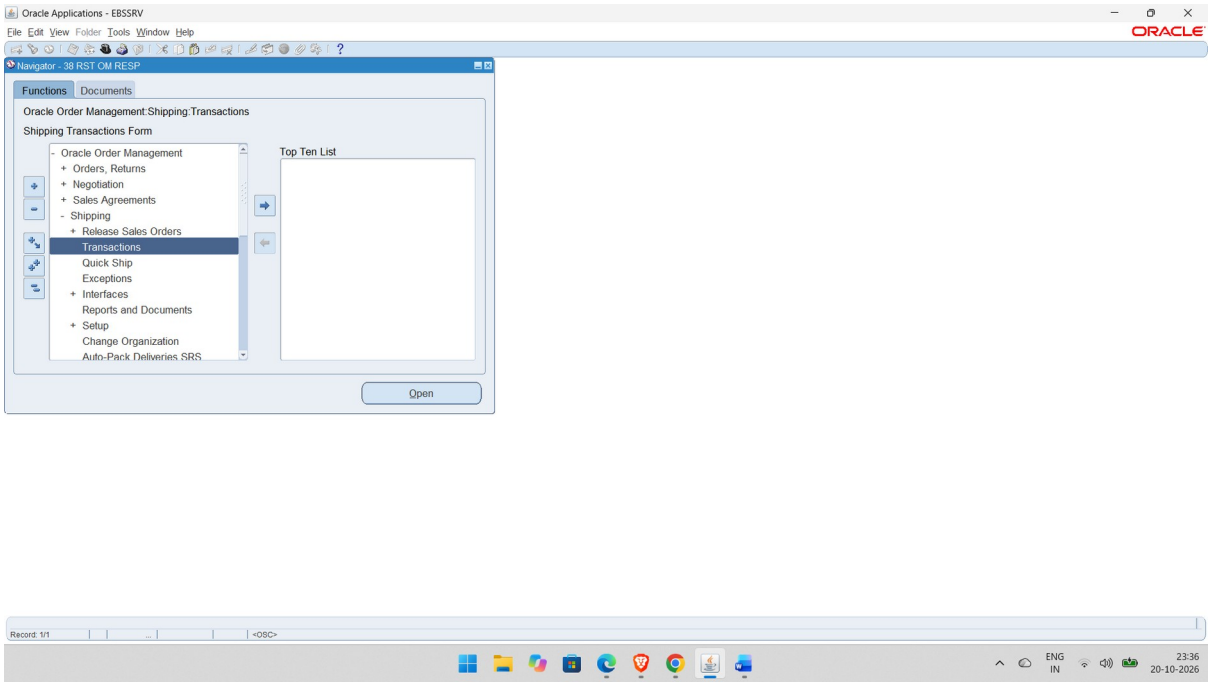
Details: Line 1.1 is Closed. Line 2.1 (Back to Back Item) is Awaiting Shipping.



Step 110: Open Shipping Transactions

Navigation: Navigator (38 RST OM RESP) → Order Management → Shipping → Transactions

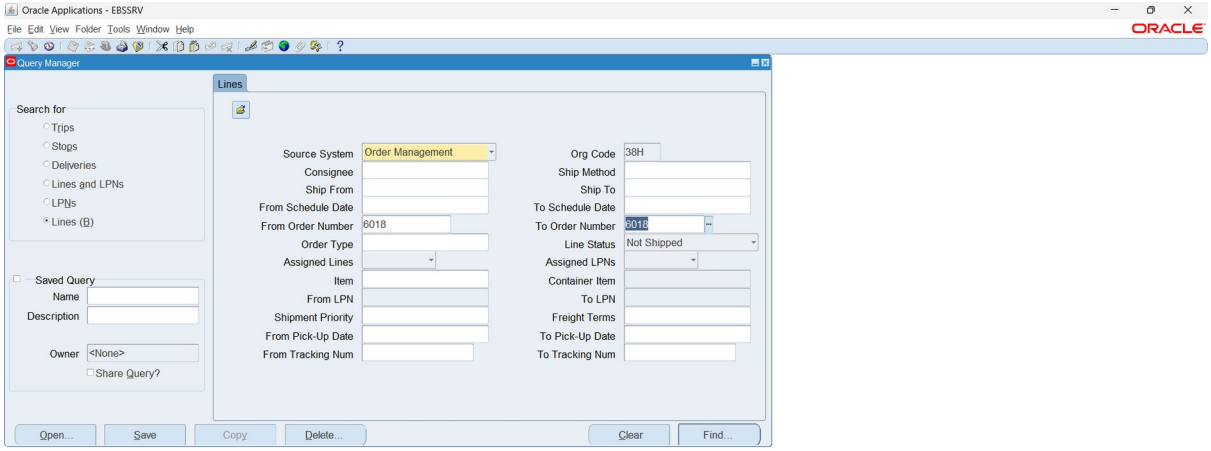
Details: Select Transactions and click Open.

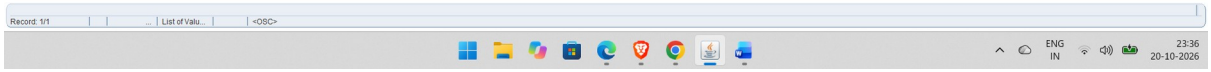


Step 111: Query the order lines

Navigation: Shipping Transactions → Query Manager → Lines

Details: Source System: Order Management. Organization: 38H. Order Number: 6018 (from and to). Line Status: Not Shipped. Click Find.

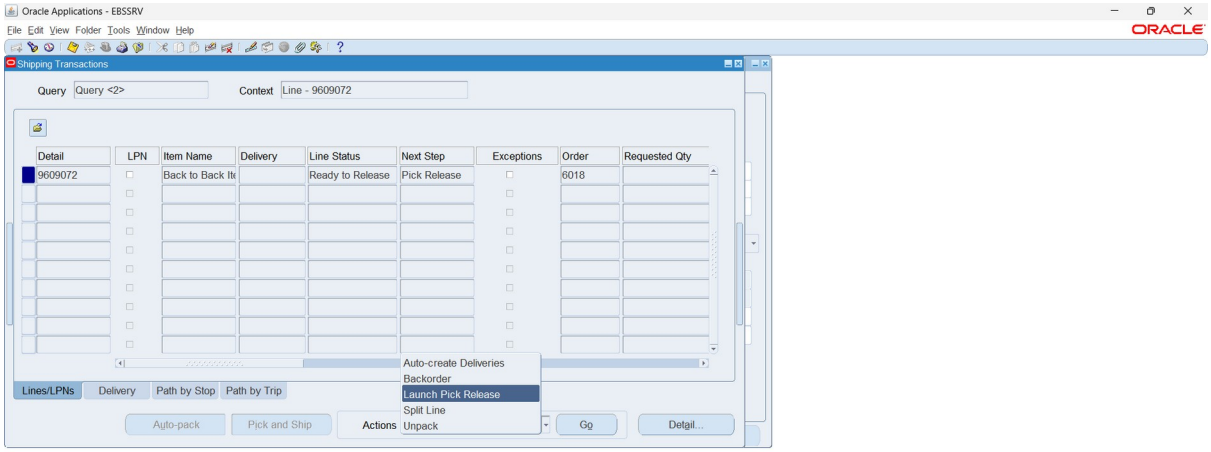


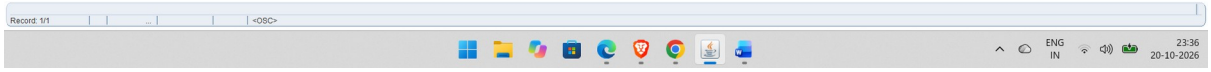


Step 112: Launch Pick Release

Navigation: Shipping Transactions window → Lines/LPNs tab → Actions → Launch Pick Release → Go

Details: The line shows status Ready to Release and Next Step Pick Release.

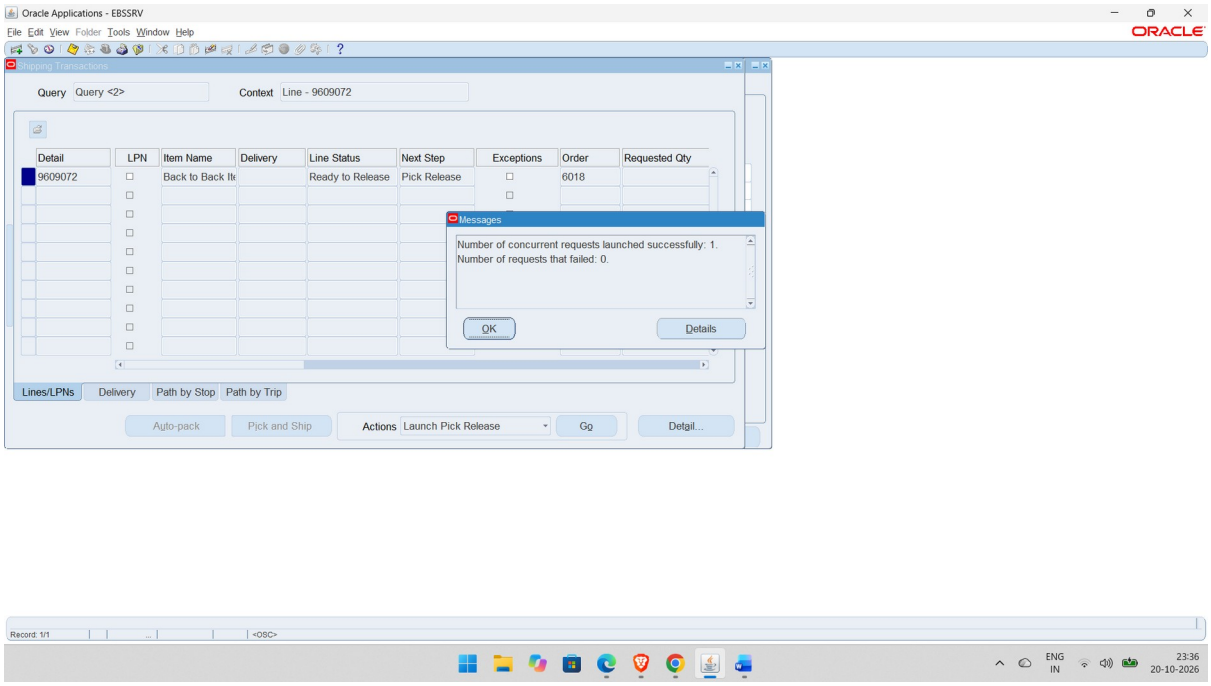




Step 113: Pick Release launched

Navigation: Shipping Transactions window → Message

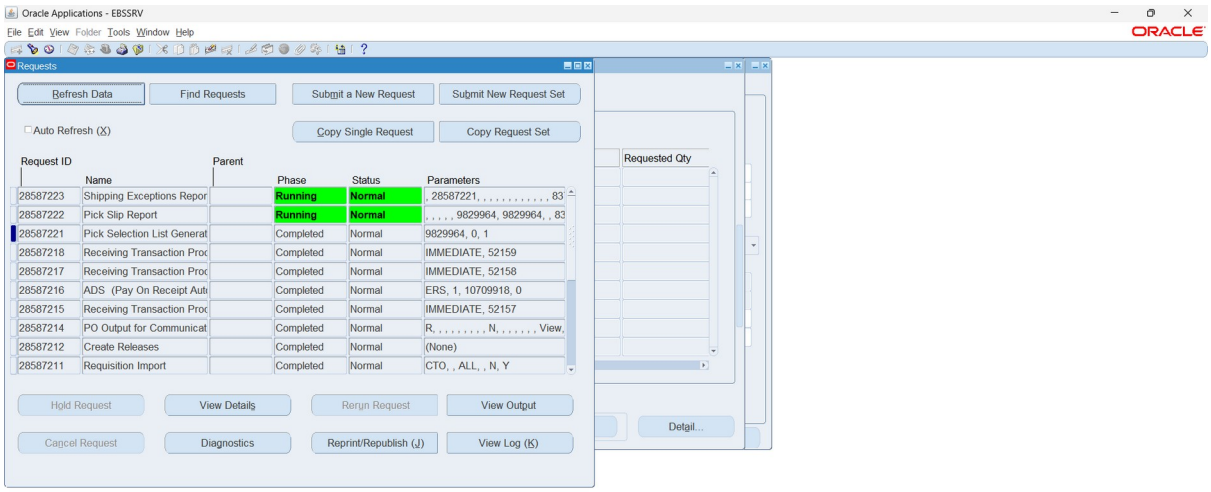
Details: The message shows number of concurrent requests launched successfully: 1 and failed: 0.

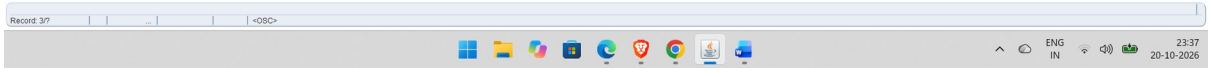


Step 114: Pick Slip and exception reports

Navigation: View menu → Requests

Details: The Pick Selection List Generation request has completed. The Pick Slip Report and Shipping Exceptions Report are running.

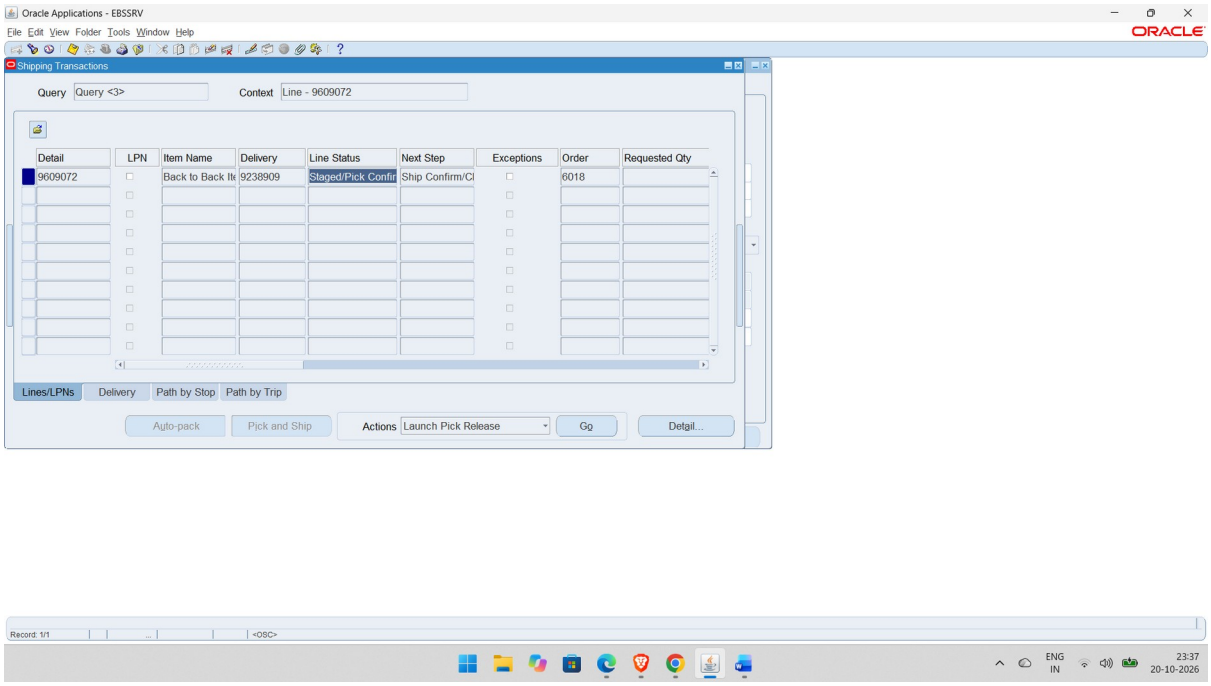




Step 115: Line status – Staged/Pick Confirmed

Navigation: Shipping Transactions window → Lines/LPNs tab

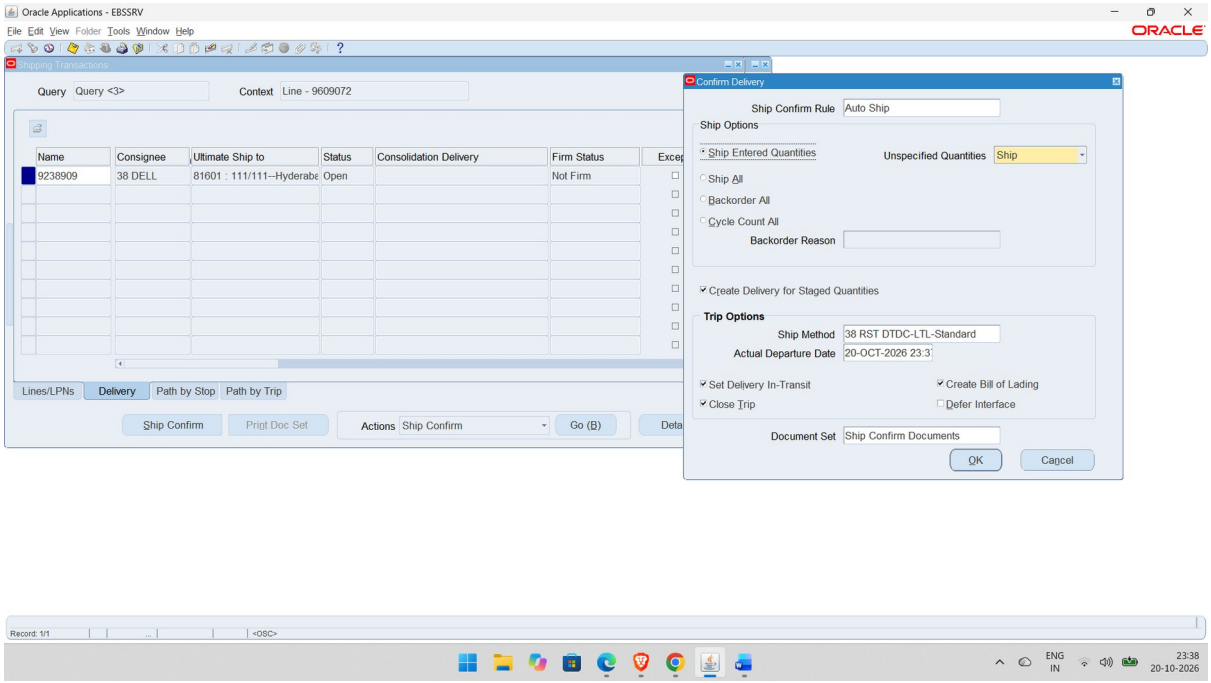
Details: The line shows Staged/Pick Confirmed with Next Step Ship Confirm. A delivery is created.



Step 116: Ship Confirm the delivery

Navigation: Shipping Transactions window → Delivery tab → Actions → Ship Confirm → Go

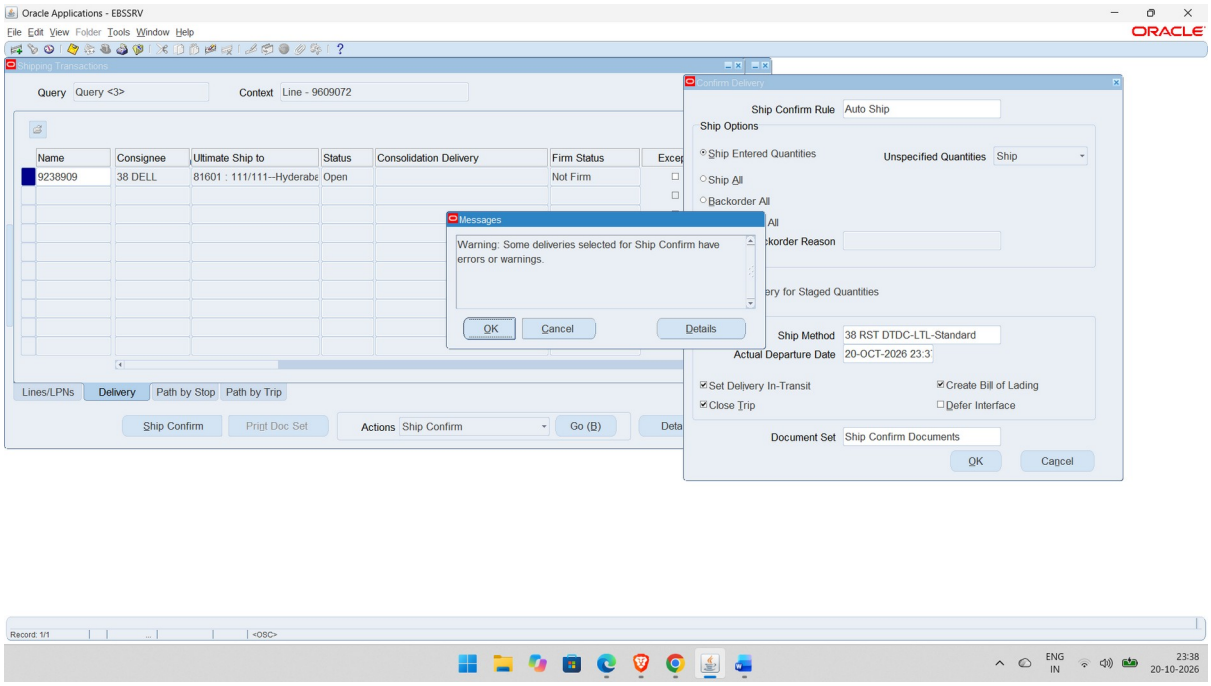
Details: Confirm Delivery window: Ship Confirm Rule Auto Ship, Unspecified Quantities Ship, Set Delivery In-Transit, Create Bill of Lading and Close Trip selected, Document Set Ship Confirm Documents.



Step 117: Ship Confirm message

Navigation: Confirm Delivery window → OK → Messages window

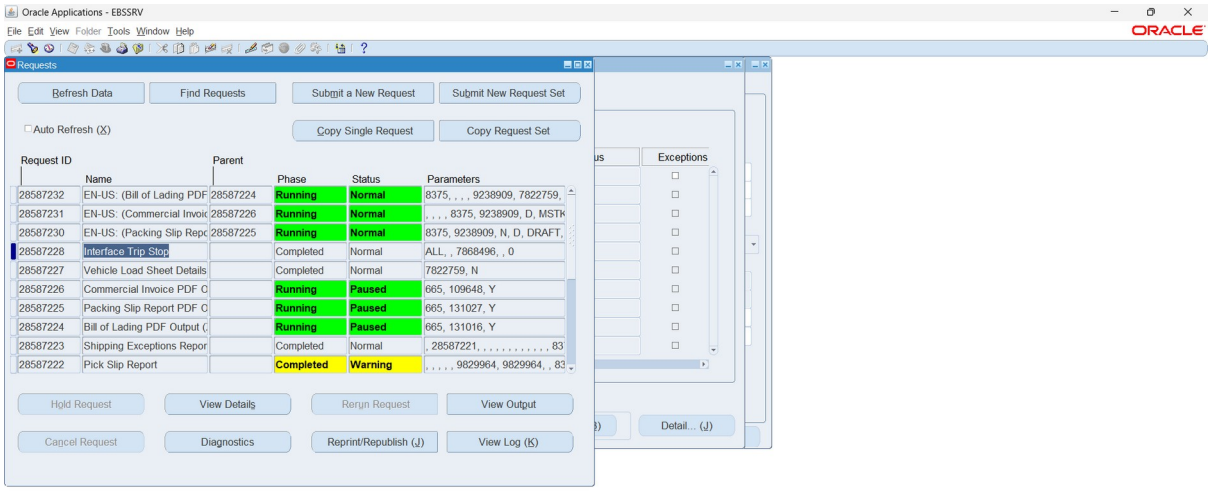
Details: Click OK to continue.

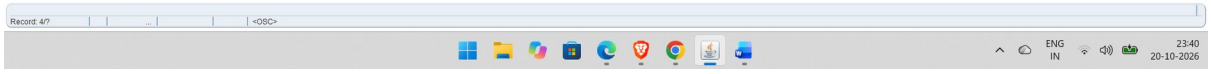


Step 118: Ship Confirm and document requests

Navigation: View menu → Requests

Details: Interface Trip Stop, Bill of Lading, Packing Slip and Commercial Invoice requests are submitted.

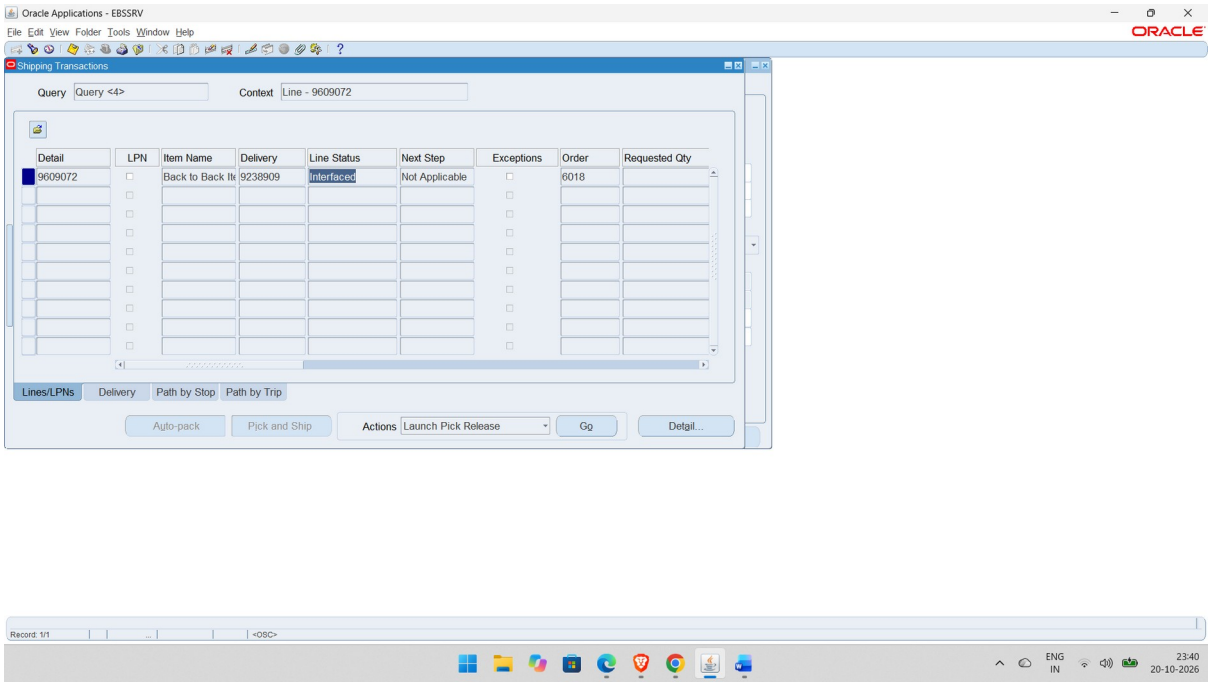




Step 119: Line status – Interfaced

Navigation: Shipping Transactions window → Lines/LPNs tab

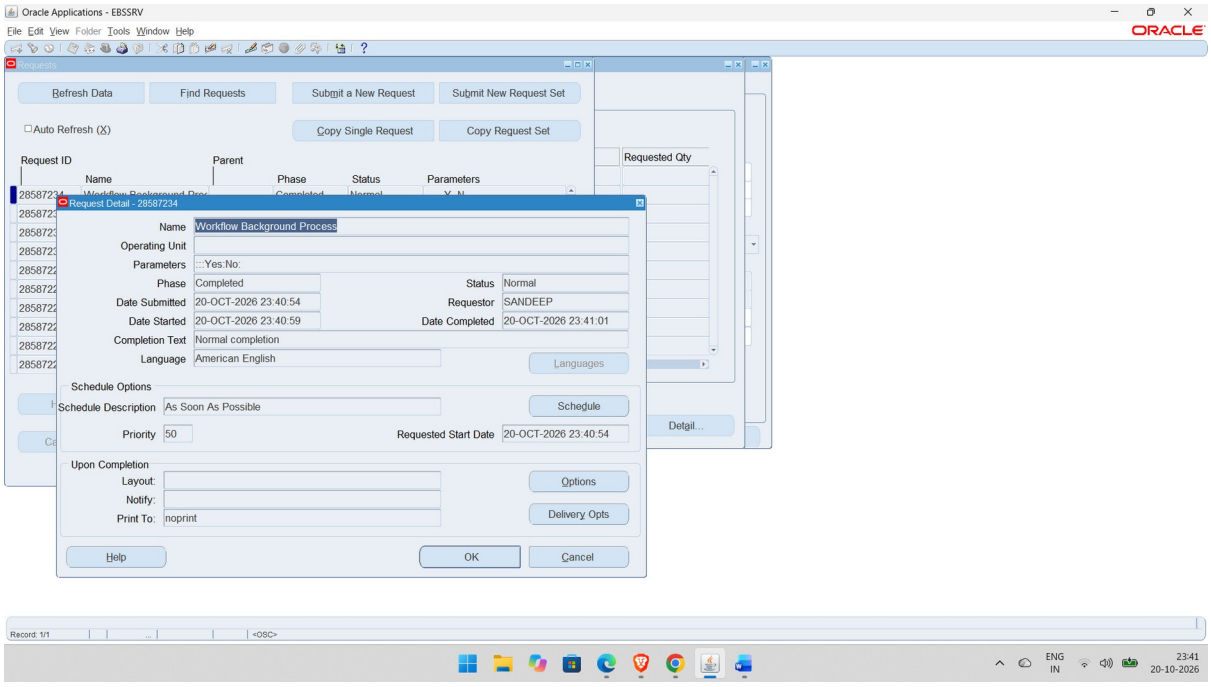
Details: The line shows status Interfaced and Next Step Not Applicable.



Step 120: Workflow Background Process completed

Navigation: View menu → Requests → Find

Details: The Workflow Background Process request shows Phase: Completed and Status: Normal.



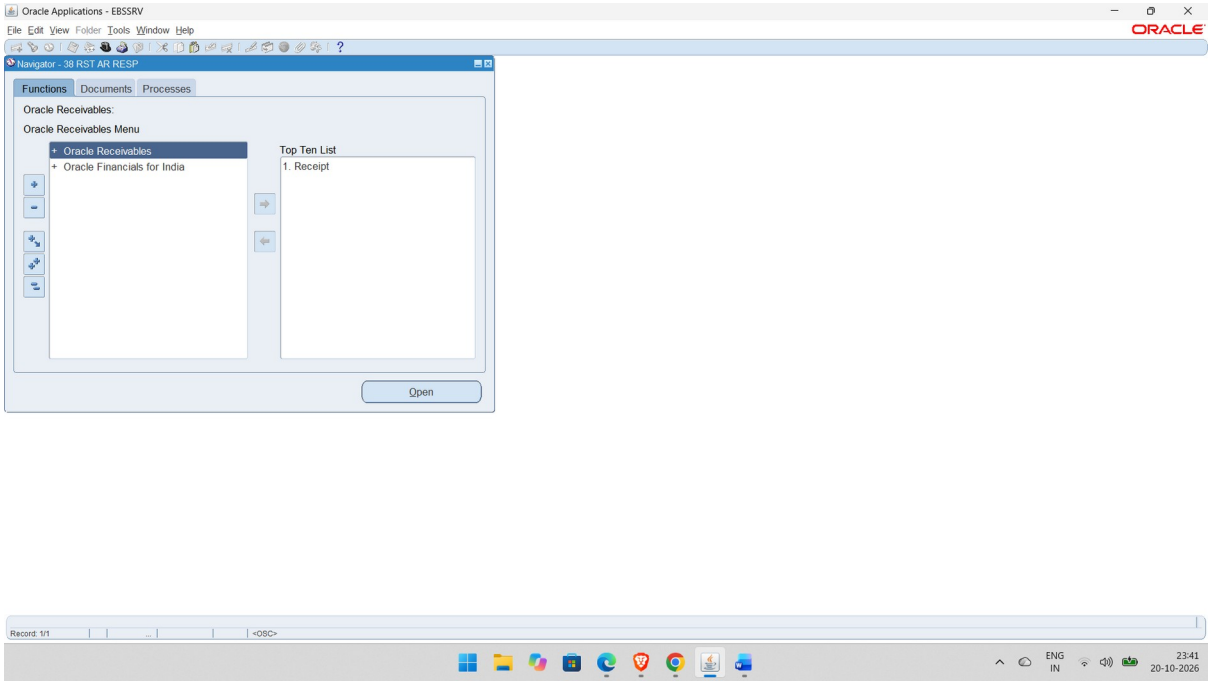
Customer Invoice – AutoInvoice

- Run AutoInvoice in Receivables and check the invoice for sales order 6018.

Step 121: Open Oracle Receivables

Navigation: Navigator → 38 RST AR RESP → Oracle Receivables

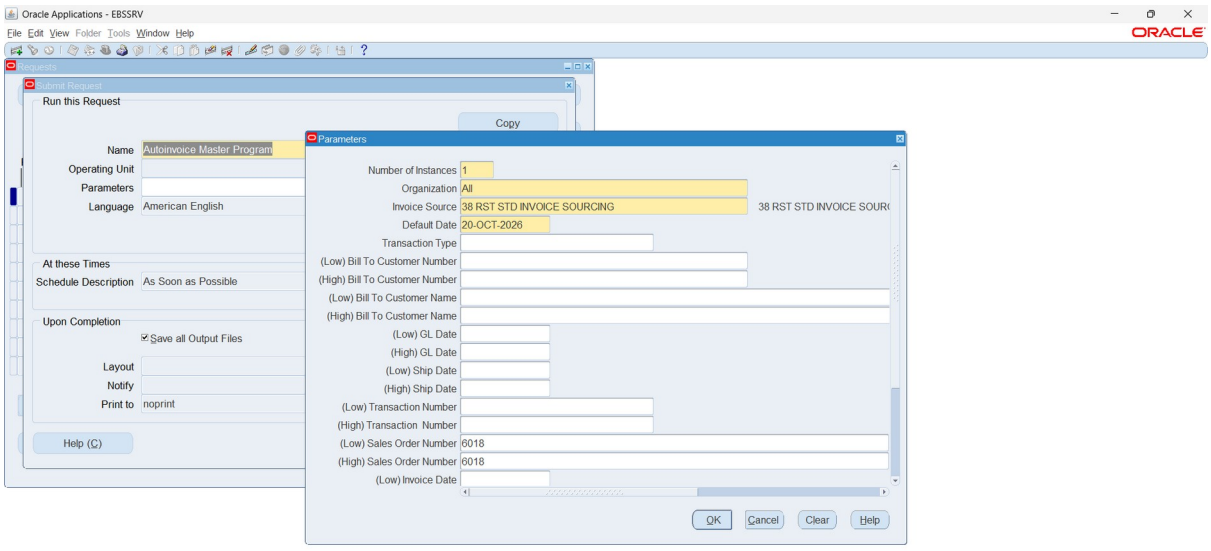
Details: Select Oracle Receivables and click Open.

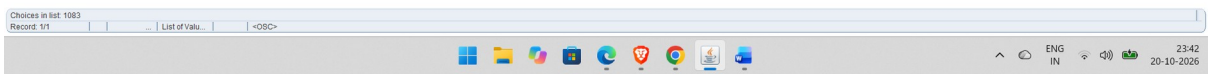


Step 122: Run AutoInvoice Master Program

Navigation: Requests window → Submit a New Request → Single Request → Autoinvoice Master Program

Details: Invoice Source: 38 RST STD INVOICE SOURCING. Default Date: 20-OCT-2026. Low and High Sales Order Number: 6018.

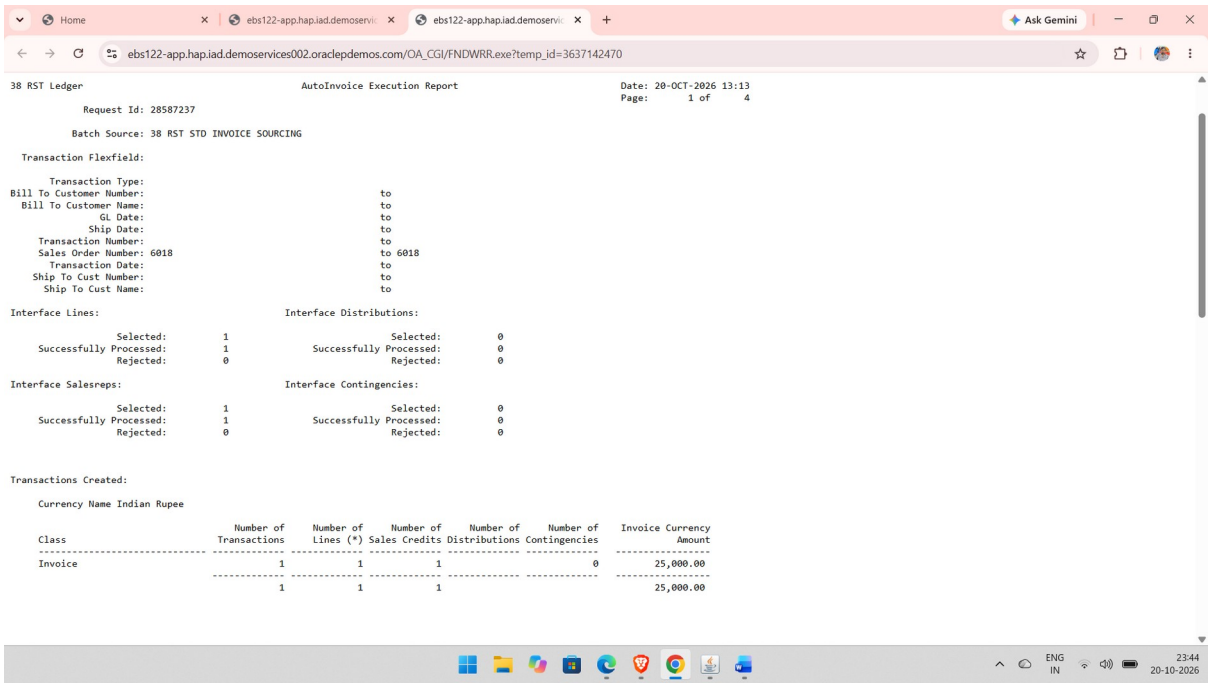




Step 123: AutoInvoice Execution Report

Navigation: View menu → Requests → View Output

Details: Interface lines selected: 1, successfully processed: 1, rejected: 0. One invoice is created for 25,000.00 INR.



38 RST Ledger AutoInvoice Execution Report Date: 20-OCT-2026 13:13 Page: 1 of 4

Request Id: 28587237

Batch Source: 38 RST STD INVOICE SOURCING

Transaction Flexfield:

Transaction Type:		
Bill To Customer Number:		to
Bill To Customer Name:		to
GL Date:		to
Ship Date:		to
Transaction Number:		to
Sales Order Number:	6018	to 6018
Transaction Date:		to
Ship To Cust Number:		to
Ship To Cust Name:		to

Interface Lines:		Interface Distributions:	
Selected:	1	Selected:	0
Successfully Processed:	1	Successfully Processed:	0
Rejected:	0	Rejected:	0

Interface Salesreps:		Interface Contingencies:	
Selected:	1	Selected:	0
Successfully Processed:	1	Successfully Processed:	0
Rejected:	0	Rejected:	0

Transactions Created:

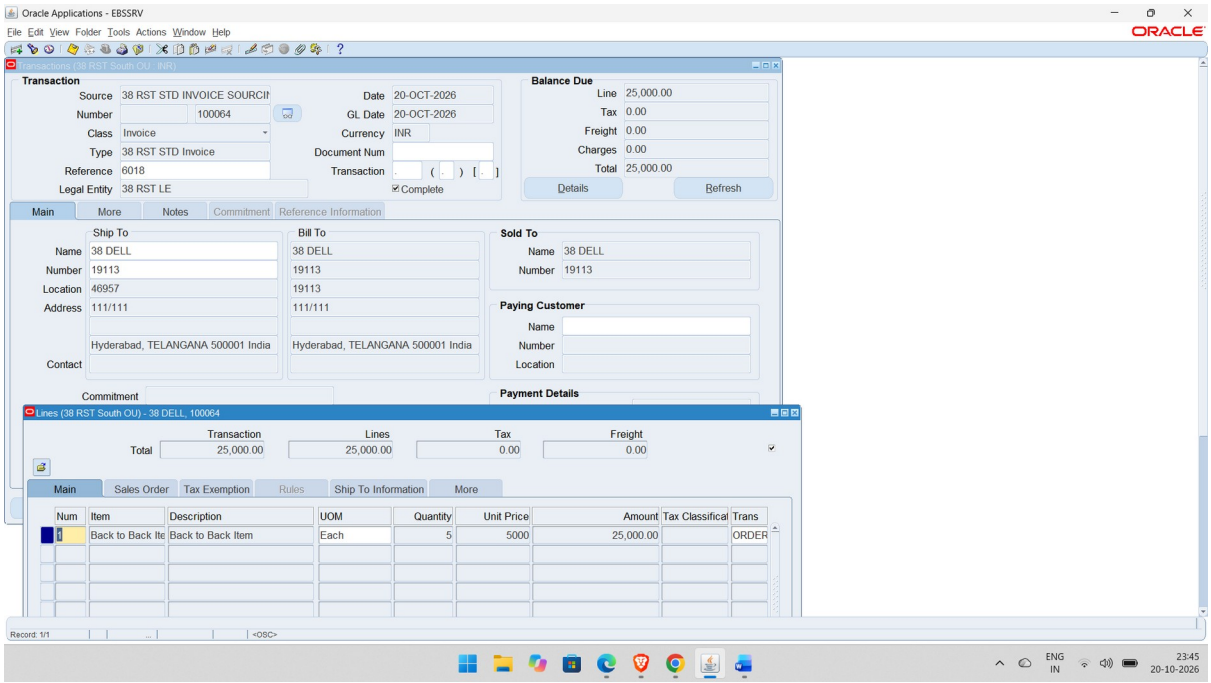
Currency Name Indian Rupee

Class	Number of Transactions	Number of Lines (*)	Number of Sales Credits	Number of Distributions	Number of Contingencies	Invoice Currency Amount
Invoice	1	1	1		0	25,000.00
	1	1	1			25,000.00

Step 124: AR invoice for the Back to Back line

Navigation: Navigator (38 RST AR RESP) → Transactions → Transactions Summary → Find → Transactions window → Lines button

Details: Invoice 100064, source 38 RST STD INVOICE SOURCING, Class Invoice, Reference 6018, total 25,000.00. Line: Back to Back Item, quantity 5, unit price 5000, amount 25,000.00.



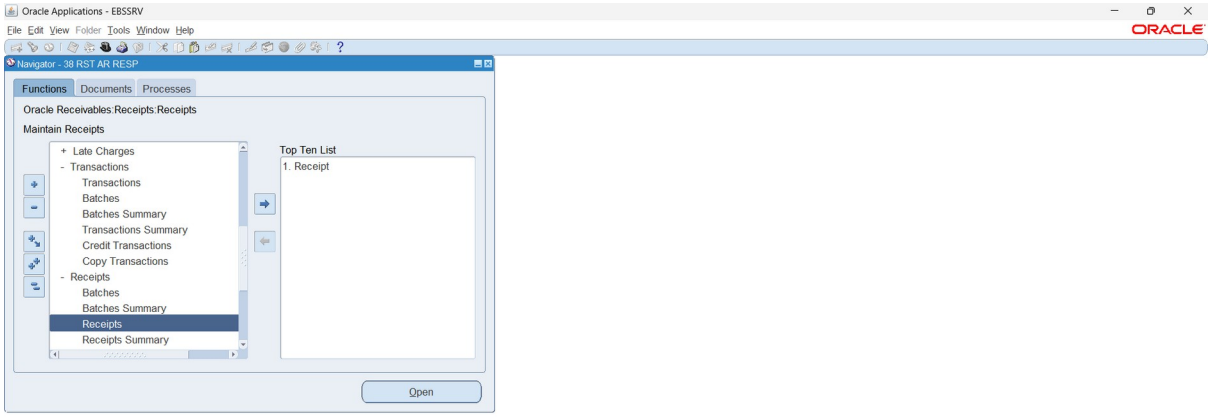
Customer Receipt – Receivables

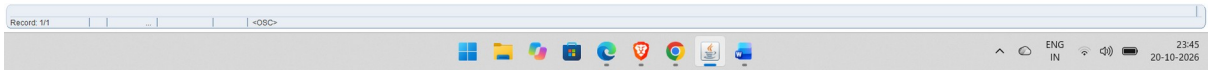
- Create the receipt for the customer and apply it to the back to back invoice.

Step 125: Open Receipts

Navigation: Navigator → 38 RST AR RESP → Oracle Receivables → Receipts → Receipts

Details: Select Receipts and click Open.

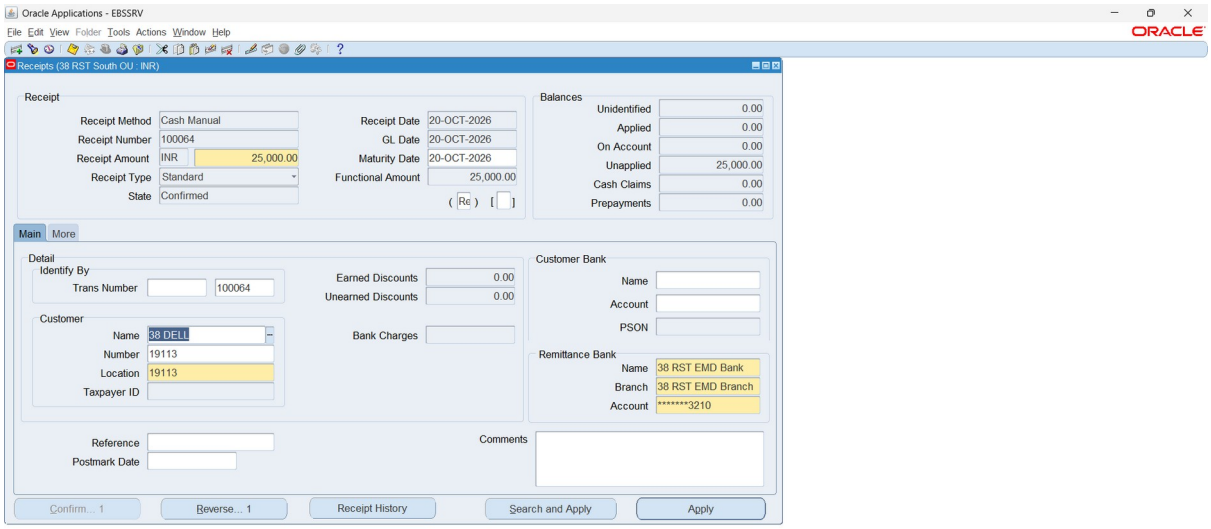


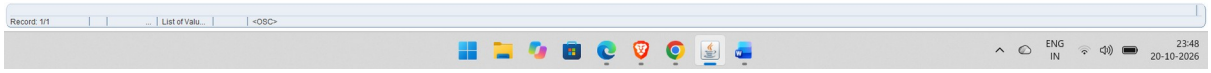


Step 126: Enter the receipt

Navigation: Receipts window → Main tab

Details: Receipt Method: Cash Manual. Receipt Number: 100064. Amount: 25,000.00 INR. Customer: 38 DELL (19113). Remittance Bank: 38 RST EMD Bank. Click Apply.

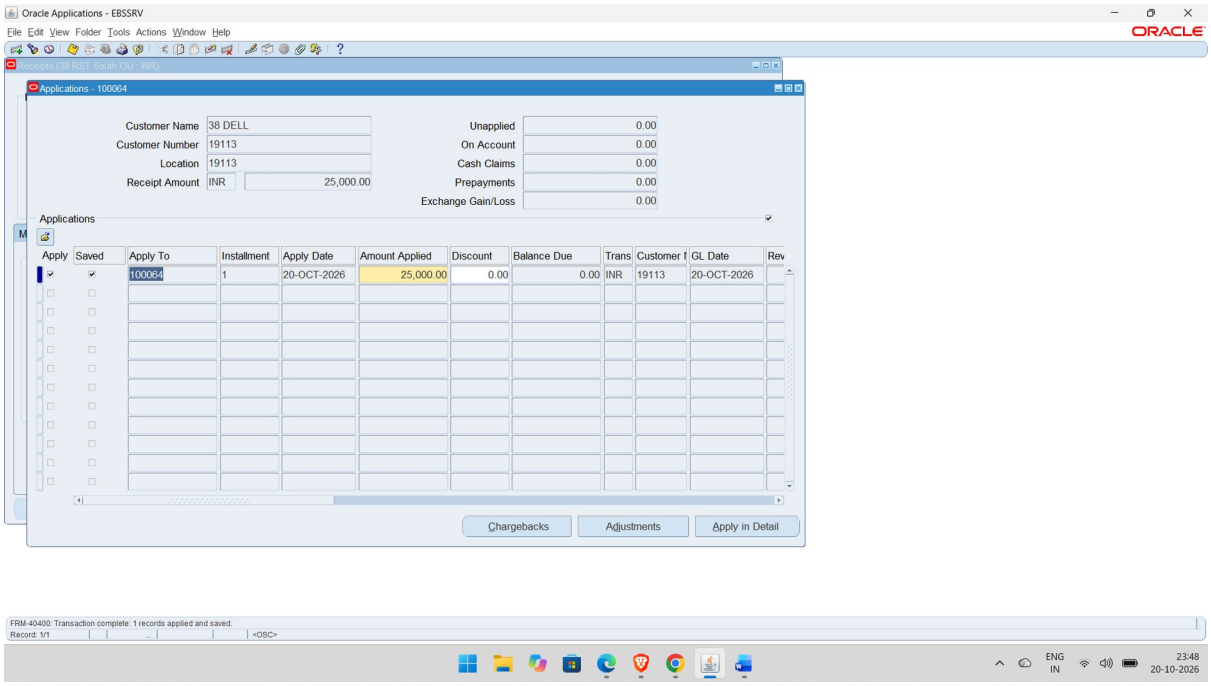




Step 127: Apply the receipt to the invoice

Navigation: Receipts window → Apply button → Applications window

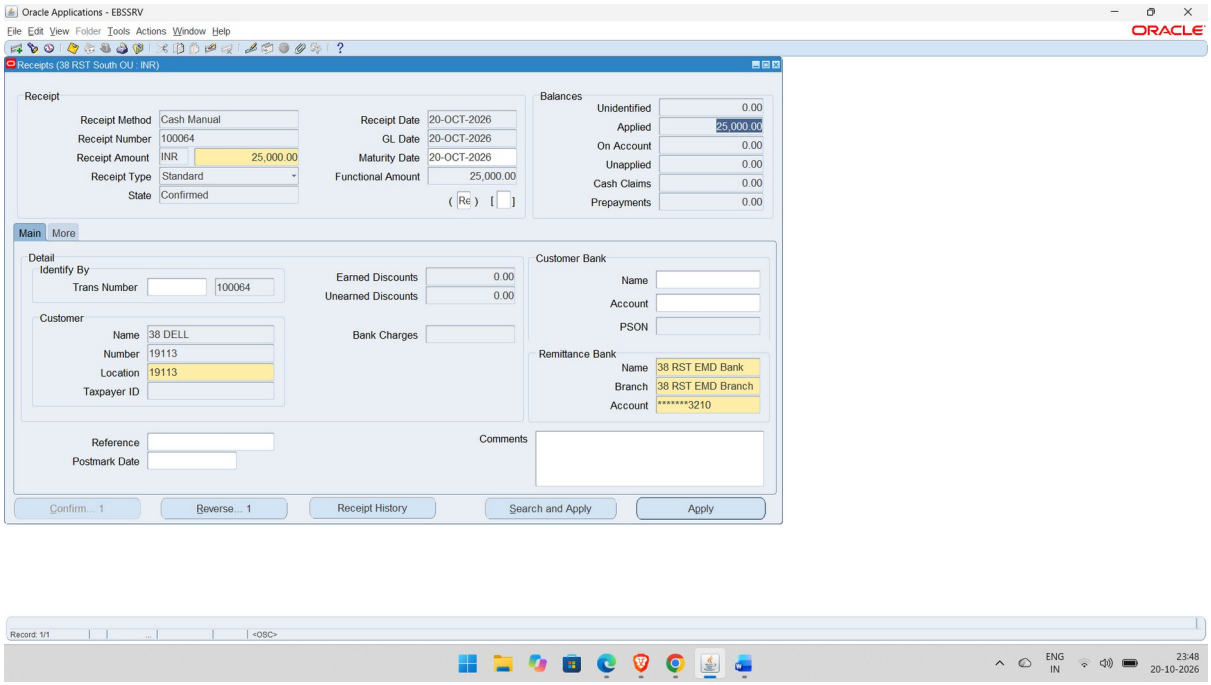
Details: Apply To: invoice 100064. Amount Applied: 25,000.00. Unapplied: 0.00. Save the application.



Step 128: Receipt applied

Navigation: Receipts window → Main tab

Details: Applied: 25,000.00. Unapplied: 0.00. State: Confirmed.



Differences between Drop Ship and Back to Back

Point	Drop Ship	Back to Back
Meaning	The supplier ships the goods directly to your customer.	The supplier delivers to your warehouse and you ship to the customer.
Item setup	Default SO Source Type = External.	Assemble to Order checked and Default SO Source Type = Internal.
How supply is created	Requisition Import with Import Source ORDER ENTRY after booking and the workflow.	Progress Order → Create Supply Order, then Requisition Import with Import Source CTO.
Link between order and PO	Drop Ship tab in Additional Line Information shows the requisition.	Supply is reserved against the order. See Scheduling → Reservation Details → Supply tab.
Receiving	Receipt against the PO completes the drop ship.	Receive, inspect and deliver to Main Store. The stock is then held for the order.
Shipping	No Pick Release or Ship Confirm. The line becomes Shipped after the receipt.	Pick Release, then Ship Confirm and Interface Trip Stop. The line becomes Interfaced.
Order line status	Entered → Awaiting Receipt → Shipped → Closed.	Entered → Supply Eligible → External Req Requested → External Req Open → Awaiting Shipping → Interfaced.
Inventory	You hold no stock.	You hold the stock in your warehouse until it is shipped.
Supplier invoice	Created with Pay On Receipt AutoInvoice. Invoice AP-Dropship, 15,000.	Invoice AP-B2B, 15,000, matched to PO 5032 and receipt 4012.
Customer invoice and receipt	AutoInvoice after shipment. Invoice 100063, 25,000. Receipt 100063 applied.	AutoInvoice after Ship Confirm. Invoice 100064, 25,000. Receipt 100064 applied.
Best used when	You do not want to stock the item or you want the supplier to deliver quickly to the customer.	You want to inspect and control the goods before they reach the customer.
Advantage	No inventory cost, storage or handling.	Control over quality, quantity and delivery to the customer.
Limitation	Less control over supplier quality and delivery.	More handling and a longer lead time.
In this manual	Order line 1.1, requisition 3017, PO 5031, receipt 4011.	Order line 2.1, requisition 3018, PO 5032, receipt 4012.

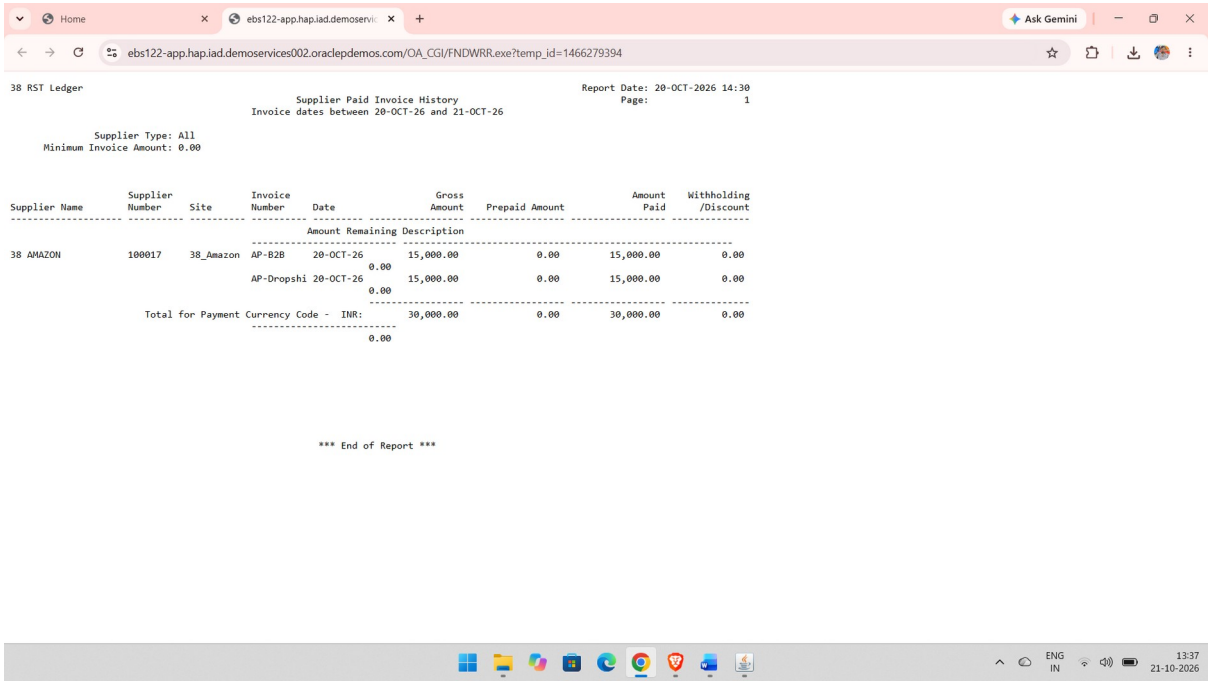
Accounting Entries and Reports

- **Supplier payments:** Supplier Paid Invoice History report for both purchase invoices
- **Customer invoices:** AutoInvoice Execution Reports for sale order 6018
- **Accounting entries:** Subledger journal entries for AP-B2B and AP-Dropship

Accounting 1: Supplier Paid Invoice History report

Navigation: Requests window → Submit a New Request → Single Request → Supplier Paid Invoice History

Details: Ledger 38 RST Ledger. Supplier 38 AMAZON (100017), site 38_Amazon. Invoices AP-B2B and AP-Dropship: gross 15,000.00 each, amount paid 15,000.00 each, total 30,000.00, amount remaining 0.00.



38 RST Ledger — Report Date: 20-OCT-2026 14:30 — Page: 1

Supplier Paid Invoice History
Invoice dates between 20-OCT-26 and 21-OCT-26

Supplier Type: All
Minimum Invoice Amount: 0.00

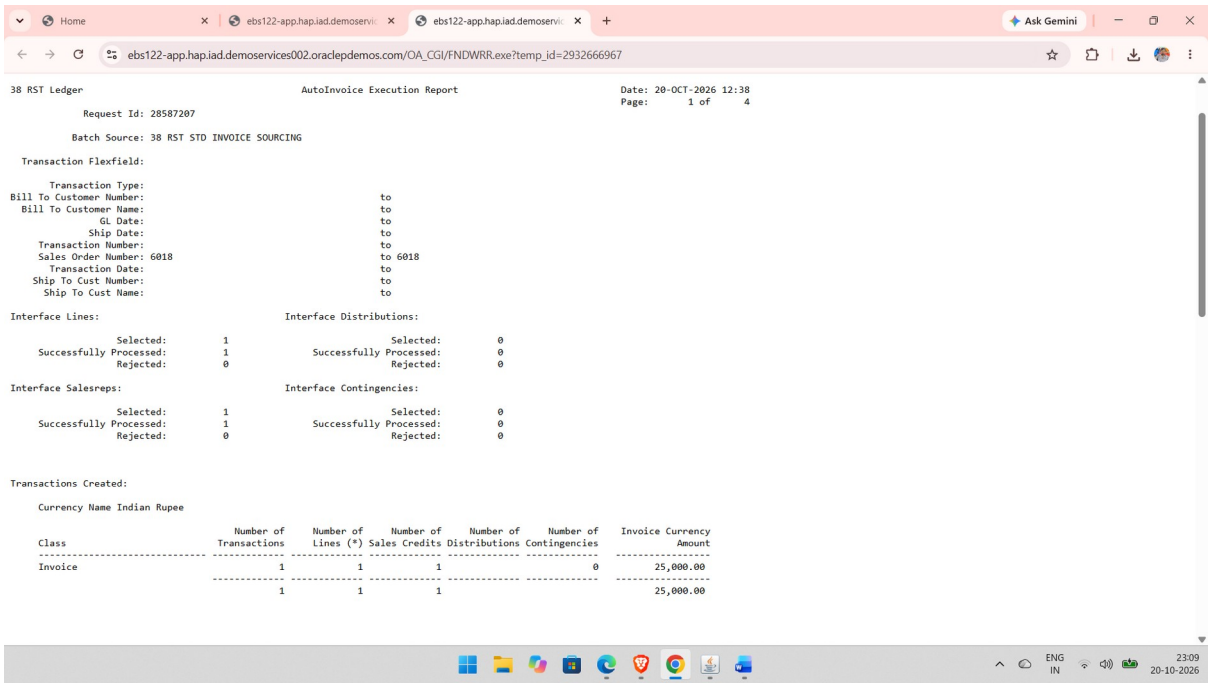
Supplier Name	Supplier Number	Site	Invoice Number	Date	Gross Amount	Prepaid Amount	Amount Paid	Withholding /Discount	Amount Remaining	Description
38 AMAZON	100017	38_Amazon	AP-B2B	20-OCT-26	15,000.00	0.00	15,000.00	0.00	0.00	
			AP-Dropshi	20-OCT-26	15,000.00	0.00	15,000.00	0.00	0.00	
			Total for Payment Currency Code - INR:		30,000.00	0.00	30,000.00	0.00	0.00	

*** End of Report ***

Accounting 2: AutoInvoice Execution Report – drop-ship order

Navigation: View menu → Requests → View Output

Details: Batch source 38 RST STD INVOICE SOURCING, sales order 6018. Interface lines selected 1, successfully processed 1, rejected 0. One invoice created for 25,000.00 INR (same report as shown in the drop-ship flow).



38 RST Ledger AutoInvoice Execution Report Date: 20-OCT-2026 12:38
Page: 1 of 4

Request Id: 28587207

Batch Source: 38 RST STD INVOICE SOURCING

Transaction Flexfield:

Transaction Type:			
Bill To Customer Number:		to	
Bill To Customer Name:		to	
GL Date:		to	
Ship Date:		to	
Transaction Number:		to	
Sales Order Number:	6018	to	6018
Transaction Date:		to	
Ship To Cust Number:		to	
Ship To Cust Name:		to	

Interface Lines:

Selected:	1
Successfully Processed:	1
Rejected:	0

Interface Distributions:

Selected:	0
Successfully Processed:	0
Rejected:	0

Interface Salesreps:

Selected:	1
Successfully Processed:	1
Rejected:	0

Interface Contingencies:

Selected:	0
Successfully Processed:	0
Rejected:	0

Transactions Created:

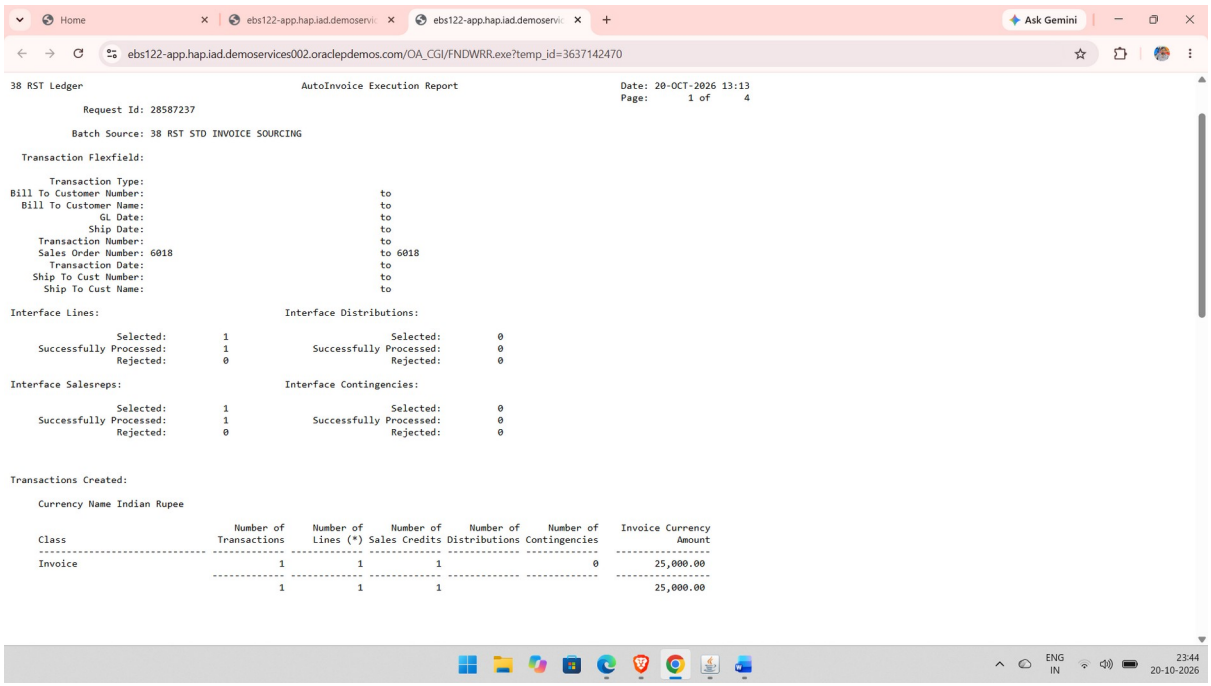
Currency Name Indian Rupee

Class	Number of Transactions	Number of Lines (*)	Number of Sales Credits	Number of Distributions	Number of Contingencies	Invoice Currency Amount
Invoice	1	1	1		0	25,000.00
	1	1	1			25,000.00

Accounting 3: AutoInvoice Execution Report – back to back order

Navigation: View menu → Requests → View Output

Details: Batch source 38 RST STD INVOICE SOURCING, sales order 6018. Interface lines selected 1, successfully processed 1, rejected 0. One invoice created for 25,000.00 INR (same report as shown in the back to back flow).



38 RST Ledger AutoInvoice Execution Report Date: 20-OCT-2026 13:13
Page: 1 of 4

Request Id: 28587237

Batch Source: 38 RST STD INVOICE SOURCING

Transaction Flexfield:

Transaction Type:			
Bill To Customer Number:		to	
Bill To Customer Name:		to	
GL Date:		to	
Ship Date:		to	
Transaction Number:		to	
Sales Order Number:	6018	to	6018
Transaction Date:		to	
Ship To Cust Number:		to	
Ship To Cust Name:		to	

Interface Lines:

Selected:	1
Successfully Processed:	1
Rejected:	0

Interface Distributions:

Selected:	0
Successfully Processed:	0
Rejected:	0

Interface Salesreps:

Selected:	1
Successfully Processed:	1
Rejected:	0

Interface Contingencies:

Selected:	0
Successfully Processed:	0
Rejected:	0

Transactions Created:

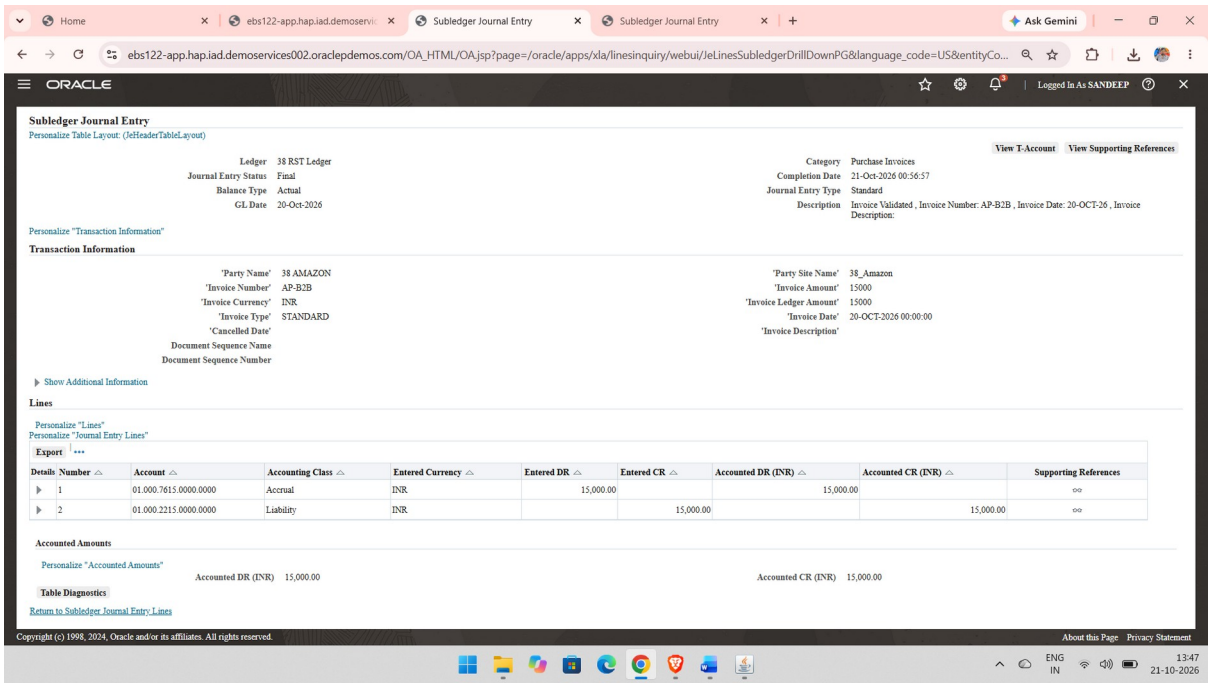
Currency Name Indian Rupee

Class	Number of Transactions	Number of Lines (*)	Number of Sales Credits	Number of Distributions	Number of Contingencies	Invoice Currency Amount
Invoice	1	1	1		0	25,000.00
	1	1	1			25,000.00

Accounting 4: Subledger Journal Entry – invoice AP-B2B

Navigation: Payables → Invoice Workbench → Tools → View Accounting → Subledger Journal Entry

Details: Ledger 38 RST Ledger, category Purchase Invoices, status Final, GL date 20-OCT-2026. Line 1: 01.000.7615.0000.0000 Accrual, Dr 15,000.00. Line 2: 01.000.2215.0000.0000 Liability, Cr 15,000.00. Accounted Dr and Cr: 15,000.00.



Accounting 5: Subledger Journal Entry – invoice AP-Dropship

Navigation: Payables → Invoice Workbench → Tools → View Accounting → Subledger Journal Entry

Details: Ledger 38 RST Ledger, category Purchase Invoices, status Final, GL date 20-OCT-2026. Line 1: 01.000.7615.0000.0000 Accrual, Dr 15,000.00. Line 2: 01.000.2215.0000.0000 Liability, Cr 15,000.00. Accounted Dr and Cr: 15,000.00.